

CITY OF GALLATIN, TENNESSEE
ANNUAL COMPREHENSIVE FINANCIAL REPORT
FOR THE FISCAL YEAR ENDED JUNE 30, 2025



Prepared by the City of Gallatin Finance Director

CITY OF GALLATIN, TENNESSEE

ANNUAL COMPREHENSIVE FINANCIAL REPORT

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INTRODUCTORY SECTION

CITY OF GALLATIN, TENNESSEE

DIRECTORY

June 30, 2025

ELECTED OFFICIALS

Paige Brown, Mayor
William C. Hayes, Council Member, Vice Mayor
Paul Jones, Council Member
Steve Fann, Council Member
Steven Carter, Council Member
Pascal Jouvence, Council Member
Shawn Fennell, Council Member
Todd Alexander, Council Member
Connie Kittrell, Recorder

MANAGEMENT TEAM

Rachel Nichols, Director of Finance, CMFO
Richard Depriest, Director of Public Works
David Kellogg, Superintendent of Public Utilities
Donald Bandy, Chief of Police
Jeff Beaman, Fire Chief
Charles Stuart, Director of Codes
Brian Rose, Director of Planning
David Brown, Director of Parks and Recreation
Courtney Cangemi, Director of Human Resources
Rosemary Bates, Director of Economic Development
Nick Tuttle, City Engineer
Jeff Hentschel, Communications Director
Mark Kimbell, Electric Department Manager
Jennifer Lefevre, Director of Information Technology

COUNSEL

Susan High-McAuley
City Attorney
Gallatin, Tennessee

INDEPENDENT CERTIFIED PUBLIC ACCOUNTANTS

ATA, PC
Jackson, Tennessee

FINANCIAL SECTION



Independent Auditor's Report

Honorable Paige Brown, Mayor
Members of the City Council
City of Gallatin, Tennessee

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee (the City), as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the Table of Contents.

In our opinion, based on our audit and the report of the other auditors, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City, as of June 30, 2025, and the respective changes in financial position and, where applicable, cash flows thereof and the respective budgetary comparison for the general fund for the year then ended in accordance with accounting principles generally accepted in the United States of America.

We did not audit the financial statements of the Department of Electricity (Electric Department), which represent 27%, 23%, and 66%, respectively, of the assets, net position, and revenues of the business-type activities as of June 30, 2025. Those statements were audited by other auditors whose report has been furnished to us, and our opinions, insofar as they relate to the amounts included for the Electric Department, are based solely on the report of the other auditors.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the City, and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibility of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and *Government Auditing Standards* we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, pension and other post-employment benefits related schedules and notes as listed in the table of contents be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate

operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The supplementary information section, as listed in the table of contents, including the schedule of expenditures of federal awards, as required by Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information section, as listed in the table of contents, including the schedule of expenditures of federal awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the introductory section and the statistical section but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 22, 2025 on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That reporting is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

ATA, PC

Jackson, Tennessee
December 22, 2025

MANAGEMENT'S DISCUSSION AND ANALYSIS

As management of the City of Gallatin, Tennessee, we offer readers of the City's financial statements this narrative overview and analysis of the financial activities of the City for the fiscal year ended June 30, 2025. The analysis focuses on significant financial position, budget changes and specific issues related to funds and economic factors affecting the City. It also focuses on current year activities and the resulting changes.

FINANCIAL HIGHLIGHTS

- The assets and deferred outflows of resources of the City exceeded its liabilities and deferred inflows of resources at the close of the fiscal year by \$500.43 million as compared to \$467.91 million in the prior year. Of these amounts, \$124.62 million (unrestricted net position) as compared to \$112.10 million in the prior year may be used to meet the City's ongoing obligations to citizens and creditors.
- The government's total net position increased by \$32.82 million in 2025, not including (\$304) thousand of restatement, compared to an increase of \$23.81 million in 2024, not including a \$1.46 million of restatement.
- As of the close of the current fiscal year, the City's governmental funds reported ending fund balances of \$79.26 million, an increase of \$1.35 million from the prior year. Approximately \$65.90 million of that total is available for spending at the government's discretion.
- At the end of the current fiscal year, unassigned fund balance of the General Fund was \$65.90 million, or 101.51% of the total general fund expenditures as compared to \$64.94 million the prior year.
- The City's total debt obligations increased by \$14.38 million during the current fiscal year.

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis is intended to serve as an introduction to the City's basic financial statements. The City's basic financial statements are comprised of the following components:

1. Government-wide financial statements,
2. Fund financial statements, and
3. Notes to the financial statements.
4. This report also contains required supplementary information and supplementary and other information in addition to the basic financial statements themselves.

Government-Wide Financial Statements

The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

- The Statement of Net Position presents information on all of the City's assets, liabilities and deferred inflows/outflows of resources, with the difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City is improving or deteriorating.
- The Statement of Activities presents information showing how the City's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected taxes, compensated absences, etc.).

MANAGEMENT'S DISCUSSION AND ANALYSIS

Both of the government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (governmental activities) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (business-type activities). The governmental activities of the City include general government, public safety, highways and streets, sanitation, economic development, and cultural and recreation. The business-type activities of the City are made up of Water and Sewer, Natural Gas, and Electric Power services. The government-wide financial statements can be found on pages 11 to 13 of this report.

Fund Financial Statements

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The City, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City can be divided into three categories: governmental funds, proprietary funds, and fiduciary funds.

Governmental funds - Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, the focus is on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources at the end of the fiscal year. Such information may be useful in evaluating the government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the City's near-term financing decisions. Both the Balance Sheet - Governmental Funds and the Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds provide a reconciliation to facilitate this comparison between governmental funds and governmental activities. The governmental fund financial statements and reconciliations can be found on pages 14 to 17 of this report.

The City maintains eight governmental funds. Information is presented separately in the Balance Sheet - Governmental Funds and in the Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds for the General Fund and Capital Projects Fund, which are considered to be major funds. Data from the other six governmental funds are combined into a single, aggregated presentation. Individual fund data for each of these nonmajor governmental funds is provided in the form of combining statements beginning on page 81.

The City adopts an annual appropriated budget for the General Fund and the special revenue funds. Budgetary comparison statements have been provided on pages 23 to 36 and pages 83 to 86 of this report.

Proprietary funds - There are two different types of proprietary funds.

- *Enterprise funds* are used to report the same functions presented as business-type activities in the government-wide financial statements. The City uses enterprise funds to account for the Board of Public Utilities Electric, Water and Sewer, and Gas Funds.
- *Internal service funds* are an accounting device used to accumulate and allocate costs internally among a government's various functions. The City currently has no internal service funds.

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The proprietary fund financial statements provide separate information for the Water

MANAGEMENT'S DISCUSSION AND ANALYSIS

and Sewer, Natural Gas, and Electric Power operations which are considered to be major funds of the City. The basic proprietary fund financial statements can be found on pages 18 to 22 of this report.

Fiduciary funds – Fiduciary funds are used to account for resources held for the benefit of parties outside the City. Fiduciary funds are not reflected in the government-wide financial statements because the resources of those funds are not available to support the City of Gallatin's own programs. The Fiduciary funds reported are for the Electric Department Pension and OPEB Trust Funds. The accounting used for fiduciary funds is much like that used for proprietary funds. Individual fund data for the fiduciary funds is provided in the form of combining statements which can be found on pages 37 to 38 of this report.

Notes to the Financial Statements

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found on pages 39 to 72 of this report.

Other Information

In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the City's and Utility's schedules of funding progress for their respective pension plans and other post-employment benefits.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Statement of Net Position - As noted earlier, net position may serve over time as a useful indicator of a government's financial position. In the case of the City, assets and deferred outflows of resources exceeded liabilities and deferred inflows of resources by \$500.43 million at the close of the most recent fiscal year, as compared to \$467.91 million at the close of the previous year.

By far the largest portion of the City's net position (72.08%) reflects its net investment in capital assets (e.g., land, buildings, machinery, equipment and infrastructure). The City uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the City's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

An additional portion of the City's net position \$15.37 million (3.07%) represents resources that are subject to external restrictions on how they may be used. The remaining balance of net position representing unrestricted net position \$124.36 million (24.85%) may be used to meet the City's ongoing obligations to citizens and creditors. At the end of the current fiscal year, the City is able to report positive balances in all three categories of net position, both for the City as a whole, as well as for its total governmental and total business-type activities.

Comparisons with the prior year data are presented below.

MANAGEMENT'S DISCUSSION AND ANALYSIS

	Governmental Activities		Business-type Activities		Total	
	2025	2024	2025	2024	2025	2024
Current and other assets	\$ 110,688,176	\$ 105,927,043	\$ 89,727,455	\$ 69,258,527	\$ 200,415,631	\$ 175,185,570
Capital assets	173,408,497	170,811,890	266,116,993	237,752,129	439,525,490	408,564,019
Total assets	<u>284,096,673</u>	<u>276,738,933</u>	<u>355,844,448</u>	<u>307,010,656</u>	<u>639,941,121</u>	<u>583,749,589</u>
Deferred outflows of resources	1,221,234	925,614	2,962,358	4,061,333	4,183,592	4,986,947
Long-term liabilities	24,805,367	26,530,669	63,553,229	45,586,346	88,358,596	72,117,015
Other liabilities	13,135,053	12,593,479	22,961,283	20,511,028	36,096,336	33,104,507
Total liabilities	<u>37,940,420</u>	<u>39,124,148</u>	<u>86,514,512</u>	<u>66,097,374</u>	<u>124,454,932</u>	<u>105,221,522</u>
Deferred inflows of resources	17,649,015	15,134,355	1,588,587	466,817	19,237,602	15,601,172
Net position:						
Net investment in						
capital assets	154,417,135	150,136,959	206,283,889	195,625,066	360,701,024	345,762,025
Restricted	9,976,094	9,009,962	5,391,834	1,038,746	15,367,928	10,048,708
Unrestricted	65,335,243	64,259,123	59,027,984	47,843,986	124,363,227	112,103,109
Total net position	<u>\$ 229,728,472</u>	<u>\$ 223,406,044</u>	<u>\$ 270,703,707</u>	<u>\$ 244,507,798</u>	<u>\$ 500,432,179</u>	<u>\$ 467,913,842</u>

The government's total assets increased significantly due to the capital projects that were completed and in progress during the current fiscal year. Total liabilities increased significantly due to new long-term debt issued in the current year and the changes in the pension-related accounts.

Statement of Activities - Expenses in the governmental activities exceeded program revenues by \$41.98 million. In the business-type activities program revenues exceeded expenses by \$18.75 million. General government revenues and transfers of \$48.30 million offset the governmental activities deficit resulting in a positive change of net position of \$6.32 million. Other business-type revenues of \$9.63 million and transfers of (\$1.88) million increased income in the business type activities leaving a positive change in net position of \$26.50 million and a restatement in business type activities of (\$304) thousand.

	Governmental Activities		Business-type Activities		Total	
	2025	2024	2025	2024	2025	2024
Revenues:						
Program revenues:						
Charges for services	\$ 15,549,388	\$ 14,619,477	\$ 127,064,711	\$ 112,791,888	\$ 142,614,099	\$ 127,411,365
Operating grants and contributions	8,310,962	6,796,238	-	-	8,310,962	6,796,238
Capital grants and contributions	4,443,946	2,383,778	11,172,100	10,102,547	15,616,046	12,486,325
General revenues:						
Property taxes	15,975,641	15,505,229	-	-	15,975,641	15,505,229
Other taxes	32,029,479	26,928,595	-	-	32,029,479	26,928,595
Other sources	<u>4,252,908</u>	<u>2,917,422</u>	<u>3,798,115</u>	<u>1,968,676</u>	<u>8,051,023</u>	<u>4,886,098</u>
Total revenues	<u>80,562,324</u>	<u>69,150,739</u>	<u>142,034,926</u>	<u>124,863,111</u>	<u>222,597,250</u>	<u>194,013,850</u>

MANAGEMENT'S DISCUSSION AND ANALYSIS

	Governmental Activities		Business-type Activities		Total	
	2025	2024	2025	2024	2025	2024
Expenses:						
General government	\$ 22,092,019	\$ 24,881,000	\$ -	\$ -	\$ 22,092,019	\$ 24,881,000
Public safety	27,250,573	23,988,663	-	-	27,250,573	23,988,663
Engineering	4,522,449	2,340,891	-	-	4,522,449	2,340,891
Environmental services	3,064,099	2,608,693	-	-	3,064,099	2,608,693
Public works	1,718,157	2,375,724	-	-	1,718,157	2,375,724
Highway and streets	2,232,680	1,894,857	-	-	2,232,680	1,894,857
Vehicle maintenance	498,030	489,852	-	-	498,030	489,852
Parks and recreation	6,272,568	5,034,661	-	-	6,272,568	5,034,661
Economic development	1,858,090	504,934	-	-	1,858,090	504,934
Tourism	105,547	56,838	-	-	105,547	56,838
Interest on debt	671,382	847,860	-	-	671,382	847,860
Electric	-	-	85,153,885	75,028,487	85,153,885	75,028,487
Water and Sewer	-	-	18,535,731	16,387,451	18,535,731	16,387,451
Gas	-	-	15,799,789	13,766,852	15,799,789	13,766,852
Total expenses	<u>70,285,594</u>	<u>65,023,973</u>	<u>119,489,405</u>	<u>105,182,790</u>	<u>189,774,999</u>	<u>170,206,763</u>
Revenues over/under expenses	10,276,730	4,126,766	22,545,521	19,680,321	32,822,251	23,807,087
Other transfers	(5,834,304)	-	5,834,304	-	-	-
In lieu of taxes in (out)	<u>1,880,002</u>	<u>1,658,228</u>	<u>(1,880,002)</u>	<u>(1,658,228)</u>	<u>-</u>	<u>-</u>
Increase in net position	6,322,428	5,784,994	26,499,823	18,022,093	32,822,251	23,807,087
Net position - beginning	223,406,044	216,157,397	244,507,798	226,485,705	467,913,842	442,643,102
Restatement-error correction	-	1,463,653	(303,914)	-	(303,914)	1,463,653
Net position - beginning - restated	223,406,044	217,621,050	244,203,884	226,485,705	467,609,928	444,106,755
Net position - ending	<u>\$229,728,472</u>	<u>\$223,406,044</u>	<u>\$270,703,707</u>	<u>\$244,507,798</u>	<u>\$500,432,179</u>	<u>\$467,913,842</u>

In governmental activities general revenues increased \$6.91 million due mainly to an increase in sales tax revenue in the current year. In the business type activities charges for services increased by \$14.27 million due mainly to increased usage.

Governmental policy continues to recognize that local revenue sources must be the foundation for providing basic public services rather than depending on uncertain Federal and State sources. To this end, it is vitally important to continue efforts to seek balanced diversity, equity, and efficiency in local revenue systems to better accommodate future change.

Overall expenses for 2025 were greater than expenses in 2024 in the governmental activities by \$5.26 million. For departments with increases, the increases were mainly due to capital projects and grant activities. All departments worked diligently to keep operational spending to a minimum in continued tight economic times.

FINANCIAL ANALYSIS OF THE GOVERNMENT'S FUNDS

Governmental funds - The focus of the City's governmental funds is to provide information on near-term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the City's financing requirements. In particular, unassigned fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year. Based on the statements and discussion, the overall financial position of the City has improved during the period.

The General Fund is the chief operation fund of the City. At the end of the current fiscal year, the unassigned fund balance of the general fund was \$65.90 million while total fund balance was \$68.42 million. As a measure of the general fund's liquidity, it may be useful to compare both unassigned fund

MANAGEMENT'S DISCUSSION AND ANALYSIS

balance and total fund balance to total fund expenditures. Unassigned fund balance represents 101.51% of total general fund expenditures in 2025 as compared to 125.80% in 2024.

The fund balance of the City's general fund increased by \$1.41 million during the current fiscal year. A key factor in this increase was the continued increases in local taxes while also managing expenditures in an effective manner.

Proprietary funds - The City's proprietary funds provide the same type of information found in the government-wide financial statements, but in more detail. Proprietary funds are considered business-type activities and are operated similarly. Net position of the proprietary funds increased by \$26.50 million in 2025 not including a reduction of (\$304) thousand for an correction of an error as compared to \$18.02 million in 2024.

Unrestricted net position of the proprietary funds amounted to \$59.03 million as compared to \$47.84 million in the prior year. The change in net position of the individual proprietary funds were as follows:

- Water and Sewer Fund - \$18.12 million in 2025 compared to \$13.28 million in 2024.
- Natural Gas Fund – \$3.13 million in 2025 compared to \$731 thousand in 2024.
- Electric Fund - \$5.25 million in 2025 compared to \$4.01 million in 2024.

General Fund budgetary highlights - The City made revisions to the original appropriations approved by the City Council. Overall these changes resulted in a \$50.98 million increase in budgeted expenditures and transfers out from the original budget. The increase of approximately 86.37% was mainly for capital expenditures and grant projects.

Actual revenues and other financing sources were exceeded by budgeted amounts by \$9.86 million. The largest variances were related to other federal grants.

Actual expenditures and transfers out were under budget by \$39.10 million, which was due largely to the TDEC-ARPA grant being budgeted for approximately \$30.80 million and only \$3.68 million being spent in the current year.

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets - At the end of Fiscal Year 2025, the City had invested \$439.53 million net of accumulated depreciation in land, buildings, improvements, machinery and equipment, park facilities, roads, highways, bridges, and utility systems. The total increase in the City's investment in capital assets for the current fiscal year was 7.58%. Additional information on the City's capital assets can be found in Note 4.C. beginning on page 52 of this report.

Long-term debt - At the end of the current fiscal year, the City had total long-term debt outstanding of \$78.02 million as compared to \$63.64 million at the end of the prior fiscal year. Of this amount, \$20.63 million represents debt backed by the full faith and credit of the City. The remainder of the City's debt represents bonds secured by specific revenue sources (i.e. revenue and tax bonds) of the various enterprise funds. Information on the City's long-term debt can be found in Note 4.E. beginning on page 52 of this report.

The City of Gallatin maintains a "AA+" rating from Standards and Poors for general obligation debt. Also, the City rating from Moody's has been recalibrated to "Aa2".

MANAGEMENT'S DISCUSSION AND ANALYSIS

ECONOMIC FACTORS AND NEXT YEAR'S BUDGET

General Fund Revenue –Property tax revenues grew slightly for the year. Most other general revenue sources showed moderate growth. Charges for services increased mainly due to increased Parks and Recreation revenues.

General Fund Expenditures and Capital Outlay – Departments were encouraged to be prudent and frugal with spending even though additional positions were funded to accommodate the growth of the City and the increased demands on staff. Most capital funding was to complete existing, ongoing projects or for grant funded projects.

General Fund Balance – At the end of the current fiscal year, unassigned fund balance in the general fund was \$65.90 million. The increase from the previous year was mainly related to the continued increase in local taxes along with the City paying close attention to spending in the current fiscal year.

Next Year's Budget and Rates – The City has no plans to increase the property tax rate paid by citizens in the next fiscal year. The City will continue to watch the national and world economic factors that could influence the local economy and will make any necessary mid-year adjustments to operate within available revenues.

REQUESTS FOR INFORMATION

This financial report is designed to provide a general overview of the City of Gallatin's finances for citizens, taxpayers, customers, investors, creditors and all others with an interest in the City's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to the Department of Finance, City of Gallatin, 132 West Main Street, Gallatin, TN, 37066.

BASIC FINANCIAL STATEMENTS

CITY OF GALLATIN, TENNESSEE
STATEMENT OF NET POSITION
June 30, 2025

	Governmental Activities	Business-type Activities	Total
Assets			
Cash and cash equivalents	\$ 78,394,999	\$ 57,517,071	\$ 135,912,070
Certificates of deposit	-	5,111,189	5,111,189
Investments	21,025	-	21,025
Receivables			
Interest	878,783	-	878,783
Taxes (net of allowance)	18,232,705	-	18,232,705
Accounts (net of allowance)	695,548	12,814,273	13,509,821
Grant	790,670	-	790,670
Intergovernmental	5,929,019	-	5,929,019
Other	332,079	113,519	445,598
Prepayments and other current assets	476,186	126,724	602,910
Materials and supplies	108,682	8,652,845	8,761,527
Restricted assets:			
Cash and cash equivalents	2,917,595	2,246,261	5,163,856
TCRS Stabilization Fund	1,910,885	417,497	2,328,382
Net pension asset	-	2,536,055	2,536,055
Net OPEB asset	-	192,021	192,021
Capital assets, not being depreciated			
Land	16,228,602	9,237,581	25,466,183
Construction in progress	2,648,860	22,787,465	25,436,325
Capital assets, net of accumulated depreciation			
Transmission plant	-	882,903	882,903
Distribution plant	-	204,855,830	204,855,830
General plant	-	3,752,321	3,752,321
Buildings	13,930,141	23,798,088	37,728,229
Improvements other than buildings	130,824,220	-	130,824,220
Equipment	4,131,316	483,176	4,614,492
Rolling stock	5,549,773	314,639	5,864,412
Office furniture and equipment	95,585	4,990	100,575
Total assets	284,096,673	355,844,448	639,941,121
Deferred outflows of resources			
Deferred outflows - pensions	1,221,234	825,981	2,047,215
Deferred outflows - OPEB	-	40,957	40,957
Loss on bond refunding	-	2,095,420	2,095,420
Total deferred outflows of resources	\$ 1,221,234	\$ 2,962,358	\$ 4,183,592

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF NET POSITION
June 30, 2025

	Governmental Activities	Business-type Activities	Total
Liabilities			
Accounts payable	\$ 5,395,116	\$ 15,200,731	\$ 20,595,847
Due to county government	1,373,063	-	1,373,063
Accrued expenses	847,831	908,889	1,756,720
Accrued interest	335,100	169,293	504,393
Customer deposits	-	6,368,173	6,368,173
Accrued sales tax payable	-	165,551	165,551
Unearned revenue	44,762	-	44,762
Unearned evidence funds	179,339	-	179,339
Unearned grant revenue	2,552,112	-	2,552,112
Performance deposits	2,407,730	148,646	2,556,376
Long-term liabilities:			
Due within one year	2,223,501	3,460,969	5,684,470
Due in excess of one year	22,282,515	60,035,537	82,318,052
Other liabilities due in more than one year:			
Net pension liability	299,351	56,723	356,074
Total liabilities	37,940,420	86,514,512	124,454,932
Deferred inflows of resources			
Deferred property taxes	17,569,317	-	17,569,317
Deferred inflows - pension	79,698	1,355,996	1,435,694
Deferred inflows - OPEB	-	232,591	232,591
Total deferred inflows of resources	17,649,015	1,588,587	19,237,602
Net Position			
Net investment in capital assets	154,417,135	206,283,889	360,701,024
Restricted for			
Pension asset	-	2,536,055	2,536,055
OPEB asset	-	192,021	192,021
TCRS Stabilization	1,910,885	417,497	2,328,382
Unemployment	-	2,246,261	2,246,261
Funds held in trust	487,255	-	487,255
Environmental services	2,924,400	-	2,924,400
Drug enforcement	174,361	-	174,361
Stormwater	4,479,193	-	4,479,193
Unrestricted	65,335,243	59,027,984	124,363,227
Total net position	\$ 229,728,472	\$ 270,703,707	\$ 500,432,179

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF ACTIVITIES
For the Fiscal Year Ended June 30, 2025

Functions/Programs	Expenses	Program Revenues			Net (Expense) Revenue and Changes in Net Position		Total
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-type Activities	
Primary government							
Governmental activities							
General government	\$ 22,092,019	\$ 5,437,257	\$ 4,781,293	\$ 4,443,946	\$ (7,429,523)	\$ -	\$ (7,429,523)
Public safety	27,250,573	1,491,102	1,375,481	-	(24,383,990)	-	(24,383,990)
Engineering	4,522,449	-	-	-	(4,522,449)	-	(4,522,449)
Environmental services	3,064,099	3,549,611	-	-	485,512	-	485,512
Public works	1,718,157	2,090,333	-	-	372,176	-	372,176
Highways and streets	2,232,680	-	1,671,874	-	(560,806)	-	(560,806)
Vehicle maintenance	498,030	49,544	-	-	(448,486)	-	(448,486)
Parks and recreation	6,272,568	2,931,541	-	-	(3,341,027)	-	(3,341,027)
Economic development	1,858,090	-	482,314	-	(1,375,776)	-	(1,375,776)
Tourism	105,547	-	-	-	(105,547)	-	(105,547)
Debt service	671,382	-	-	-	(671,382)	-	(671,382)
Total governmental activities	<u>70,285,594</u>	<u>15,549,388</u>	<u>8,310,962</u>	<u>4,443,946</u>	<u>(41,981,298)</u>	<u>-</u>	<u>(41,981,298)</u>
Business-type activities							
Electric	85,153,885	84,241,106	-	6,573,602	-	5,660,823	5,660,823
Water & Sewer	18,535,731	24,508,920	-	4,598,498	-	10,571,687	10,571,687
Gas	15,799,789	18,314,685	-	-	-	2,514,896	2,514,896
Total business-type activities	<u>\$ 119,489,405</u>	<u>\$ 127,064,711</u>	<u>\$ -</u>	<u>\$ 11,172,100</u>	<u>-</u>	<u>18,747,406</u>	<u>18,747,406</u>
General revenues							
Property taxes - levied for general government					15,975,641	-	15,975,641
In lieu of taxes - other governments					1,306,374	-	1,306,374
Sales taxes					25,652,379	-	25,652,379
Franchise taxes					316,757	-	316,757
Alcoholic beverage taxes					2,081,240	-	2,081,240
Business taxes					1,971,152	-	1,971,152
Income taxes					179,114	-	179,114
Other taxes					522,463	-	522,463
Other sources					839,366	1,022,678	1,862,044
Sale of capital assets					251,511	-	251,511
Unrestricted interest income					3,162,031	2,775,437	5,937,468
Total general revenues					<u>52,258,028</u>	<u>3,798,115</u>	<u>56,056,143</u>
Transfers							
Other transfers					(5,834,304)	5,834,304	-
In lieu of taxes in (out)					1,880,002	(1,880,002)	-
Total transfers					<u>(3,954,302)</u>	<u>3,954,302</u>	<u>-</u>
Total general revenues and transfers					<u>48,303,726</u>	<u>7,752,417</u>	<u>56,056,143</u>
Changes in net position					6,322,428	26,499,823	32,822,251
Net position - beginning					<u>223,406,044</u>	<u>244,507,798</u>	<u>467,913,842</u>
Restatement - error correction					-	(303,914)	(303,914)
Net position, beginning - restated					<u>223,406,044</u>	<u>244,203,884</u>	<u>467,609,928</u>
Net position - ending					<u>\$ 229,728,472</u>	<u>\$ 270,703,707</u>	<u>\$ 500,432,179</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
BALANCE SHEET
GOVERNMENTAL FUNDS
June 30, 2025

	<u>General</u>	<u>Capital Projects</u>	<u>Other Governmental Funds</u>	<u>Total Governmental Funds</u>
Assets				
Cash and cash equivalents	\$ 67,332,903	\$ -	\$ 11,062,096	\$ 78,394,999
Restricted cash and cash equivalents	-	2,917,595	-	2,917,595
Investments	-	-	21,025	21,025
Receivables				
Interest	874,000	-	4,783	878,783
Taxes (net of allowance of \$117,925)	18,232,705	-	-	18,232,705
Accounts (net of allowance of \$1,275)	279,664	-	415,884	695,548
Grants	790,670	-	-	790,670
Intergovernmental	5,929,019	-	-	5,929,019
Other	225,048	-	107,031	332,079
TCRS Stabilization	1,814,621	-	96,264	1,910,885
Inventories	74,587	-	34,095	108,682
Prepaid expense	476,186	-	-	476,186
Total assets	\$ 96,029,403	\$ 2,917,595	\$ 11,741,178	\$ 110,688,176
Liabilities				
Accounts payable	\$ 4,160,311	\$ 343,625	\$ 891,180	\$ 5,395,116
Due to county government	1,373,063	-	-	1,373,063
Accrued expenses	847,831	-	-	847,831
Unearned revenue	44,762	-	-	44,762
Unearned revenue - ARPA grant	2,552,112	-	-	2,552,112
Unearned evidence funds	-	-	179,338	179,338
Performance deposits	-	-	2,407,730	2,407,730
Total liabilities	8,978,079	343,625	3,478,248	12,799,952
Deferred inflows of resources				
Unavailable property taxes	18,632,279	-	-	18,632,279
Total deferred inflows of resources	18,632,279	-	-	18,632,279
Fund balances				
Nonspendable				
Prepays	476,186	-	-	476,186
Funds held in trust	-	-	36,025	36,025
Inventory	74,587	-	34,095	108,682
Restricted for:				
Funds held in trust	-	-	451,230	451,230
TCRS Stabilization	1,814,621	-	96,264	1,910,885
Environmental services	-	-	2,924,400	2,924,400
Drug enforcement	-	-	174,361	174,361
Capital projects	-	2,573,970	-	2,573,970
Stormwater	-	-	4,479,193	4,479,193
Committed for:				
Economic development	156,408	-	-	156,408
Assigned for				
Police special projects	-	-	48,031	48,031
Cemetery	-	-	19,331	19,331
Unassigned	65,897,243	-	-	65,897,243
Total fund balances	68,419,045	2,573,970	8,262,930	79,255,945
Total liabilities, deferred inflows of resources, and fund balances	\$ 96,029,403	\$ 2,917,595	\$ 11,741,178	\$ 110,688,176

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
RECONCILIATION OF THE BALANCE SHEET OF GOVERNMENTAL FUNDS
TO THE STATEMENT OF NET POSITION
June 30, 2025

Amounts reported for the governmental activities in the statement of net position (Pages 11 and 12) are different because:

Fund balance - total governmental funds (Page 14)	\$ 79,255,945
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in funds.	173,408,497
Receivables not available to pay for current expenditures and, therefore, are deferred in the funds.	1,062,962
Long-term liabilities, including notes, bonds, leases payable, and other long term liabilities are not due in the current period and, therefore, are not reported in the funds.	
Bonds payable	(20,625,000)
Bond premiums	(1,283,957)
Compensated absences	(2,597,060)
Net pension liability	(299,351)
Deferred outflows of resources - pension are not due in the current period and, therefore, are not reported in the funds	1,221,234
Deferred inflows of resources - pension are not receivable in the current period and, therefore, are not reported in the funds	(79,698)
Payables, such as accrued interest payable, are not due and payable in the current period and, therefore, are not reported in the funds.	<u>(335,100)</u>
Net position - governmental activities (Page 12)	<u>\$ 229,728,472</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS

For the Fiscal Year Ended June 30, 2025

		Capital	Other	Total
	General	Projects	Governmental	Governmental
Revenues			Funds	Funds
Taxes	\$ 40,003,594	\$ -	\$ -	\$ 40,003,594
Licenses and permits	4,734,324	-	-	4,734,324
Intergovernmental	15,247,293	253,513	69,926	15,570,732
Charges for services	3,689,821	-	5,635,381	9,325,202
Fines	1,399,434	-	91,668	1,491,102
Other	5,358,297	502,735	540,250	6,401,282
Total revenues	<u>70,432,763</u>	<u>756,248</u>	<u>6,337,225</u>	<u>77,526,236</u>
Expenditures				
Current				
General government	15,337,630	-	-	15,337,630
Public safety	26,759,409	-	149,403	26,908,812
Engineering	3,372,709	-	-	3,372,709
Environmental services	-	-	3,955,504	3,955,504
Public works	1,204,229	-	-	1,204,229
Highways and streets	2,572,743	-	250	2,572,993
Vehicle maintenance	583,972	-	-	583,972
Parks and recreation	6,805,630	-	-	6,805,630
Economic development	1,845,826	-	-	1,845,826
Tourism	105,547	-	-	105,547
ARPA	3,680,032	-	-	3,680,032
Capital outlay	-	1,358,237	1,838,935	3,197,172
Debt service				
Principal	1,895,000	-	-	1,895,000
Interest	754,850	-	-	754,850
Other debt service expense	1,260	-	-	1,260
Total expenditures	<u>64,918,837</u>	<u>1,358,237</u>	<u>5,944,092</u>	<u>72,221,166</u>
Excess (deficiency) of revenues over (under) expenditures	<u>5,513,926</u>	<u>(601,989)</u>	<u>393,133</u>	<u>5,305,070</u>
Other financing sources (uses)				
Transfers in - in lieu of taxes	1,880,002	-	-	1,880,002
Transfers (to)/from other funds	<u>(5,984,304)</u>	<u>-</u>	<u>150,000</u>	<u>(5,834,304)</u>
Total other financing sources (uses)	<u>(4,104,302)</u>	<u>-</u>	<u>150,000</u>	<u>(3,954,302)</u>
Net changes in fund balances	1,409,624	(601,989)	543,133	1,350,768
Fund balances - beginning	67,009,421	3,175,959	7,719,797	77,905,177
Fund balances - ending	<u>\$ 68,419,045</u>	<u>\$ 2,573,970</u>	<u>\$ 8,262,930</u>	<u>\$ 79,255,945</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES,
AND CHANGES IN FUND BALANCES OF GOVERNMENTAL FUNDS TO
THE STATEMENT OF ACTIVITIES
For the Fiscal Year Ended June 30, 2025

Amounts reported for the governmental activities in the statement of activities (Page 13) are different because:

Net change in fund balances - total governmental funds (Page 16)	\$ 1,350,768
Governmental funds report capital outlays as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense in the current period. This is the amount by which capital outlays exceeded depreciation in the current period.	(501,393)
The payment of pension contributions consumes current financial resources in the governmental funds. These transactions do not have any effect on the net position, but are considered deferred outflows of resources, while pension expense has no effect on the fund statements but does effect net position.	
Contributions subsequent to the measurement date- Pension	464,830
Pension expense	(238,977)
The donation of capital assets does not provide current financial resources and are not reported as revenues in the funds	3,098,000
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds.	316,788
The repayment of the principal of long-term debt consumes the current financial resources of governmental funds. These transactions do not have any effect on net position.	1,895,000
Some expenses reported in the statement of activities, such as amortization expense, do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds	
Amortization of bond premium	258,501
Some expenses reported in the statement of activities, such as accrued leave and accrued interest, do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds.	(321,089)
Change in net position of governmental activities (Page 13)	<u>\$ 6,322,428</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
June 30, 2025

	Electric Division	Water & Sewer Division	Gas Division	Totals
Assets and deferred outflows of resources				
Current assets				
Cash on hand	\$ -	\$ 5,053	\$ 420	\$ 5,473
Cash and cash equivalents - general	16,610,629	27,532,735	13,368,234	57,511,598
Cash and cash equivalents - restricted	2,246,261	-	-	2,246,261
Certificates of deposit	5,111,189	-	-	5,111,189
Accounts receivable - trade (net of allowance for uncollectibles)	9,546,757	1,824,052	1,443,464	12,814,273
Accounts receivable - other	-	-	7,616	7,616
Prepayments and other current assets	109,397	-	17,327	126,724
Materials and supplies	3,494,452	2,140,337	3,018,056	8,652,845
Total current assets	37,118,685	31,502,177	17,855,117	86,475,979
Noncurrent assets				
Other assets				
Other receivables	105,903	-	-	105,903
TCRS Stabilization Fund		301,945	115,552	417,497
Net Pension Asset	2,536,055	-	-	2,536,055
Net OPEB Asset	192,021	-	-	192,021
Total other assets	2,833,979	301,945	115,552	3,251,476
Capital assets, not being depreciated				
Land	4,909,040	4,097,094	231,447	9,237,581
Construction in progress	5,679,311	16,204,535	903,619	22,787,465
Capital assets, net of accumulated depreciation				
Transmission plant	882,903	-	-	882,903
Distribution plant	40,357,636	114,061,507	50,436,687	204,855,830
General plant	3,752,321	-	-	3,752,321
Buildings	-	22,114,984	1,683,104	23,798,088
Operating equipment	-	340,478	142,698	483,176
Rolling stock	-	298,399	16,240	314,639
Office furniture and equipment	-	423	4,567	4,990
Total capital assets	55,581,211	157,117,420	53,418,362	266,116,993
Total noncurrent assets	58,415,190	157,419,365	53,533,914	269,368,469
Total assets	95,533,875	188,921,542	71,389,031	355,844,448
Deferred outflows of resources				
Loss on bond refunding	-	2,095,420	-	2,095,420
Deferred outflows related to pensions	594,575	163,277	68,129	825,981
Deferred outflows related to OPEB	40,957	-	-	40,957
Total deferred outflows of resources	\$ 635,532	\$ 2,258,697	\$ 68,129	\$ 2,962,358

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
JUNE 30, 2025

	Electric Division	Water & Sewer Division	Gas Division	Totals
Liabilities				
Current liabilities				
Accounts payable	\$ 12,958,340	\$ 384,667	\$ 1,857,724	\$ 15,200,731
Other accrued expense	303,844	603,069	1,976	908,889
Accrued interest	169,293	-	-	169,293
Customers' deposits	5,634,134	434,129	299,910	6,368,173
Accrued leave	180,969	-	-	180,969
Performance deposits	-	148,646	-	148,646
Accrued sales tax payable	165,551	-	-	165,551
Current maturities of long-term debt	-	2,780,000	500,000	3,280,000
Total current liabilities	19,412,131	4,350,511	2,659,610	26,422,252
Noncurrent liabilities				
Bonds payable (less current maturities)	10,905,000	31,125,000	12,080,000	54,110,000
Bond premiums	877,727	2,706,607	954,190	4,538,524
Accrued leave	769,426	470,188	147,399	1,387,013
Net pension liability	-	40,023	16,700	56,723
Total noncurrent liabilities	12,552,153	34,341,818	13,198,289	60,092,260
Total liabilities	31,964,284	38,692,329	15,857,899	86,514,512
Deferred inflows of resources				
Deferred inflows - related to pension	1,340,895	10,655	4,446	1,355,996
Deferred inflows - related to OPEB	232,591	-	-	232,591
Total deferred inflows of resources	1,573,486	10,655	4,446	1,588,587
Net position				
Net investment in capital assets	43,798,484	122,601,233	39,884,172	206,283,889
Restricted - Pension	2,536,055	-	-	2,536,055
Restricted - TCRS Stabilization	-	301,945	115,552	417,497
Restricted- OPEB	192,021	-	-	192,021
Restricted for unemployment	2,246,261	-	-	2,246,261
Unrestricted	13,858,816	29,574,077	15,595,091	59,027,984
Total net position	\$ 62,631,637	\$ 152,477,255	\$ 55,594,815	\$ 270,703,707

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
PROPRIETARY FUNDS

For the Fiscal Year Ended June 30, 2025

	Electric Division	Water & Sewer Division	Gas Division	Totals
Operating revenues				
Charges for sales and service	\$ 82,835,167	\$ 21,934,694	\$ 17,826,393	\$ 122,596,254
Forfeited discounts	296,092	144,151	83,873	524,116
Other operating revenue	1,109,847	2,127,071	345,898	3,582,816
Total operating revenues	<u>84,241,106</u>	<u>24,205,916</u>	<u>18,256,164</u>	<u>126,703,186</u>
Operating expenses				
Cost of sales and service	66,628,500	-	10,566,886	77,195,386
Water treatment and pumping	-	3,055,798	-	3,055,798
Transmission and distribution	8,894,491	2,211,706	891,853	11,998,050
Customer service and collection	1,441,421	945,475	882,864	3,269,760
General administration	2,413,622	1,853,663	1,123,906	5,391,191
Sewer collection	-	1,300,759	-	1,300,759
Sewer system rehab	-	543,802	-	543,802
Sewer treatment and disposal	-	2,613,122	-	2,613,122
Sewer pretreatment	-	114,902	-	114,902
Maintenance	2,357,595	178,443	125,290	2,661,328
Customer deposit interest	171,423	-	-	171,423
Provision for depreciation	2,692,780	4,500,915	1,531,567	8,725,262
Payroll taxes	266,210	58,774	74,714	399,698
Total operating expenses	<u>84,866,042</u>	<u>17,377,359</u>	<u>15,197,080</u>	<u>117,440,481</u>
Operating income (loss)	<u>(624,936)</u>	<u>6,828,557</u>	<u>3,059,084</u>	<u>9,262,705</u>
Nonoperating revenues (expenses)				
Interest and other income	670,871	1,111,766	992,800	2,775,437
Amortization of bond premiums	-	303,004	58,521	361,525
Amortization of loss on refunding	-	(174,618)	-	(174,618)
Bond Issuance Costs	-	-	(115,590)	(115,590)
Interest and other expense	(287,843)	(983,754)	(487,119)	(1,758,716)
Total nonoperating revenues (expenses)	<u>383,028</u>	<u>256,398</u>	<u>448,612</u>	<u>1,088,038</u>
Income (loss) before transfers and contributions	<u>(241,908)</u>	<u>7,084,955</u>	<u>3,507,696</u>	<u>10,350,743</u>
Transfers and capital contributions				
Transfers in	-	5,834,304	-	5,834,304
Transfers out - in lieu of taxes	(1,086,425)	(415,801)	(377,776)	(1,880,002)
Tap fees	-	1,022,678	-	1,022,678
Capital contributions	6,573,602	4,598,498	-	11,172,100
Total transfers and capital contributions	<u>5,487,177</u>	<u>11,039,679</u>	<u>(377,776)</u>	<u>16,149,080</u>
Change in net position	5,245,269	18,124,634	3,129,920	26,499,823
Total net position - beginning	57,690,282	134,352,621	52,464,895	244,507,798
Restatement - error correction	(303,914)	-	-	(303,914)
Total net position - beginning - restated	<u>57,386,368</u>	<u>134,352,621</u>	<u>52,464,895</u>	<u>244,203,884</u>
Total net position - ending	<u>\$ 62,631,637</u>	<u>\$ 152,477,255</u>	<u>\$ 55,594,815</u>	<u>\$ 270,703,707</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
For the Fiscal Year Ended June 30, 2025

	Electric Division	Water & Sewer Division	Gas Division	Totals
Cash flows from operating activities:				
Cash received from consumers	\$ 82,708,621	\$ 23,924,382	\$ 17,995,567	\$ 124,628,570
Cash paid to suppliers of goods and services	(75,306,299)	(9,302,534)	(11,274,260)	(95,883,093)
Cash paid to employees for services	(4,991,891)	(3,985,218)	(1,450,967)	(10,428,076)
Interest paid on customer deposits	(154,055)	-	-	(154,055)
Net decrease in TVA loan funds receivable	589	-	-	589
Net decrease in TVA loan funds payable	(654)	-	-	(654)
Net change in customer deposits	-	11,548	8,969	20,517
Net cash provided (used) by operating activities	<u>2,256,311</u>	<u>10,648,178</u>	<u>5,279,309</u>	<u>18,183,798</u>
Cash flow from noncapital financing activities:				
Transfers from primary government	-	5,834,304	-	5,834,304
Transfers to primary government	<u>(1,086,425)</u>	<u>(415,801)</u>	<u>(377,776)</u>	<u>(1,880,002)</u>
Total cash flow from noncapital financing activities:	<u>(1,086,425)</u>	<u>5,418,503</u>	<u>(377,776)</u>	<u>3,954,302</u>
Cash flows from capital and related financing activities:				
Capital contributed by customers and grants	6,573,602	4,598,498	-	11,172,100
Principal paid on debt	(195,000)	(2,700,000)	(310,000)	(3,205,000)
Tap fees	-	1,022,678	-	1,022,678
Proceeds from the issuance of debt	11,977,727	-	8,375,000	20,352,727
Bond issuance cost	-	-	629,631	629,631
Interest paid on bonds, notes and leases	(287,843)	(983,754)	(487,119)	(1,758,716)
Construction and acquisition of plant	(12,482,726)	(20,245,892)	(5,553,348)	(38,281,966)
Received on sale of assets	1,136,721	-	-	1,136,721
Plant removal cost	(273,277)	-	-	(273,277)
Other	-	-	-	-
Net cash provided (used) by capital and related financing activities	<u>6,449,204</u>	<u>(18,308,470)</u>	<u>2,654,164</u>	<u>(9,205,102)</u>
Cash flows from investing activities:				
Purchase of certificates of deposit	336,805	-	-	336,805
Interest and other income	670,871	1,111,766	992,800	2,775,437
Patronage Dividend	<u>8,904</u>	<u>-</u>	<u>-</u>	<u>8,904</u>
Net cash provided (used) by investing activities	<u>1,016,580</u>	<u>1,111,766</u>	<u>992,800</u>	<u>3,121,146</u>
Net increase (decrease) in cash and cash equivalents	8,635,670	(1,130,023)	8,548,497	16,054,144
Cash and cash equivalents - beginning of year	<u>10,221,220</u>	<u>28,667,811</u>	<u>4,820,157</u>	<u>43,709,188</u>
Cash and cash equivalents - end of year	<u>\$ 18,856,890</u>	<u>\$ 27,537,788</u>	<u>\$ 13,368,654</u>	<u>\$ 59,763,332</u>
Cash and cash equivalents				
Unrestricted cash on hand	-	5,053	420	5,473
Unrestricted cash and cash equivalents on deposit	16,610,629	27,532,735	13,368,234	57,511,598
Restricted cash and cash equivalents on deposit	<u>2,246,261</u>	<u>-</u>	<u>-</u>	<u>2,246,261</u>
Total cash and cash equivalents	\$ 18,856,890	\$ 27,537,788	\$ 13,368,654	\$ 59,763,332

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
For the Fiscal Year Ended June 30, 2025

	<u>Electric Division</u>	<u>Water & Sewer Division</u>	<u>Gas Division</u>	<u>Totals</u>
Reconciliation of operating income (loss) to net cash provided (used) by operating activities:				
Operating income (loss)	\$ (624,936)	\$ 6,828,557	\$ 3,059,084	\$ 9,262,705
Adjustments to reconcile operating income (loss) to net cash provided (used) by operating activities:				
Depreciation and amortization of acquisition costs	3,021,175	4,500,915	1,531,567	9,053,657
Pension asset	(1,940,840)			(1,940,840)
Deferred outflows	989,981	(51,846)	(13,778)	924,357
Deferred inflows	1,112,456	6,765	2,549	1,121,770
OPEB Asset	(81,528)	-	-	(81,528)
Net pension liability	-	6,680	437	7,117
Changes in assets and liabilities:				
Accounts receivable	(1,532,485)	(281,534)	(260,597)	(2,074,616)
Materials and supplies	199,083	(736,356)	(285,951)	(823,224)
Prepayments and other current assets	268,750	-	(17,327)	251,423
TCRS Stabilization Fund		(65,751)	(26,546)	(92,297)
TVA contracts receivable - home weatherization	589	-	-	589
Accounts payable	330,799	(168,173)	1,262,091	1,424,717
Other accrued expense	75,241	603,069	36	678,346
Accrued interest	17,379	-	-	17,379
Customers' deposits	309,951	11,548	8,969	330,468
Accrued leave	111,350	(5,696)	18,775	124,429
TVA contracts payable - home weatherization	(654)	-	-	(654)
Net cash provided (used) by operating activities	<u>\$ 2,256,311</u>	<u>\$ 10,648,178</u>	<u>\$ 5,279,309</u>	<u>\$ 18,183,798</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
Revenues:	Original	Final	Actual	
Taxes:				
Property tax current	\$14,800,000	\$14,800,000	\$ 15,582,324	\$ 782,324
Property taxes delinquent	125,000	125,000	(6,754)	(131,754)
Property tax penalty and interest	30,000	30,000	83,283	53,283
Local sales tax	17,000,000	17,000,000	19,963,929	2,963,929
Local beer tax	1,247,000	1,247,000	991,590	(255,410)
Local liquor tax	625,000	625,000	646,173	21,173
Business tax	1,900,000	1,900,000	1,931,211	31,211
Privilege tax	38,000	38,000	39,941	1,941
Cable TV franchise fee	450,000	450,000	316,757	(133,243)
Occupancy Tax	385,000	385,000	419,834	34,834
Special assessments	7,000	7,000	35,306	28,306
	<u>36,607,000</u>	<u>36,607,000</u>	<u>40,003,594</u>	<u>3,396,594</u>
Licenses and permits:				
Beer licenses	5,000	5,000	5,800	800
Building permits	1,025,000	1,025,000	1,518,390	493,390
Plumbing permits	275,000	275,000	337,165	62,165
Planning fees	550,000	550,000	470,737	(79,263)
Other mechanical permits	450,000	450,000	473,242	23,242
Other permits	1,825,500	1,825,500	1,928,990	103,490
	<u>4,130,500</u>	<u>4,130,500</u>	<u>4,734,324</u>	<u>603,824</u>
Intergovernmental:				
In lieu of tax - Housing authority	3,600	3,600	3,794	194
In lieu of tax - industry	166,000	166,000	762,797	596,797
State - sales tax	5,400,000	5,400,000	5,688,447	288,447
State - income tax	-	-	1,081	1,081
State - beer tax	21,000	21,000	18,699	(2,301)
State - mixed drink tax	310,000	310,000	418,978	108,978
State - gas and motor fuel tax	1,584,000	1,584,000	805,915	(778,085)
State - gas - 1989	-	-	126,197	126,197
State - gas - 3 cent	-	-	233,021	233,021
State - gas - 2017	-	-	406,007	406,007
State- Modernization	2,000	2,000	18,757	16,757
State - petroleum special	80,500	80,500	81,977	1,477
State - Sports Bet	70,000	70,000	102,629	32,629
State - TVA in lieu of tax	533,000	533,000	539,783	6,783
State - excise tax	155,000	155,000	178,033	23,033
State salary supplements	-	189,600	189,600	-
Other federal grants	1,706,540	5,253,246	1,115,955	(4,137,291)

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
Revenues:	Original	Final	Actual	
Intergovernmental (cont.):				
Local grants	\$ -	\$ 1,284,814	\$ 482,314	\$ (802,500)
ARPA	-	19,000,000	3,896,289	(15,103,711)
Other state grants	10,000	123,000	177,020	54,020
	<u>10,041,640</u>	<u>34,175,760</u>	<u>15,247,293</u>	<u>(18,928,467)</u>
Charges for services:				
Admin and management services	250,000	250,000	274,550	24,550
Accounting and management services	135,616	135,616	135,616	-
Personnel services	96,396	96,396	96,396	-
Other legal services	134,266	134,266	134,266	-
Miscellaneous	8,000	8,000	18,367	10,367
Vehicle maintenance charges	40,000	40,000	49,544	9,544
Rent	42,000	42,000	49,541	7,541
Golf course revenue	1,513,000	1,513,000	1,774,377	261,377
Civic center revenue	1,009,800	1,009,800	1,157,164	147,364
	<u>3,229,078</u>	<u>3,229,078</u>	<u>3,689,821</u>	<u>460,743</u>
Fines and forfeitures:				
Fines and forfeitures:	486,000	486,000	1,366,674	880,674
Drug fines	22,500	22,500	32,760	10,260
	<u>508,500</u>	<u>508,500</u>	<u>1,399,434</u>	<u>890,934</u>
Other:				
Miscellaneous	10,000	10,817	114,280	103,463
Sale of cemetery lots	500	500	-	(500)
Sale of materials	2,000	2,000	4,711	2,711
Sale of equipment	20,000	120,000	119,077	(923)
Donations	475,000	587,686	2,006,091	1,418,405
Insurance recoveries	-	26,008	167,986	141,978
Interest	475,000	975,000	2,946,152	1,971,152
	<u>982,500</u>	<u>1,722,011</u>	<u>5,358,297</u>	<u>3,636,286</u>
Total revenues	\$ 55,499,218	\$ 80,372,849	\$ 70,432,763	\$ (9,940,086)

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
Expenditures:	Original	Final	Actual	
General government:				
Mayor's office:				
Current:				
Salaries	\$ 310,390	\$ 310,390	\$ 612,692	\$ 302,302
Employee benefits and taxes	87,096	87,096	111,455	24,359
Officials fees	48,650	48,650	37,125	(11,525)
Printing & publications	12,300	12,300	14,175	1,875
Membership fees	60,000	60,000	58,539	(1,461)
Repairs and maintenance	10,000	10,000	-	(10,000)
Utilities	3,000	3,000	2,214	(786)
Other professional services	140,000	140,000	294,182	154,182
Travel and meals	25,500	26,771	18,382	(8,389)
Mayor's expenses	7,000	7,000	6,602	(398)
Council expenses	16,800	16,800	4,937	(11,863)
Office supplies	6,850	6,850	2,246	(4,604)
Payments in lieu of tax	216,000	216,000	280,797	64,797
County portion of liquor tax	180,000	180,000	231,454	51,454
Discounts on taxes	14,000	14,000	12,242	(1,758)
Grants, donations	7,000	7,000	3,239	(3,761)
RTA program	55,597	55,597	55,597	-
Prizes and awards	18,000	18,795	16,234	(2,561)
Downtown landscape and streetscape	46,000	46,000	12,988	(33,012)
Miscellaneous	802,300	3,245,833	481,794	(2,764,039)
Capital outlay	1,500	2,246,126	2,231,878	(14,248)
	<u>2,067,983</u>	<u>6,758,208</u>	<u>4,488,772</u>	<u>(2,269,436)</u>
Finance department:				
Current:				
Salaries	596,861	596,861	588,603	(8,258)
Employee benefits and taxes	163,835	163,835	158,209	(5,626)
Postage	3,000	3,000	6,237	3,237
Printing & publications	3,000	3,000	1,958	(1,042)
Membership fees	900	900	395	(505)
Utilities	800	800	1,000	200
Accounting services	90,500	90,500	89,600	(900)
Repairs and maintenance	1,000	1,000	831	(169)
Training	2,800	2,800	1,170	(1,630)
Operating supplies	4,000	4,000	1,792	(2,208)
Miscellaneous	3,100	3,100	8,131	5,031
Noncapital expenditures	64,500	64,500	11,613	(52,887)
	<u>\$ 934,296</u>	<u>\$ 934,296</u>	<u>\$ 869,539</u>	<u>\$ (64,757)</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
Expenditures:	Original	Final	Actual	
General government:				
City recorder:				
Current:				
Salaries	\$ 387,724	\$ 387,724	\$ 332,812	\$ (54,912)
Employee benefits and taxes	148,027	148,027	111,649	(36,378)
Postage	17,600	17,600	21,640	4,040
Printing & publications	750	750	1,557	807
Membership fees	3,500	3,500	882	(2,618)
Utilities	500	500	436	(64)
Data processing services	-	-	4,004	4,004
Other professional services	500	500	400	(100)
Travel	4,000	4,000	969	(3,031)
Other contractual services	6,000	6,000	10,865	4,865
Office supplies	4,500	4,500	3,117	(1,383)
Miscellaneous	12,250	12,250	10,423	(1,827)
	<u>585,351</u>	<u>585,351</u>	<u>498,754</u>	<u>(86,597)</u>
Risk management:				
Current:				
HRA expense	235,000	235,000	241,329	6,329
Workers compensation	475,000	475,000	611,018	136,018
ADA transition plan	500,000	550,000	51,516	(498,484)
Building insurance	115,000	115,000	98,486	(16,514)
General liability	500,000	500,000	482,406	(17,594)
Miscellaneous	-	100,000	63,626	(36,374)
	<u>1,825,000</u>	<u>1,975,000</u>	<u>1,548,381</u>	<u>(426,619)</u>
Attorney:				
Current:				
Salaries	469,994	469,994	408,156	(61,838)
Employee benefits and taxes	109,524	109,524	100,576	(8,948)
Printing & publications	3,600	3,600	2,303	(1,297)
Licenses	650	650	-	(650)
Tax law or other publications	13,500	13,500	14,895	1,395
Membership fees	4,750	4,750	3,683	(1,067)
Utilities	1,400	1,400	1,013	(387)
Legal services	50,000	50,000	1,463	(48,537)

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
Expenditures:	Original	Final	Actual	
General government:				
Attorney:				
Current:				
Other professional services	\$ 15,000	\$ 15,000	\$ 202	\$ (14,798)
Travel and meals	4,500	4,500	6,584	2,084
Training	3,500	3,500	3,546	46
Office supplies	600	600	298	(302)
Educational supplies	23,111	36,348	8,587	(27,761)
Miscellaneous	3,150	3,150	808	(2,342)
	<u>703,279</u>	<u>716,516</u>	<u>552,114</u>	<u>(164,402)</u>
Information technology:				
Current:				
Salaries	642,874	642,874	631,027	(11,847)
Employee benefits and taxes	200,734	200,734	189,923	(10,811)
Copier expense	250	250	152	(98)
Membership fees	700	700	-	(700)
Utilities	5,000	5,000	4,949	(51)
Other professional services	55,000	60,456	83,868	23,412
Other contractual services	1,163,000	1,245,794	1,055,198	(190,596)
Training	10,000	10,000	-	(10,000)
Office supplies	2,000	2,000	2,884	884
Operating supplies	11,000	11,331	11,505	174
Miscellaneous	10,800	10,800	8,727	(2,073)
Noncapital expenditures	<u>629,500</u>	<u>839,502</u>	<u>630,863</u>	<u>(208,639)</u>
	<u>2,730,858</u>	<u>3,029,441</u>	<u>2,619,096</u>	<u>(410,345)</u>
Personnel:				
Current:				
Salaries	412,200	412,200	375,242	(36,958)
Employee benefits and taxes	132,722	132,722	120,702	(12,020)
Printing & publications	2,000	2,000	1,337	(663)
Utilities	500	500	436	(64)
Physicals	-	-	(12)	(12)
Professional services	15,000	15,000	13,631	(1,369)
Training	14,000	14,000	12,221	(1,779)
Office supplies	2,900	2,900	2,448	(452)
Operating supplies	1,000	1,000	707	(293)
Miscellaneous	10,950	10,950	10,825	(125)
Noncapital expenditures	<u>500</u>	<u>500</u>	<u>520</u>	<u>20</u>
	<u>\$ 591,772</u>	<u>\$ 591,772</u>	<u>\$ 538,057</u>	<u>\$ (53,715)</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	<u>Budgeted Amounts</u>			Variance with Final Budget Over (Under)
Expenditures:	<u>Original</u>	<u>Final</u>	<u>Actual</u>	
General government:				
City Planner:				
Current:				
Salaries	\$ 774,533	\$ 774,533	\$ 765,595	\$ (8,938)
Employee benefits and taxes	303,689	303,689	251,473	(52,216)
Planning commission	18,825	18,825	15,475	(3,350)
Postage	500	500	918	418
Printing & publications	4,000	4,000	1,840	(2,160)
Membership fees	4,050	4,050	3,020	(1,030)
Utilities	3,000	3,000	2,943	(57)
Repairs and maintenance	1,200	1,200	1,062	(138)
Other Professional Services	-	-	45,300	45,300
Office supplies	4,500	4,500	2,683	(1,817)
Gas, oil, diesel, etc.	1,400	1,400	1,106	(294)
Miscellaneous	53,252	308,527	213,085	(95,442)
Capital outlay	109,500	136,500	59,138	(77,362)
	<u>1,278,449</u>	<u>1,560,724</u>	<u>1,363,638</u>	<u>(197,086)</u>
General government buildings:				
Current:				
Salaries	320,338	320,338	321,453	1,115
Employee benefits and taxes	110,159	110,159	100,104	(10,055)
Utilities	75,500	75,500	79,963	4,463
Repairs and maintenance	35,000	35,000	35,180	180
Other contractual services	88,015	88,015	74,049	(13,966)
Small equipment	2,000	2,000	1,984	(16)
Operating supplies	5,500	5,500	4,025	(1,475)
Janitorial supplies	8,000	8,000	9,555	1,555
Gas, oil, diesel, etc.	4,000	4,000	2,893	(1,107)
Miscellaneous	7,056	7,056	6,064	(992)
Capital outlay	162,540	248,372	177,862	(70,510)
	<u>\$ 818,108</u>	<u>\$ 903,940</u>	<u>\$ 813,132</u>	<u>\$ (90,808)</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

Expenditures:	Budgeted Amounts		Actual	Variance with Final Budget Over (Under)
	Original	Final		
General government:				
Codes:				
Current:				
Salaries	\$ 1,317,607	\$ 1,317,607	\$ 1,196,874	\$ (120,733)
Employee benefits and taxes	460,341	460,341	363,756	(96,585)
Postage	500	500	131	(369)
Printing & publications	9,000	9,000	4,714	(4,286)
Membership fees	9,500	9,500	7,521	(1,979)
Utilities	14,000	14,000	13,413	(587)
Repairs and maintenance	3,800	3,800	4,459	659
Other Professional Services	14,500	14,500	5,308	(9,192)
Office supplies	2,000	2,960	1,991	(969)
Gas, oil, diesel, etc.	18,000	18,000	12,677	(5,323)
Miscellaneous	74,800	74,800	83,767	8,967
Capital outlay	2,000	41,588	41,386	(202)
	<u>1,926,048</u>	<u>1,966,596</u>	<u>1,735,997</u>	<u>(230,599)</u>
Community services:				
Current:				
July 4th celebration	25,600	37,750	37,150	(600)
Appropriations to non profits	<u>273,000</u>	<u>273,000</u>	<u>273,000</u>	<u>-</u>
	<u>298,600</u>	<u>310,750</u>	<u>310,150</u>	<u>(600)</u>
Total general government	<u>13,759,744</u>	<u>19,332,594</u>	<u>15,337,630</u>	<u>(3,994,964)</u>
Public safety:				
Police:				
Current:				
Salaries	8,620,844	8,736,044	8,988,673	252,629
Employee benefits and taxes	3,153,603	3,153,603	2,834,034	(319,569)
Postage	3,000	3,000	5,870	2,870
Printing & publications	22,400	22,400	23,704	1,304
Membership fees	6,500	6,500	7,625	1,125
Public relations	2,000	2,000	2,126	126
Utilities	93,905	93,905	111,732	17,827
Physicals	17,000	17,000	18,746	1,746
Data processing services	22,500	22,500	89,367	66,867
Repairs and maintenances	147,000	147,000	199,830	52,830

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts		Actual	Variance with
	Original	Final		Final Budget Over (Under)
Expenditures:				
Public safety:				
Police:				
Current:				
Travel	\$ 25,000	\$ 25,000	\$ 14,001	\$ (10,999)
Other contractual services	90,000	90,826	118,746	27,920
Reserve officers expense	10,000	10,000	16,477	6,477
Office supplies	4,000	4,000	4,675	675
Small office equipment	3,000	3,000	6,938	3,938
Operating supplies	32,000	32,000	53,281	21,281
Janitorial supplies	3,000	3,000	5,934	2,934
Clothing and uniforms	85,000	87,764	113,968	26,204
Fire arm supplies	35,000	35,000	31,251	(3,749)
Other operating supplies	3,000	3,000	6,165	3,165
Gas, oil, diesel, etc.	205,000	205,000	269,914	64,914
Other supplies	3,000	3,000	2,864	(136)
Other grants and donations	1,330,000	1,330,000	1,127,019	(202,981)
Capital outlay	1,286,000	1,499,460	1,601,173	101,713
	<u>15,202,752</u>	<u>15,535,002</u>	<u>15,654,113</u>	<u>119,111</u>
Fire department:				
Current:				
Salaries	7,099,757	7,174,157	7,428,487	254,330
Employee benefits and taxes	2,644,172	2,644,172	2,499,446	(144,726)
Printing & publications	7,350	7,350	6,937	(413)
Membership fees	8,000	8,000	8,133	133
Utilities	93,356	93,356	83,235	(10,121)
Physicals	56,000	56,000	64,678	8,678
Repairs and maintenance	240,000	253,030	196,310	(56,720)
Travel	30,000	30,000	34,893	4,893
Other contractual services	220,000	220,000	117,873	(102,127)
Training	85,000	85,052	86,841	1,789
Office supplies	2,500	2,500	2,384	(116)
Small office equipment	500	500	38	(462)
Operating supplies	20,000	20,000	17,156	(2,844)
Janitorial supplies	11,000	11,000	10,431	(569)
Clothing and uniforms	56,000	56,000	44,412	(11,588)
Fire prevention supplies	8,000	8,000	4,360	(3,640)

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	<u>Budgeted Amounts</u>			Variance with Final Budget Over (Under)
Expenditures:	<u>Original</u>	<u>Final</u>	<u>Actual</u>	
Fire department:				
Current:				
Gas, oil, diesel, etc.	137,500	137,510	85,163	\$ (52,347)
Miscellaneous	37,800	40,241	25,024	(15,217)
Capital outlay	424,500	477,815	389,495	(88,320)
	<u>11,181,435</u>	<u>11,324,683</u>	<u>11,105,296</u>	<u>(219,387)</u>
Total public safety	<u>26,384,187</u>	<u>26,859,685</u>	<u>26,759,409</u>	<u>(100,276)</u>
Engineering:				
Current:				
Salaries	720,407	720,407	726,929	6,522
Employee benefits and taxes	231,618	231,618	223,530	(8,088)
Printing	3,000	3,000	2,260	(740)
Licenses	2,000	2,000	1,143	(857)
Membership fees	700	700	989	289
Utilities	11,700	11,700	12,518	818
Professional services	50,000	258,620	172,962	(85,658)
Repairs and maintenance	29,000	29,000	21,225	(7,775)
Other contractual services	3,600	3,600	-	(3,600)
Office supplies	2,000	2,000	1,822	(178)
Operating supplies	3,950	3,950	2,600	(1,350)
Gas, oil, diesel, etc.	3,500	3,500	2,378	(1,122)
Miscellaneous	5,850	5,850	3,210	(2,640)
Capital outlay	<u>1,640,000</u>	<u>8,480,521</u>	<u>2,201,143</u>	<u>(6,279,378)</u>
Total engineering	<u>\$ 2,707,325</u>	<u>\$ 9,756,466</u>	<u>\$ 3,372,709</u>	<u>\$ (6,383,757)</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	<u>Budgeted Amounts</u>			Variance with Final Budget Over (Under)
Expenditures:	<u>Original</u>	<u>Final</u>	<u>Actual</u>	
Public works:				
Current:				
Salaries	\$ 292,833	\$ 292,833	\$ 292,153	\$ (680)
Employee benefits and taxes	96,315	96,315	92,935	(3,380)
Utilities	1,300	1,300	936	(364)
Repairs and maintenance	18,700	20,450	18,142	(2,308)
Gas, oil, diesel, etc.	16,000	16,000	15,647	(353)
Miscellaneous	48,506	48,506	24,543	(23,963)
Capital outlay	<u>1,330,000</u>	<u>2,244,578</u>	<u>759,873</u>	<u>(1,484,705)</u>
Total public works	<u>1,803,654</u>	<u>2,719,982</u>	<u>1,204,229</u>	<u>(1,515,753)</u>
Highways and streets:				
Current:				
Salaries	1,284,247	1,284,247	1,051,321	(232,926)
Employee benefits and taxes	524,999	524,999	366,637	(158,362)
Utilities	326,750	326,750	288,206	(38,544)
Physicals	2,600	2,600	3,702	1,102
Repairs and maintenance	195,000	190,000	151,666	(38,334)
Travel	9,600	9,600	4,899	(4,701)
Other contractual services	10,306	10,306	1,414	(8,892)
Operating supplies	67,500	74,000	46,671	(27,329)
Agricultural and horticultural supplies	8,000	8,000	8,862	862
Janitorial supplies	1,000	1,000	1,123	123
Clothing and uniforms	9,000	9,000	7,697	(1,303)
Other operating supplies	1,500	1,500	1,142	(358)
Gas, oil, diesel, etc.	66,000	66,000	47,078	(18,922)
Consumable tools	3,500	3,500	2,688	(812)
Sign parts and supplies	30,000	30,000	35,274	5,274
Demolition and mowing	12,000	12,000	9,851	(2,149)
Other supplies	1,500	1,500	1,381	(119)
Salt	100,000	100,000	96,803	(3,197)
Drainage material	-	-	30	30
Inmate crew	11,000	11,000	9,688	(1,312)
Miscellaneous	11,550	11,550	5,676	(5,874)
Capital outlay	<u>1,343,750</u>	<u>5,106,047</u>	<u>430,934</u>	<u>(4,675,113)</u>
Total highways and streets	<u>\$ 4,019,802</u>	<u>\$ 7,783,599</u>	<u>\$ 2,572,743</u>	<u>\$ (5,210,856)</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	<u>Budgeted Amounts</u>			<u>Variance with Final Budget Over (Under)</u>
Expenditures:	<u>Original</u>	<u>Final</u>	<u>Actual</u>	
Vehicle maintenance:				
Current:				
Salaries	\$ 347,666	\$ 347,666	\$ 318,433	\$ (29,233)
Employee benefits and taxes	109,003	109,003	96,962	(12,041)
Utilities	12,350	12,350	12,155	(195)
Repairs and maintenance	113,500	113,500	21,050	(92,450)
Operating supplies	2,200	2,200	3,637	1,437
Clothing and uniforms	2,000	2,000	1,628	(372)
Maintenance supplies	500	500	-	(500)
Gas, oil, diesel, etc.	4,500	4,500	2,612	(1,888)
Miscellaneous	7,800	7,800	5,173	(2,627)
Capital outlay	<u>123,500</u>	<u>123,500</u>	<u>122,322</u>	<u>(1,178)</u>
	<u>723,019</u>	<u>723,019</u>	<u>583,972</u>	<u>(139,047)</u>
Parks and recreation				
Civic Center:				
Current:				
Salaries	934,699	934,699	940,488	5,789
Employee benefits and taxes	196,614	196,614	180,377	(16,237)
Postage	1,500	1,500	1,504	4
Printing and publications	4,500	4,500	2,849	(1,651)
Utilities	230,500	230,500	230,088	(412)
Employee physicals	1,500	1,500	5,682	4,182
Repairs and maintenance	33,500	33,500	25,640	(7,860)
Other contractual services	120,000	120,000	106,207	(13,793)
Operating supplies	95,000	95,000	91,372	(3,628)
Food	75,000	75,158	70,439	(4,719)
Janitorial supplies	18,000	18,000	12,796	(5,204)
Miscellaneous	24,500	24,500	15,629	(8,871)
Capital outlay	<u>265,000</u>	<u>413,323</u>	<u>274,643</u>	<u>(138,680)</u>
	<u>\$ 2,000,313</u>	<u>\$ 2,148,794</u>	<u>\$ 1,957,714</u>	<u>\$ (191,080)</u>

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CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

Expenditures:	Budgeted Amounts		Actual	Variance with Final Budget Over (Under)
	Original	Final		
Golf course:				
Current:				
Salaries	\$ 656,949	\$ 656,949	\$ 640,812	\$ (16,137)
Employee benefits and taxes	184,338	184,338	157,383	(26,955)
Printing and publications	300	300	-	(300)
Membership fees	1,400	1,400	2,355	955
Utilities	42,000	42,000	46,117	4,117
Physicals	200	200	1,004	804
Repairs and maintenance	11,000	13,450	5,275	(8,175)
Other contractual services	12,000	14,500	24,240	9,740
Items for resale	40,000	43,892	35,207	(8,685)
Operating supplies	36,000	36,000	42,747	6,747
Agricultural and horticultural supplies	65,000	65,000	51,375	(13,625)
Food	45,000	45,000	56,729	11,729
Clothing and uniforms	1,500	1,500	1,333	(167)
Gas, oil, diesel, etc.	14,500	14,500	18,568	4,068
Other equipment parts	25,000	25,000	38,030	13,030
Repair parts for water/sewer lines	1,000	1,000	92	(908)
Beer for resale	25,000	25,000	28,046	3,046
Discount credit card	40,000	40,000	71,990	31,990
Miscellaneous	600	600	2,863	2,263
Capital outlay	146,800	288,288	233,489	(54,799)
	<u>1,348,587</u>	<u>1,498,917</u>	<u>1,457,655</u>	<u>(41,262)</u>
Parks:				
Current:				
Salaries	1,161,841	1,161,841	1,080,346	(81,495)
Employee benefits and taxes	372,366	372,366	337,829	(34,537)
Printing and publication	1,500	1,500	597	(903)
Memberships	2,000	2,000	2,920	920
Public relations	2,000	2,000	3,580	1,580
Utilities	219,000	219,000	215,262	(3,738)
Repairs and maintenance	70,000	74,045	64,929	(9,116)
Travel	2,000	2,000	1,371	(629)
Other contractual services	72,000	77,061	110,112	33,051
Inmate crew meals and supplies	4,000	4,000	14,819	10,819
Small equipment	5,000	5,000	9,160	4,160
Operating supplies	80,000	96,333	100,766	4,433
Agricultural and horticultural supplies	20,000	20,000	19,040	(960)

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
Expenditures:	Original	Final	Actual	
Parks:				
Gas, oil, diesel, etc.	60,000	60,000	55,773	(4,227)
Miscellaneous	4,700	4,700	4,953	253
Capital outlay	935,000	1,589,826	1,368,804	(221,022)
	<u>3,011,407</u>	<u>3,691,672</u>	<u>3,390,261</u>	<u>(301,411)</u>
Total parks and recreation	<u>6,360,307</u>	<u>7,339,383</u>	<u>6,805,630</u>	<u>(533,753)</u>
Economic development agency:				
Current:				
Salaries	270,050	270,050	174,541	(95,509)
Employee benefits and taxes	77,299	77,299	45,941	(31,358)
Printing & publications	6,200	6,200	7,347	1,147
Membership fees	10,000	10,000	17,309	7,309
Public relations	22,000	22,000	23,476	1,476
Utilities	1,500	1,500	1,012	(488)
Repairs and maintenance	500	500	161	(339)
Professional services	22,000	27,160	84,016	56,856
Travel	3,000	3,000	7,401	4,401
Office supplies	2,250	2,250	3,555	1,305
Gas, oil, diesel, etc.	1,250	1,250	574	(676)
Miscellaneous	5,150	5,150	5,536	386
Capital outlay	10,000	10,000	10,000	-
	<u>431,199</u>	<u>436,359</u>	<u>380,869</u>	<u>(55,490)</u>
Economic Development Utility				
Current:				
Professional Services	30,000	123,000	109,367	(13,633)
Repairs and maintenance	15,000	15,000	15,000	-
Grants and donations	7,500	7,500	(1)	(7,501)
Capital outlay	22,500	1,248,758	1,340,591	91,833
	<u>75,000</u>	<u>1,394,258</u>	<u>1,464,957</u>	<u>70,699</u>
Tourism				
Current:				
Salaries	62,569	62,569	62,385	(184)
Employee benefits and taxes	20,641	20,641	19,935	(706)
Operating supplies	20,000	20,000	13,896	(6,104)
Miscellaneous	7,050	7,050	9,331	2,281
	<u>110,260</u>	<u>110,260</u>	<u>105,547</u>	<u>(4,713)</u>
ARPA				
Current:				
Consulting services	-	255,000	58,500	(196,500)
Capital outlay	-	30,495,196	3,621,532	(26,873,664)
	<u>-</u>	<u>30,750,196</u>	<u>3,680,032</u>	<u>(27,070,164)</u>

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
GENERAL FUND
STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
Expenditures:	Original	Final	Actual	
Debt service:				
Principal	1,895,000	1,895,000	1,895,000	-
Interest	754,850	754,850	754,850	-
Bond fees	1,800	1,800	1,260	(540)
	<u>2,651,650</u>	<u>2,651,650</u>	<u>2,651,110</u>	<u>(540)</u>
 Total expenditures	 <u>59,026,147</u>	 <u>109,857,451</u>	 <u>64,918,837</u>	 <u>(44,938,614)</u>
 Excess (deficiency) of revenues over (under) expenditures	 (3,526,929)	 (29,484,602)	 5,513,926	 34,998,528
 Other financing sources (uses)				
In lieu of tax payments - utility	1,730,000	1,730,000	1,880,002	150,002
Transfers in	-	67,500	-	(67,500)
Transfers out	-	(150,000)	(5,984,304)	(5,834,304)
Total other financing sources (uses)	<u>1,730,000</u>	<u>1,647,500</u>	<u>(4,104,302)</u>	<u>(5,751,802)</u>
 Net changes in fund balances	 <u>\$ (1,796,929)</u>	 <u>\$(27,837,102)</u>	 1,409,624	 <u>\$ 29,246,726</u>
 Fund balance - beginning			67,009,421	
 Fund balance - ending			<u>\$ 68,419,045</u>	

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF FIDUCIARY NET POSITION
FIDUCIARY FUNDS - ELECTRIC DEPT.
June 30, 2025

Assets	Pension Trust	OPEB Trust	Total
Cash and cash equivalents	\$ 354,545	\$ 8,356	\$ 362,901
Receivables:			
Employee contributions	10,639	-	10,639
Employer contributions	36,318	-	36,318
Investment income	50,222	1,112	51,334
Investments:			
Mutual funds	3,682,902	258,334	3,941,236
US government and municipal obligations	2,717,706	34,977	2,752,683
Corporate bonds and debentures	3,488,830	19,992	3,508,822
Common stocks	7,044,625	312,063	7,356,688
Preferred stocks	39,400	-	39,400
	<u>17,425,187</u>	<u>634,834</u>	<u>18,060,021</u>
Total assets			
Liabilities			
Payables:			
Trustee/Custody fees	1,011	37	1,048
Investment management fees	20,361	745	21,106
	<u>21,372</u>	<u>782</u>	<u>22,154</u>
Total liabilities			
Net position restricted for pensions	\$ 17,403,815	\$ 634,052	\$ 18,037,867

The accompanying notes are an integral part of these financial statements

CITY OF GALLATIN, TENNESSEE
STATEMENT OF CHANGES IN FIDUCIARY NET POSITION
FIDUCIARY FUNDS - ELECTRIC DEPT.
For the Fiscal Year Ended June 30, 2025

Additions

Contributions:

	<u>Pension Trust</u>	<u>OPEB Trust</u>	<u>Total</u>
Employees	\$ 67,395	\$ -	\$ 67,395
Employer	145,270	-	145,270
Total contributions	<u>212,665</u>	<u>-</u>	<u>212,665</u>

Investment income:

Net appreciation in fair value of investments	1,249,018	48,077	1,297,095
Interest and dividends	<u>390,910</u>	<u>14,825</u>	<u>405,735</u>
	1,639,928	62,902	1,702,830
Less: investment fees	<u>(90,178)</u>	<u>(3,349)</u>	<u>(93,527)</u>
Net investment gain	<u>1,549,750</u>	<u>59,553</u>	<u>1,609,303</u>

Total additions	<u>1,762,415</u>	<u>59,553</u>	<u>1,821,968</u>
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Deductions

Benefit payments	<u>712,522</u>	<u>24,659</u>	<u>737,181</u>
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Total deductions	<u>712,522</u>	<u>24,659</u>	<u>737,181</u>
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Change in net position	1,049,893	34,894	1,084,787
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Total net position - beginning	<u>16,353,922</u>	<u>599,158</u>	<u>16,953,080</u>
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Total net position - ending	<u>\$ 17,403,815</u>	<u>\$ 634,052</u>	<u>\$ 18,037,867</u>
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The accompanying notes are an integral part of these financial statements

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A. Reporting Entity

The City of Gallatin, Tennessee (City), operates under a Mayor-Alderman form of government and provides the following services as authorized by its charter: public safety (police and fire), street maintenance, cemetery maintenance, sanitation collection and disposal, recreation, water and sewer, electricity, gas, and general administrative services. As required by generally accepted accounting principles, these financial statements present the government and its component units, entities for which the City is considered to be financially accountable. Blended component units, although legally separate entities, are, in substance, part of the City's operations.

Related organizations

The City's officials are also responsible for appointing the members of the Board of Gallatin Housing Authority (the Housing Authority) of Gallatin, Tennessee but the City's accountability for this organization does not extend beyond making the appointments. Board members of the Housing Authority are appointed by the Mayor, but the City does not provide funding, has no obligation for the debt issued by the Housing Authority, and cannot impose its will upon the operations of the Housing Authority. Accordingly, the Housing Authority has not been included in the reporting entity.

Joint venture

The City is a participant in the Sumner County Resource Authority (the Resource Authority), a joint venture, in which it retains an ongoing financial interest. The Resource Authority is a joint venture of Sumner County and the Cities of Gallatin and Hendersonville and operates a solid waste energy recovery plant. The City has no equity interest in the Resource Authority. Complete financial statements of the Resource Authority are available from the City Finance Director.

B. Government-wide and Fund Financial Statements

The government-wide financial statements (i.e., the statement of net position and the statement of activities) report information on all of the activities of the primary government. For the most part, the effect of the interfund activity has been removed from these statements. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support.

The statement of activities demonstrates the degree to which the direct expenses of the given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or segment. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as general revenues.

Separate financial statements are provided for governmental funds and proprietary funds. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

C. Measurement Focus, Basis of Accounting, and Financial Statements Presentation

The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the proprietary and fiduciary fund financial statements. Revenues are recorded when earned and expenses recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within sixty days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Property taxes, gross receipt taxes, sales taxes, grants, and interest associated with the current fiscal period are all considered to be susceptible to accrual and have been recognized as revenues of the current fiscal period. All other revenue items are considered to be measurable and available only when cash is received by the government.

The City reports the following major governmental funds:

The general fund is the government's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund. The general fund also includes the accounting for all solid waste revenues and expenditures.

The capital projects fund focuses on project-to-date costs for many projects within the City. It accounts for and reports financial resources that are restricted, committed, or assigned to expenditure for capital outlays of governmental fund types including the acquisition and construction of capital facilities and other capital assets.

The City reports the following major proprietary funds:

The electric fund accounts for the activities of the government's electric distribution operations.

The water and sewer fund accounts for the activities associated with the water distribution system, the sewage treatment plant, sewage pumping stations and collection system.

The gas fund accounts for the activities of the government's gas distribution operations.

Additionally, the City reports the following fiduciary funds:

The Electric Department's pension trust fund is used to account for assets held for benefits related to the Gallatin Department of Electricity's pension plan.

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

The Electric Department's OPEB trust fund is used to account for assets held for benefits related to the Gallatin Department of Electricity's OPEB plan.

The financial statements of the City are prepared in accordance with generally accepted accounting principles. The Governmental Accounting Standards Board (GASB) is the accepted standard setting body for establishing governmental accounting and financial reporting principles. The more significant accounting policies of the City are described here with Note 1.

As a general rule the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are payments-in-lieu of taxes and other charges between the government's utility funds and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Amounts reported as program revenues include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and delivering goods in connection with the proprietary fund's principal ongoing operations. The principal operating revenues of the electric, water and sewer, and the gas funds are charges for sales to customers for sales and service. The water and sewer fund also recognizes as operating revenue the portion of tap fees intended to recover the cost of connecting new customers to the system. Operating expenses for the enterprise funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

D. Assets, Liabilities, and Net Position or Equity

Deposits and Investments

The City's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with maturities of three months or less from the date of acquisition. State statutes authorize the City to invest in certificates of deposit, obligations of the U.S. Treasury agencies and instrumentalities, obligations guaranteed by the U.S. government or its agencies, repurchase agreements, and the state's investment pool.

Investments for the City are reported at fair value. The State Local Government Investment Pool is operated in accordance with appropriate state laws and regulations. The reported value of the pool is the same as the fair value of the pool shares.

Receivables and Payables

During the course of operations, numerous transactions occur between individual funds for goods provided or services rendered. These receivables and payables are classified as "due from other funds" or "due to other funds" on the balance sheet.

Property tax receivables are shown net of an allowance for uncollectibles. The allowance is recorded based on the past history of collections. Court fines receivable are also shown net of an allowance for uncollectibles. The allowance is recorded based on management's estimate of what portion of the outstanding receivable will be collected in the future.

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

The allowances for uncollectible customer accounts recorded in the proprietary funds are based on past history of uncollectible accounts and management's analysis of current accounts.

Property taxes are levied annually and mailed on October 1. The taxes are due and payable from October through February of the next year. An unperfected lien attaches by statute to property on January 1 for unpaid taxes from the prior year's levy. Taxes uncollected by March 1, the year after due may be submitted to the Chancery Court for collection. Tax liens become perfected at the time the court enters judgment.

Inventories and Prepaid Items

Inventories of the Water, Sewer, and Gas Funds are valued at the lower cost or market using a weighted-average flow assumption. Inventory of the Electric system is stated at average cost as determined by the moving average inventory method. Inventory of the General fund consists of expendable supplies held for consumption. Governmental fund inventories are recorded at cost under the consumption method.

Restricted Assets

The City elects to use restricted assets before unrestricted assets when the situation arises where either can be used.

The TCRS Stabilization Fund consists of amounts held in a pension stabilization trust by the Tennessee Consolidated Retirement System (TCRS) for the benefit of the City's TCRS Hybrid Plan. The purpose of the trust is to accumulate funds to provide stabilization (smoothing) of retirement costs to the City in times of fluctuating investment returns and market downturns. These funds are held and invested by TCRS pursuant to an irrevocable agreement and may only be used for the benefit of the City to fund retirement benefits upon approval of the TCRS Board of Directors. To date, the City has not withdrawn any funds from the trust to pay pension costs. Trust documents provide that the funds are not subject to the claims of general creditors of the City.

Capital Assets

Capital assets, including property, plant, equipment, and infrastructure assets (e.g., roads, bridges, sidewalks, and similar items) are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined by the government as assets with an initial, individual cost of more than \$75,000 for buildings and improvements other than buildings, and \$25,000 for the remaining capital assets categories, and estimated useful life in excess of two years. Land, construction in progress, and works of art are included in the thresholds. The electric fund uses a capitalization threshold of \$2,000; water and sewer, and gas funds use a threshold of \$25,000; and all three funds use an estimated useful life in excess of two years. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated fair market value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed. Interest incurred during the construction phase of capital assets of business-type activities is included as part of the capitalized value of the assets constructed.

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

Capital assets of the City are depreciated using the straight line method over the following useful lives:

Buildings and improvements	25 - 50 years
Transmission and distribution systems	10 - 50 years
General plant	10 - 50 years
Machinery, equipment, and rolling stock	3 - 10 years
Office furniture and equipment	3 - 10 years
Improvements other than buildings	50 years

Compensated Absences

Vacation pay is accumulated by classified full-time employees according to the following schedule:

Years Service	Annual Vacation Leave
0 - 4 years	10 days
5 - 9 years	16 days
10 - 14 years	17 days
15 - 18 years	19 days
19 or more years	21 days

Vacation leave for designated Department heads/Assistant DH, the City Attorney, the Executive Director of Economic Development, Mayor, and City Recorder shall be sixteen (16) business days each year for the first four (4) years of service, and thereafter increasing to twenty-one (21) business days.

Sick leave is accumulated at the rate of one day per month (same for the Electric fund). At retirement, an employee will be paid accumulated sick leave ranging from 20-50% based on either their age or years of service on effective date of retirement.

Long-term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the effective interest method. Bonds payable are reported net of the applicable bond premium or discount. Bond issuance costs are expensed as incurred.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

Deferred Outflows/Inflows of Resources

In addition to assets, the statement of net position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period and so will not be

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

recognized as an outflow of resources (expense/expenditure) until then. The items that qualify for reporting as a deferred outflows of resources are unavailable and are disclosed on pages 11 and 18.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents acquisition of net position that applies to a future period and so will not be recognized as an inflow of resources (revenue) until that time. The items that qualify for reporting as a deferred inflows or resources are unavailable and are disclosed on pages 12, 14 and 19.

The City reports unavailable property taxes, unavailable court fines revenue, and public safety revenues as deferred inflows of resources in the governmental fund balance sheet. In the statement of net position, unavailable property taxes related to the subsequent tax year and held evidence funds are reported. The City reports loss on bond refunding as a deferred inflow of resources in the statement of net position as well.

Regulatory Accounting

The City's proprietary fund follows the principles of proprietary fund accounting in accordance with Government Accounting Standards Board (GASB) pronouncements. Proprietary fund accounting is used to report business-type activities, as contrasted with tax-supported governmental activities.

The City's proprietary fund also complies with policies and practices prescribed by the City's governing body and with practices common in the utility industry. As the City's governing body has the authority to set rates, the City's proprietary fund follows the regulatory accounting guidance of GASB Statement No. 62, Codification of Accounting and Financial Reporting guidance Contained in Pre-November 30, 1989 FASB and AICPA Pronouncements, which provides for the reporting of assets and liabilities consistent with the economic effect of the rate structure. Regulatory assets are recorded to reflect probably future revenues associated with certain costs that are expected to be recovered from customers through the rate-making process. Regulatory liabilities are recorded to reflect probably future reduction in revenues associated with amounts that are expected to be credited to customers in the rate-making process.

Impact of other recently issued accounting pronouncements

In June of 2022, the Governmental Accounting Standards Board issued GASB Statement No. 101 related to Compensated Absences. This Statement improves accounting and financial reporting by state and local governments for Compensated Absences and is effective for fiscal years beginning after December 15, 2023. This Statement establishes standards of accounting and financial reporting for (a) compensated absences and (b) associated salary-related payments, including certain defined contribution pensions and defined contribution other postemployment benefits (OPEB). The requirements of this Statement apply to the financial statements of all state and local governments. This implementation resulted to no material adjustments in the current year.

In December of 2023, the Governmental Accounting Standards Board issued GASB Statement No. 102 related to Certain Risk Disclosures. This Statement defines a concentration as a lack of diversity related to an aspect of a significant inflow of resources or outflow of resources. A constraint is a limitation imposed on a government by an external party or by formal action of the government's highest level of decision-making authority. Concentrations and constraints may limit a government's ability to acquire resources or control spending. for fiscal years beginning after December 15, 2023. The requirements of this Statement apply to the financial statements of all state and local governments. This implementation resulted in no additional disclosures in the current year.

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

Net position flow assumption

Sometimes the City will fund outlays for a particular purpose from both restricted (e.g., restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted – net position and unrestricted – net position in the financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the City's policy to consider restricted – net position to have been depleted before unrestricted – net position is applied.

Fund balance

As prescribed by GASB Statement No. 54, governmental funds report fund balance in classifications based primarily on the extent to which the City is bound to honor constraints on the specific purposes for which amounts in the funds can be spent. Fund balance for governmental funds can consist of the following:

Nonspendable fund balance

This classification includes amounts that are (a) not in spendable form, or (b) legally or contractually required to be maintained intact. The "not in spendable form" criterion includes terms that are not expected to be converted to cash, for example: inventories, prepaid amounts, and long-term notes receivable.

Restricted fund balance

This classification includes amounts that are restricted for specific purposes stipulated by external resource providers, constitutionally or through enabling legislation. Restrictions may effectively be changed or lifted with the consent of resource providers.

Committed fund balance

This classification includes amounts that can only be used for the specific purposes determined by the City's highest level of decision-making authority, (the City Council) and the highest form of authority (ordinances). Commitments may be changed or lifted only by the City taking the same formal action that imposed the constraint originally (for example: ordinance). The ordinance must be either approved or rescinded, as applicable, prior to the last day of the fiscal year for which the commitment is made. If the actual amount of the commitment is not available by June 30th, the ordinance must state the process of formula necessary to calculate the actual amount as soon as information is available.

Assigned fund balance

This classification includes amounts intended to be used by the City for specific purposes that are neither restricted nor committed. The City Council and its designee, the Finance Director, have the authority to assign amounts to be used for specific purposes. Assigned amounts also include all residual amounts in governmental funds (except for the general fund and also negative amounts) that are not classified as nonspendable, restricted, or committed. Any funds assigned must be reported to the Council at the next regular meeting and recorded in the minutes. Council has the authority to assign funds or to remove or change the assignments of the Finance Director with a simple majority vote. Upon passage of a budget ordinance where fund balance is used as a source to balance the budget, the Finance Director shall record the amount as assigned fund balance.

Unassigned fund balance

This fund balance is the residual classification for the general fund. It is also used to report negative fund balances in other governmental funds.

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

The City will maintain a minimum unassigned fund balance in the general fund equivalent to 20% of that fiscal year's operating expenses, excluding any capital purchases. The minimum unassigned fund balance is established to protect against cash flow shortfalls related to timing of project revenue receipts and to maintain a budget stabilization commitment. In any fiscal year, it shall take the affirmative action of five or more City Council members to approve an appropriation of funds that results in the minimum unassigned general fund balance to drop below 20%. In the event the balance drops below the minimum level, the City Council will develop a plan to replenish the fund balance to the minimum level within two years. The deficiency will be funded by reducing recurring expenditures, by increasing revenues or pursuing other funding sources, or by a combination of the two.

Fund balance flow assumptions

Sometimes the government will fund outlays for a particular purpose from both restricted and unrestricted resources (the total of committed, assigned and unassigned fund balance). In order to calculate the amounts to report as restricted, committed, assigned and unassigned fund balance in the governmental fund financial statements a flow assumption must be made about the order in which the resources are considered to be applied. It is the government's policy to consider restricted fund balance to have been depleted before using any of the components of unrestricted fund balance. Further, when the components of unrestricted fund balance can be used for the same purpose, committed fund balance is depleted first, followed by assigned fund balance. Unassigned fund balance is applied last.

Net Position

Restricted net position are net position less related liabilities reported in the government-wide statement of net position that have limitation imposed on their use through constitutional provisions or enabling legislation or through external restrictions imposed by creditors, grantors, contributors, legislation, or the other governments.

When both restricted and unrestricted funds are available for expenditure, restricted funds should be spent first unless legal requirements disallow it.

Net Investment in Capital Assets consists of capital assets, net of accumulated depreciation and reduced by outstanding balances of debt issued to finance the acquisition, improvement, or construction of those assets.

Estimates

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Pensions

City Funds

For purposes of measuring the net pension liability (asset), deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the City's participation in the Public Employee Retirement Plan of the Tennessee Consolidated Retirement System (TCRS), and additions to/deductions from the City's fiduciary net position have been determined on the same basis as they are reported by the TCRS for the Public Employee Retirement Plan. For this purpose, benefits (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms of the Public Employee Retirement Plan of the TCRS. Investments are reported at fair value.

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

Gallatin Department of Electricity

The net pension liability (asset) for the department was measured as of June 30, 2024 pursuant to GASB 68, which allows for a measurement date no earlier than the end of the employer's prior fiscal year, consistently applied from period to period. The requirement establishes standards for calculating and reporting the net pension liability (asset) and pension expense in the financial statements of the employer. The data necessary to comply with the new standards presents challenges to reporting the net pension liability (asset) and pension expense on a current basis while still adhering to the deadlines for financial reporting to different agencies. The net pension liability (asset) reported at June 30, 2025 is the net pension liability (asset) determined at June 30, 2024 and the pension expense reflects the activity for fiscal year 2024.

Other Post-employment Benefit (OPEB) Plan

Gallatin Department of Electricity

The net OPEB (Other Post-employment Benefit) liability for the department was measured as of June 30, 2024 pursuant to GASB 75, which allows for a measurement data no earlier than the end of the employer's prior fiscal year, consistently applied from period to period. The requirement establishes standards for calculating and reporting the net OPEB liability and OPEB expense in the financial statements of the employer. The data necessary to comply with the new standards presents challenges to reporting the net OPEB liability and OPEB expense on a current basis while still adhering to the deadlines for financial reporting to different agencies. Accordingly, with this implementation, the net OPEB liability reported at June 30, 2025 is the net OPEB liability determined at June 30, 2024 and the OPEB expense reflects the activity for fiscal year 2024.

NOTE 2 - RECONCILIATION OF GOVERNMENT-WIDE AND FUND FINANCIAL STATEMENTS

A. Explanation of Certain Differences Between the Governmental Fund Statement of Revenues, Expenditures, and Changes in Fund Balances and the Government-wide Statement of Activities

The reconciliation of the statement of revenues, expenditures, and changes in fund balances of governmental funds to the statement of activities includes reconciliation between net changes in fund balances - total governmental funds and changes in net position of governmental activities as reported in the government-wide statement of activities. One element of that reconciliation explains that "Governmental funds report capital outlays as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense in the current period." The details of this (\$501,393) difference are as follows:

Capital outlay	\$ 5,733,393
Depreciation expense	<u>(6,234,786)</u>
Net adjustment to reduce net changes in fund balance - total governmental funds to arrive at net position - governmental activities	<u>\$ (501,393)</u>

NOTE 3 - STEWARDSHIP, COMPLIANCE, AND ACCOUNTABILITY

A. Budgetary Information

Annual budgets are adopted on a basis consistent with generally accepted accounting principles for the general fund and special revenue funds excluding the capital projects funds. The City follows these procedures in establishing the budgetary data reflected in the financial statements:

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

1. Prior to year end, the Director of Finance and Mayor submit to the City Council a proposed operating budget for the fiscal year commencing the following July 1st. The operating budget includes proposed expenditures and the means of financing them.
2. Public hearings are conducted to obtain taxpayer comments on the budget.
3. Prior to June 30, the budget is legally enacted through passage of an ordinance.
4. The Department Heads are authorized to transfer budgeted amounts within their departments; however, any revisions that alter the total expenditures of any department function or fund must be approved by the City Council.
5. Formal budgetary integration is employed as a management control device during the year for all funds excluding the Electric Fund.
6. Budgeted amounts are as originally adopted, or as amended by the City Council. Budget appropriations lapse at year end.

As an extension of the formal budgetary process, the City Council may transfer or appropriate additional funds for expenditures not anticipated at the time of budget adoption. The City's policy is to not allow expenditures to exceed budgetary amounts at the total fund expenditure level without obtaining additional appropriation approval from the Council.

NOTE 4 - DETAILED NOTES ON ALL FUNDS

A. Deposits and Investments

As of June 30, 2025, the City of Gallatin, Tennessee's Electric Department had \$5,111,189 and the General fund had \$18,260,782 invested in certificates of deposit with local financial institutions.

Interest Rate Risk

In accordance with its formal investment policy, the City manages its exposure to declines in fair values by limiting its investments to certificates of deposit with local financial institutions.

Custodial Credit Risk

The City's policies limit deposits and investments to those instruments allowed by applicable state laws and described in Note 1. State statute required that all deposits with financial institutions must be collateralized by securities whose market value is equal to 105% of the value of uninsured deposits. The deposits must be collateralized by federal depository insurance, by the Tennessee Bank Collateral Pool, by collateral held by the City's agent in the City's name, or by the Federal Reserve Banks acting as third party agents. State statutes also authorize the City to invest in bonds, notes or treasury bills of the United States or any of its agencies, certificates of deposit at Tennessee state chartered banks and savings and loan associations and federally chartered banks and savings and loan associations, repurchase agreements utilizing obligations of the United States or its agencies as the underlying securities and the state pooled investment fund. Statutes also require that securities underlying repurchase agreements must have a market value of at least equal to the amount of funds invested in the repurchase transaction. As of June 30, 2025, all bank deposits were fully collateralized or insured.

B. Receivables

Receivables as of the year end for the government's individual major funds and nonmajor and fiduciary funds in the aggregate, including the applicable allowances for uncollectible accounts, are as follows:

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

	<u>General</u>	<u>Electric Division</u>	<u>Water & Sewer Division</u>	<u>Gas Division</u>	<u>Nonmajor and Other Funds</u>	<u>Total</u>
Receivables:						
Property taxes	\$ 18,350,630	\$ -	\$ -	\$ -	\$ -	\$ 18,350,630
Interest	874,000	-	-	-	4,783	878,783
Accounts	280,939	9,546,757	1,824,052	1,595,095	415,884	13,662,727
Fines	1,524,229	-	-	-	-	1,524,229
Grants	790,670	-	-	-	-	790,670
Intergovernmental	5,929,019	-	-	-	-	5,929,019
Other	225,048	105,903	-	7,616	107,031	445,598
Gross receivables	27,974,535	9,652,660	1,824,052	1,602,711	527,698	41,581,656
Less: Allowance for uncollectibles	(1,643,429)	-	-	(151,631)	-	(1,795,060)
Net total receivables	<u>\$ 26,331,106</u>	<u>\$ 9,652,660</u>	<u>\$ 1,824,052</u>	<u>\$ 1,451,080</u>	<u>\$ 527,698</u>	<u>\$ 39,786,596</u>

Governmental funds report unavailable revenue in connection with receivables for revenues that are not considered to be available to liquidate liabilities of the current period. Governmental funds also defer revenue recognition in connection with resources that have been received but not yet earned (unearned revenue). At the end of the current fiscal year, various components of unavailable revenue reported in the governmental funds were as follows:

	<u>Unavailable</u>	<u>Unearned</u>
Delinquent property taxes receivable	\$ 663,388	\$ -
Interest and penalty on property taxes receivable	399,574	-
2025 property tax assessment	17,569,317	-
Other revenue collected in advance		44,762
Grants	-	2,552,112
Drug fund revenue held	-	179,339
Total unavailable revenue for fund financial statements	<u>\$ 18,632,279</u>	<u>\$ 2,776,213</u>

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

C. Capital Assets

Capital asset activity for the year ended June 30, 2025, was as follows:

	<u>Beginning Balance</u>	<u>Additions</u>	<u>Disposals</u>	<u>Transfers</u>	<u>Ending Balance</u>
Governmental activities:					
Capital assets, not being depreciated:					
Land	\$ 13,996,711	\$ 2,231,891	\$ -	\$ -	\$ 16,228,602
Construction in progress	2,648,860	-	-	-	2,648,860
Total capital assets, not being depreciated	<u>16,645,571</u>	<u>2,231,891</u>	<u>-</u>	<u>-</u>	<u>18,877,462</u>
Capital assets being depreciated:					
Buildings	25,783,780	125,483	-	-	25,909,263
Improvements other than buildings	164,034,361	3,767,667	-	-	167,802,028
Vehicles	23,697,941	2,586,715	-	-	26,284,656
Office equipment	2,958,045	-	-	-	2,958,045
Equipment	11,229,847	119,637	-	-	11,349,484
Total capital assets being depreciated	<u>227,703,974</u>	<u>6,599,502</u>	<u>-</u>	<u>-</u>	<u>234,303,476</u>
Less accumulated depreciation for:					
Buildings and improvements	11,086,148	892,974	-	-	11,979,122
Improvements other than buildings	33,550,269	3,427,539	-	-	36,977,808
Vehicles	19,012,586	1,722,297	-	-	20,734,883
Office equipment	2,827,993	34,467	-	-	2,862,460
Equipment	7,060,659	157,509	-	-	7,218,168
Total accumulated depreciation	<u>73,537,655</u>	<u>6,234,786</u>	<u>-</u>	<u>-</u>	<u>79,772,441</u>
Total capital assets being depreciated, net	154,166,319	364,716	-	-	154,531,035
Governmental activities capital assets, net	<u>\$ 170,811,890</u>	<u>\$ 2,596,607</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 173,408,497</u>

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

	<u>Beginning Balance</u>	<u>Additions</u>	<u>Disposal</u>	<u>Transfers</u>	<u>Ending Balance</u>
Business-type activities:					
Capital assets, not being depreciated:					
Land	\$ 8,602,142	\$ 573,924	\$ -	\$ 61,515	\$ 9,237,581
Construction in progress	2,229,145	20,619,835	-	(61,515)	22,787,465
Total capital assets, not being depreciated	<u>10,831,287</u>	<u>21,193,759</u>	<u>-</u>	<u>-</u>	<u>32,025,046</u>
Capital assets being depreciated:					
Transmission plant	1,439,336	1,753	2,860	-	1,438,229
Distribution plant	316,747,283	16,035,701	3,034,812	-	329,748,172
General plant	7,956,557	421,176	411,595	-	7,966,138
Buildings	44,361,625	-	-	-	44,361,625
Operating equipment	3,341,578	368,378	177,376	-	3,532,580
Rolling stock	4,590,410	258,663	471,778	-	4,377,295
Office furniture and equipment	705,929	2,535	38,979	-	669,485
Total capital assets being depreciated	<u>379,142,718</u>	<u>17,088,206</u>	<u>4,137,400</u>	<u>-</u>	<u>392,093,524</u>
Less accumulated depreciation for:					
Transmission plant	513,937	44,735	3,346	-	555,326
Distribution plant	120,440,672	7,617,265	3,233,767	68,172	124,892,342
General plant	4,073,173	552,238	411,594	-	4,213,817
Buildings	19,744,954	1,012,625	-	(194,042)	20,563,537
Operating equipment	2,919,776	380,772	177,377	(73,767)	3,049,404
Rolling stock	3,848,924	485,873	471,778	199,637	4,062,656
Office furniture and equipment	680,440	23,034	38,979	-	664,495
Total accumulated depreciation	<u>152,221,876</u>	<u>10,116,542</u>	<u>4,336,841</u>	<u>-</u>	<u>158,001,577</u>
Total capital assets being depreciated, net	<u>226,920,842</u>	<u>6,971,664</u>	<u>(199,441)</u>	<u>-</u>	<u>234,091,947</u>
Business-type activities capital assets, net	<u>237,752,129</u>	<u>28,165,423</u>	<u>(199,441)</u>	<u>-</u>	<u>266,116,993</u>
Total capital assets, net	<u>\$ 408,564,019</u>	<u>\$ 30,762,030</u>	<u>\$ (199,441)</u>	<u>\$ -</u>	<u>\$ 439,525,490</u>

Included in the additions for the governmental activities are \$3,098,000 in donated infrastructure from developers.

Depreciation expense was charged to functions/programs of the primary government as follows:

Governmental activities:	
General government	\$ 3,487,666
Public safety	1,404,370
Environmental services	12,264
Highways and streets	938,900
Parks and recreation	391,586
Total depreciation expense - governmental activities	<u>\$ 6,234,786</u>
Business-type activities:	
Electric	\$ 2,692,780
Water and sewer	4,500,915
Gas	1,531,567
Electric charged to other accounts	1,391,280
Total depreciation expense - business-type activities	<u>\$ 10,116,542</u>

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

D. Interfund Receivables, Payables, and Transfers

There were no interfund receivables or payables in the current year. The following is a summary of transfers during the year ended June 30, 2025:

Transfers From	Transfers To	Amount
General Fund	Water	\$ (5,834,304)
General Fund	Stormwater	150,000
Water and Sewer Fund	General Fund	415,801
Gas Fund	General Fund	377,776
Electric Fund	General Fund	1,086,425
Total		<u>(3,804,302)</u>
Governmental fund activities eliminated		<u>(150,000)</u>
Total government-wide		<u><u>\$ (3,954,302)</u></u>

The purposes of the transfers are noted below:

- The transfers between the proprietary funds and the general fund are for the purpose of transferring in lieu of tax payments
- The transfer from the general fund to the water fund was for ARPA grant reimbursements related to water projects

E. Long-term Debt

General long-term debt at June 30, 2025, is comprised of the following:

Bonds Payable

General Obligation Improvement Bonds, Series 2014, due in annual installments from \$375,000 to \$1,090,000 through January 2034, interest at 2.00% to 5.00%	\$ 5,590,000
General Obligation Bonds, Series 2016, due in annual installments from \$430,000 to \$700,000 through January 2036, interest at 2.00% to 5.00%	6,680,000
General Obligation Bonds, Series 2021, due in annual installments from \$365,000 to \$630,000 through January 2041, interest at 2.00% to 5.00%	<u>8,355,000</u>
Total bonds payable	<u>20,625,000</u>
Total general long-term debt	<u><u>\$ 20,625,000</u></u>

The aforementioned bonds and notes are secured by the full faith and credit of the City. During 2025, debt service for the aforementioned debt was provided by the City General Fund.

Long-term debt of the proprietary funds at June 30, 2025, is comprised of the following:

Bonds Payable

Water and Sewer Revenue Bonds, Series 2015, due in annual

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

installments from \$500,000 to \$1,825,000 through January 2040, interest at 3.00% to 5.00%	\$ 1,940,000
Water and Sewer Revenue Refunding and Improvement Bonds, Series 2014, due in annual installments from \$265,000 to \$570,000 through August 2034, interest at 2.00% to 5.00%	1,765,000
Water and Sewer Revenue Refunding and Improvement Bonds, Series 2011, due in annual installments from \$25,000 to \$635,000 through July 2032, interest at 2.00% to 3.625%	4,525,000
Gas Revenue Bonds, Series 2019, due in annual installments from \$190,000 to \$380,000 through January 2039, interest at 3.00% to 5.00%	4,290,000
Water and Sewer Revenue Refunding and Improvement Bonds, Series 2021A due in annual installments from \$355,000 to \$755,000 through July 2046, interest at 3.00% to 4.00%	12,380,000
Water and Sewer Revenue Refunding and Improvement Bonds, Series 2021B due in annual installments from \$195,000 to \$1,840,000 through July 2037, interest at 0.510% to 2.75%	13,295,000
Gas Revenue Bonds, Series 2024, due in annual installments from \$270,000 to \$635,000 through January 2044, interest at 4.00% to 5.00%	8,290,000
Electric Revenue Bonds, Series 2024, due in annual installments from \$360,000 to \$840,000 through January 2044, interest at 4.00% to 5.00%	<u>10,905,000</u>
 Total proprietary long-term debt	 <u>\$ 57,390,000</u>

The aforementioned bonds are not secured by the full faith and credit of the City. The aforementioned bonds are secured by revenues of the proprietary funds.

The annual requirements, by type of issue, to amortize all long-term debt outstanding except accrued annual leave, OPEB liability, and Net Pension Liability at June 30, 2025, are as follows:

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

Year Ending June 30,	Governmental Activities		Business-Type Activities		Total	
	Bonds		Bonds			
	Principal	Interest	Principal	Interest	Principal	Interest
2026	\$ 1,965,000	\$ 670,200	\$ 3,280,000	\$ 1,548,555	\$ 5,245,000	\$ 2,218,755
2027	2,035,000	582,450	3,770,000	1,863,968	5,805,000	2,446,418
2028	1,430,000	507,900	3,890,000	1,750,564	5,320,000	2,258,464
2029	1,475,000	450,950	4,010,000	1,629,591	5,485,000	2,080,541
2030	1,525,000	392,100	4,130,000	1,502,182	5,655,000	1,894,282
2031-2035	7,905,000	1,121,232	15,960,000	5,667,504	23,865,000	6,788,736
2036-2040	3,660,000	263,900	11,090,000	3,290,727	14,750,000	3,554,627
2041-2045	630,000	12,600	9,730,000	1,143,300	10,360,000	1,155,900
2046-2050	-	-	1,530,000	46,200	1,530,000	46,200
	<u>\$ 20,625,000</u>	<u>\$ 4,001,332</u>	<u>\$ 57,390,000</u>	<u>\$ 18,442,591</u>	<u>\$ 78,015,000</u>	<u>\$ 22,443,923</u>

Debt expense associated with the above bond issues was recorded as other assets and is being amortized on a straight-line basis over the life of the issue.

All significant debt covenants and restrictions as set forth in the bond agreements were complied with.

Long-term liability activity for the year ended June 30, 2025, was as follows:

	<u>Beginning Balance</u>	<u>Additions</u>	<u>Retirements</u>	<u>Ending Balance</u>	<u>Due Within One Year</u>
Governmental activities:					
General obligation bonds	\$ 22,520,000	\$ -	\$ 1,895,000	\$ 20,625,000	\$ 1,965,000
Premium on bond issue	1,542,458	-	258,501	1,283,957	258,501
Compensated absences	2,191,242	405,817	-	2,597,059	-
	<u>\$ 26,253,700</u>	<u>\$ 405,817</u>	<u>\$ 2,153,501</u>	<u>\$ 24,506,016</u>	<u>\$ 2,223,501</u>
Business-type activities:					
Revenue and tax bonds	\$ 41,120,000	\$ 19,475,000	\$ 3,205,000	\$ 57,390,000	\$ 3,280,000
Premium on bond issue	3,277,101	1,831,917	570,494	4,538,524	-
Compensated absences	809,026	758,956	-	1,567,982	180,969
	<u>\$ 45,206,127</u>	<u>\$ 22,065,873</u>	<u>\$ 3,775,494</u>	<u>\$ 63,496,506</u>	<u>\$ 3,460,969</u>

Within the City's governmental activities, compensated absences are generally liquidated by the general fund.

The City complied with all significant debt covenants and restrictions as set forth in the bond agreements across all systems.

The bonds payable for all systems contain provisions that in the event of default, the lender can exercise one or more of the following options: (1) Make all or any of the outstanding bonds payable balance immediately due and accrued interest at highest post maturity interest rate, (2) Use any remedy allowed by state or federal law.

There are no unused lines of credit for any of the systems at June 30, 2025.

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

Industrial Development Bonds

The City, through its Industrial Development Board, has in the past authorized issuance of various Industrial Revenue Bonds to provide financial assistance to private sector entities for the acquisition of industrial and commercial facilities deemed to be in the public interest. The bonds are secured by the property financed and payable solely from payments received on the underlying mortgage loans. Neither the City, State, nor any political subdivision thereof is obligated in any manner for repayment of the bonds. Accordingly, the bonds are not reported as liabilities in the accompanying financial statements.

Issuance of Long-term Debt

In November 2021, the City issued \$13,400,000 in Water and Sewer Revenue Improvement Bonds, Series 2021A (Series 2021A Bonds) for the purpose of providing funds to (i) finance extensions and improvements to the System and (ii) pay costs of issuance. The Series 2021A bonds are issued as fully registered bonds, in denominations of \$5,000, and are payable solely from and secured by a lien on the revenues of the City's water and sewer system (the System), after payment of operating expenses, on a parity of lien with the City's outstanding Water and Sewer Revenue Refunding and Improvement Bonds, Series 2011, its Water and Sewer Revenue Refunding and Improvement Bonds, Series 2014 and Water and Sewer Revenue Refunding and Improvement Bonds, Series 2015 and any obligations hereafter issued on parity therewith. The Series 2021A bonds carry fixed interest rates ranging from 3.0% to 4.0% and mature between July 1, 2022 and July 1, 2046. Interest is payable semi-annually on July 1 and January 1. Series 2021A bonds maturing on July 1, 2032, and thereafter, are subject to redemption prior to maturity at the option of the City, on or after July 1, 2031, as a whole or in part, at a redemption price equal to 100% of the principal amount plus accrued interest to the redemption date.

In November 2021, the City issued \$13,965,000 in Water and Sewer Revenue Refunding Bonds, Series 2021B (Series 2021B) to refund \$12,435,000 of its outstanding Water and Sewer System Revenue and Improvement Bonds, Series 2015, dated May 19, 2021, (the Outstanding Bonds). The Outstanding Bonds were called for redemption in November 2021, and were redeemed at a redemption price of par plus accrued interest. The estimated economic gain from the refunding was approximately \$1.2 million.

The Series 2021B bonds are issued as fully registered bonds, in denominations of \$5,000, and are payable solely from and secured by a lien on the revenues of the System, after payment of operating expenses, on a parity of lien with the City's outstanding Water and Sewer Revenue Refunding and Improvement Bonds, Series 2011, its Water and Sewer Revenue Refunding and Improvement Bonds, Series 2014 and Water and Sewer Revenue Refunding and Improvement Bonds, Series 2015 and any obligations hereafter issued on parity therewith. The Series 2021B bonds carry fixed interest rates ranging from 0.51% to 2.75% and mature between July 1, 2022 and July 1, 2037. Interest is payable semi-annually on July 1 and January 1. Series 2021B bonds maturing on July 1, 2032 and thereafter are subject to redemption prior to maturity at the option of the City, on or after July 1, 2031, as a whole or in part, at a redemption price equal to 100% of the principal amount plus accrued interest to the redemption date.

Advance Refunding of Bonds

In prior years the City has defeased certain bonds by placing the proceeds of new bonds in irrevocable trusts to provide for all future debt service requirement on the retired bonds. Accordingly,

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

the trust account assets and the liability for the defeased bonds are not included in the City's financial statements. As of June 30, 2025, outstanding bonds considered as defeased were as follows:

Water and Sewer Revenue and Tax Bonds – Series 2008	\$13,655,000
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NOTE 5 - OTHER INFORMATION

A. Risk Management

City of Gallatin

The City is exposed to various risks of losses related to torts, theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The City decided it was more economically feasible to join a public entity risk pool as opposed to purchasing commercial insurance for certain general liability, auto liability, errors and omissions, workers' compensation, and physical damage coverage. The City joined the Tennessee Municipal League Risk Pool (Pool), which is a public entity risk pool established in 1979 by the Tennessee Municipal League. The City pays annual premiums to the Pool for its general, auto, and errors and omissions policies. The Pool provides the specified coverage and pays all claims from its member premiums charged or through its reinsurance policies. The City's premiums are calculated based on its prior claim history. It is the policy of the City to purchase commercial insurance for the risk of employee dishonesty and law enforcement professional liability. Settled claims have not exceeded the commercial coverage or the coverage provided by the Pool in any of the past three years.

Gallatin Department of Electricity

Gallatin Electric Department is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. During the year ended June 30, 2025, the Utility purchased commercial insurance for all of the above risks. Settled claims have not exceeded this commercial coverage in any of the past three years and there has been no significant reduction in the amount of coverage.

B. Commitments

The City purchases natural gas under various contracts requiring the purchase of minimum quantities of natural gas from suppliers at costs based upon national index prices. Natural gas purchases exceeding the specified minimum quantities are made at the going market value. City management believes any risk associated with the minimum purchase quantities as specified in the aforementioned contracts to be minimal. Further, the City is committed under various natural gas transportation agreements requiring specified minimum transmission capacities.

The City has entered into an agreement with the Sumner County Resource Authority (the Authority), a joint venture between the City, Sumner County, and the City of Hendersonville, TN, which provides that in the event the Authority's revenues are insufficient to cover the costs of operation and debt retirement the County and Cities shall pay such deficit in the proportions of 3/7, 2/7, and 2/7, respectively. These same entities have executed a "contract in Lieu of Performance Bond" with the State of Tennessee for financial assurance of the closure and post closure costs of the landfill should the Authority be unable to do so.

The authority operates primarily as a solid waste transfer station. The City utilizes the Authority for solid waste disposal purposes at essentially the same cost per ton as in prior years. There is

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

uncertainty as to the future operations of the Authority, as well as, the costs relative to the change in operations, or possible dissolution.

The Authority as of June 30, 2025, which is the latest available financial statement date, has net investment in capital assets in the amount of \$2,524,886 and an unrestricted net position of \$7,592,155 as compared to \$2,937,822 and \$5,695,875 for the year 2024.

C. Contingent Liabilities

Amounts received or receivable from grantor agencies are subject to audit and adjustment by grantor agencies, principally the federal and state governments. Any disallowed claims, including amounts already collected, may constitute a liability of the applicable funds. The amount, if any, of expenditures which may be disallowed by the grantors cannot be determined at this time; although, the City's management expects such amounts, if any, to be immaterial.

The City is a defendant in various lawsuits; however, the outcome of these lawsuits is not presently determinable, although, legal counsel does not expect any possible liability to exceed the City's limits of insurance.

D. Power Contract

The Utility has a power contract with the Tennessee Valley Authority (TVA); whereby, the electric system purchases all its electric power from TVA and is subject to certain restrictions and conditions as provided for in the power contract. Such restrictions include, but are not limited to, prohibitions against furnishings, advancing, lending, pledging, or otherwise diverting System funds, revenues, or property to other operations of the county and the purchase or payment of or providing security for indebtedness on other obligations applicable to such other operations.

E. Employee Retirement Systems and Pension Plans

City of Gallatin

TCRS Stabilization Trust, City Funds

Legal Provisions

The City is a member of the TCRS Stabilization Reserve Trust (the Trust). The City has placed funds into the irrevocable trust as authorized by statute under Tennessee Code Annotated (TCA), Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the trust. Funds of trust members are held by and invested in the name of the trust for the benefit of each member. Each member's funds are restricted for the payment of retirement benefits of that member's employees. Trust funds are not subject to the claims of general creditors of the City.

The trust is authorized to make investments as directed by the TCRS Board of Trustees. The City may not impose any restrictions on investments placed by the trust on its behalf. It is the intent of the plan trustees to allocate these funds in the future to offset pension costs.

Investment Balances

Assets of the TCRS, including the Stabilization Reserve Trust, are invested in the Tennessee Retiree Group Trust (TRGT). The TRGT is not registered with the Securities and Exchange Commission (SEC) as an investment company. The State of Tennessee has not obtained a credit quality rating

City of Gallatin, Tennessee
Notes to Financial Statements
June 30, 2025

for the TRGT from a nationally recognized credit rating agency. The fair value of investment positions in the TRGT is determined daily, based on the fair value of the pool's underlying portfolio. Furthermore, TCRS had not obtained or provided any legally binding guarantees to support the value of participant shares during the fiscal year. There are no restrictions on the sale or redemption of shares.

TCRS Stabilization Trust, City Funds

Investment Balances

Investments are reported at fair value. Securities traded on a national exchange are valued at the last reported sales price. Investment income consists of realized and unrealized appreciation (depreciation) in the fair value of investments and interest and dividend income. Interest income is recognized when earned. Securities and securities transactions are recorded in the financial statements on a trade-date basis. The fair value of assets of the TRGT held at June 30, 2025 represents the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants. Assets held are categorized for fair value measurement within the fair value hierarchy established by GAAP as described above.

Investments using the Net Asset Value (NAV) per share have no readily determinable fair value and have been determined using amortized cost, which approximates fair value.

Where inputs used in the measurement of fair value fall into different levels of the hierarchy, fair value of the instrument in its entirety is categorized based on the lowest level input that is significant to the valuation. This assessment requires professional judgment and, as such, management of the TRGT has developed a fair value committee that worked in conjunction with the plan's custodian and investment professionals to make these valuations. All assets held were valued individually and aggregated into classes to be represented in the following tables.

Short-term securities generally include investments in money market-type securities, reported at cost plus accrued interest.

Equity and equity derivative securities classified in Level 1 are valued using last reported sales prices quoted in active markets that can be accessed at the measurement date. Equity and equity derivative securities classified in Level 2 are securities whose values are derived daily from associated traded securities. Equity securities classified in Level 3 are valued with the last trade data, having limited trading volume.

US Treasury bills, bonds, notes, and futures classified in Level 1 are valued using last reported sales prices quoted in active markets that can be accessed at the measurement date. Debt and debt derivative securities classified in Level 2 are valued using a bid-ask spread price from multiple independent brokers, dealers, or market principals, which are known to be actively involved in the market. Level 3 debt securities are valued using proprietary information, a single pricing source, or other unobservable inputs related to similar assets or liabilities.

Real estate investments classified in Level 3 are valued using the last valuations provided by external investment advisors or independent external appraisers. Generally, all direct real estate investments are appraised by a qualified independent appraiser(s) with the professional designation of Member of the Appraisal Institute (MAI), or its equivalent, every three years beginning from the acquisition date of the property. The appraisals are performed using generally accepted valuation approaches applicable to the property type.

City of Gallatin, Tennessee
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For investments in private mutual funds, traditional private equity funds, strategic lending funds, and real estate funds that report using GAAP, the fair values, as well as the unfunded commitments, were determined using the prior quarter's NAV, as reported by the fund managers, plus the current cash flows. These assets were then categorized by investment strategy. In instances where the fund investment reported using non-GAAP standards, the investment was valued using the same method, but was classified in Level 3.

TCRS Stabilization Trust, City Funds

Investment Balances

At June 30, 2025, the City had the following investments held by the Trust on its behalf. These funds are recognized as restricted assets in the General Fund, Other Governmental Funds, the Water and Sewer Fund, and the Gas Fund of the City.

	Weighted average days to maturity	<u>Maturities</u>	<u>Fair value</u>
Investments at fair value			
US equity	N/A	N/A	\$ 717,603
Developed market international equity	N/A	N/A	324,079
Emerging market international equity	N/A	N/A	92,594
US fixed income	N/A	N/A	462,970
Real estate	N/A	N/A	231,485
Short-term securities	N/A	N/A	23,148
NAV, private equity, and strategic lending	N/A	N/A	<u>449,437</u>
			<u>\$ 2,328,382</u>

A summary of investment values by fair value level at June 30, 2025 is as follows:

	<u>Fair Value Jun 30,</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>NAV</u>
US equity	\$ 717,603	\$ 717,603	\$ -	\$ -	\$ -
Developed market international equity	324,079	324,079	-	-	-
Emerging market international equity	92,594	92,594	-	-	-
US fixed income	462,970	-	462,970	-	-
Real estate	231,485	-	-	231,485	-
Short-term securities	23,148	-	23,148	-	-
NAV, private equity, and strategic lending	<u>449,437</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>449,437</u>
	<u>\$2,328,382</u>	<u>\$ 1,134,276</u>	<u>\$ 486,118</u>	<u>\$ 231,485</u>	<u>\$ 449,437</u>

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
June 30, 2025

TCRS Stabilization Trust, City Funds

Risks and Uncertainties

The Trust's investments include various types of investment funds, which in turn invest in any combination of stock, bonds, and other investments exposed to various risks, such as interest rate, credit, and market risk. Due to the level of risk associated with certain investment securities, it is at least reasonably possible that changes in the values of investment securities will occur in the near term and that such changes could materially affect the amounts reported for Trust investments.

Interest Rate Risk

Interest rate risk is the risk that changes in interest rates will adversely affect the fair value of an investment. The City does not have the ability to limit trust investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates.

Credit Risk

Credit risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligations. The City does not have the ability to limit the credit ratings of individual investments made by the Trust.

Concentration of Credit Risk

Concentration of credit risk is the risk of loss attributed to the magnitude of the City's investment in a single issuer.

The City places no limit on the amount that may be invested in one issuer.

Custodial Credit Risk

Custodial credit risk for investments is the risk that, in the event of a failure of the counterparty to a transaction, the City will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. Pursuant to the Trust agreement, investments are held in the name of the Trust for the benefit of the City to pay retirement benefits of its employees.

For further information concerning the legal provisions, investment policies, investment types, and credit risks of the City's investments with the TCRS Stabilization Reserve Trust, audited financial statements of the TCRS may be obtained at <https://comptroller.tn.gov/content/dam/cot/sa/advanced-search/disclaimer/2022/aq21066.pdf>

TCRS Hybrid Plan

Plan description.

Employees of Gallatin are provided a defined benefit pension plan through the Public Employee Retirement Plan, an agent multiple-employer pension plan administered by the TCRS. The TCRS was created by state statute under Tennessee Code Annotated Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the TCRS. The Tennessee Treasury Department, an agency in the legislative branch of state government, administers the plans of the TCRS. The TCRS issues a publicly available financial report that can be obtained at <https://treasury.tn.gov/Retirement/Boards-and-Governance/Reporting-and-Investment-Policies>.

Benefits Provided

Tennessee Code Annotated Title 8, Chapters 34-37 establishes the benefit terms and can be amended only by the Tennessee General Assembly. The chief legislative body may adopt the benefit terms permitted by statute. Members are eligible to retire with an unreduced benefit at age 60 with 5 years of service credit or after 30 years of service credit regardless of age. Benefits are

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determined by a formula using the member's highest five consecutive year average compensation and the member's years of service credit. Reduced benefits for early retirement are available at age 55 and vested. Members vest with five years of service credit. Service-related disability benefits are provided regardless of length of service. Five years of service is required for nonservice-related disability eligibility. The service related and nonservice-related disability benefits are determined in the same manner as a service retirement benefit but are reduced 10 percent and include projected service credits. A variety of death benefits are available under various eligibility criteria.

Member and beneficiary annuitants are entitled to automatic cost of living adjustments (COLAs) after retirement. A COLA is granted each July for annuitants retired prior to the 2nd of July of the previous year. The COLA is based on the change in the consumer price index (CPI) during the prior calendar year, capped at 3 percent, and applied to the current benefit. No COLA is granted if the change in the CPI is less than one-half percent. A one percent COLA is granted if the CPI change is between one-half percent and one percent. A member who leaves employment may withdraw their employee contributions, plus any accumulated interest.

Employees Covered by Benefit Terms

At the measurement date of June 30, 2023, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	3
Inactive employees entitled to but not yet receiving benefits	187
Active employees	<u>313</u>
	<u>503</u>

Contributions

Contributions for employees are established in the statutes governing the TCRS and may only be changed by the Tennessee General Assembly. Employees contribute 5 percent of salary. Gallatin makes employer contributions at the rate set by the Board of Trustees as determined by an actuarial valuation. For the year ended June 30, 2025, the employer contributions for Gallatin was \$559,320 based on a rate of 2.48 percent of covered payroll. By law, employer contributions are required to be paid. The TCRS may intercept Gallatin's state shared taxes if required employer contributions are not remitted. The employer's actuarially determined contribution (ADC) and member contributions are expected to finance the costs of benefits earned by members during the year, the cost of administration, as well as an amortized portion of any unfunded liability.

Net Pension Liability (Asset)

Gallatin net pension liability (asset) was measured as of June 30, 2024, and the total pension liability used to calculate net pension liability (asset) was determined by an actuarial valuation as of that date.

Actuarial Assumptions

The total pension liability as of June 30, 2024 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

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Inflation	2.25 percent per year
Salary increases	Graded salary ranges from 8.72 to 3.44 percent based on age, including inflation, averaging 4.00 percent
Investment rate of return	6.75 percent net of pension plan investment expenses, including inflation
Cost-of-living adjustment	2.125 percent

Mortality rates were based on actual experience including an adjustment for some anticipated improvement.

The actuarial assumptions used in the June 30, 2024 actuarial valuation were based on the results of an actuarial experience study performed for the period July 1, 2016 through June 30, 2020. The demographic assumptions were adjusted to more closely reflect actual and expected future experience.

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees in conjunction with the June 30, 2020 actuarial experience study. A blend of future capital market projections and historical market returns was used in a building-block method in which a best-estimate of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) is developed for each major asset class. These best estimates are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation of 2.25 percent. The best-estimates of geometric real rates of return and the TCRS investment policy target asset allocation for each major asset class are summarized in the following table:

Asset Class	Term Expected	Target Allocation
U.S. Equity	4.88%	31%
Developed market international equity	5.37%	14%
Emerging market international equity	6.09%	4%
Private equity and strategic lending	6.57%	20%
U.S. fixed income	1.20%	20%
Real estate	4.38%	10%
Short-term securities	0.00%	1%
		100%

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees as 6.75 percent based on a blending of the three factors described above.

Discount Rate

The discount rate used to measure the total pension liability was 6.75 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current rate and that contributions from Gallatin will be made at the actuarially determined contribution rate pursuant to an actuarial valuation in accordance with the funding policy of the TCRS Board of Trustees and as required to be paid by state statute. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make projected future benefit payments of current active and inactive members. Therefore, the long-term expected rate of

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return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Changes in the Net Pension Liability (Asset)

	Increase (Decrease)		
	Total Pension Liability (TPL)	Plan Fiduciary Net Position	Net Pension Liability (NPL)
	(a)	(b)	(a) - (b)
Balances of 6/30/2023	\$ 4,611,220	\$ 4,284,645	\$ 326,575
Changes for the year:			
Service Cost	1,061,883	-	1,061,883
Interest	380,931	-	380,931
Difference in expected & actual experience	429,864	-	429,864
Contributions - Employer	-	456,098	(456,098)
Contributions - Employee	-	927,031	(927,031)
Net Investment Income	-	481,834	(481,834)
Benefit payments	(59,372)	(59,372)	-
Change of assumptions	-	-	-
Administrative expense	-	(21,784)	21,784
Net Changes	1,813,306	1,783,807	29,499
Balances as of 6/30/24	6,424,526	6,068,452	356,074

Sensitivity of the Net Pension Liability (Asset) to Changes in the Discount Rate

The following presents the net pension liability (asset) of Gallatin calculated using the discount rate of 6.75 percent, as well as what the net pension liability (asset) would be if it were calculated using a discount rate that is 1-percentage-point lower (5.75 percent) or 1-percentage-point higher (7.75 percent) than the current rate:

	1% Decrease (5.75%)	Current Discount Rate (6.75%)	1% Increase (7.75%)
Gallatin net pension liability (asset)	1,671,271	356,074	(638,348)

Pension Expense (Negative Pension Expense) and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Pension Expense (Negative Pension Expense)

For the year ended June 30, 2024, Gallatin recognized pension expense of \$284,259 related to this plan.

Deferred Outflows of Resources and Deferred Inflows of Resources

For the year ended June 30, 2025, Gallatin reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

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	Deferred Outflow of Resources	Deferred Inflow of Resources
Differences between expected and actual experience	785,402	33,338
Net difference between projected and actual earnings on pension plan investments	-	61,461
Changes in Assumptions	107,918	-
Contributions subsequent to the measurement date of June 30, 2024	<u>559,320</u>	<u>-</u>
Total	<u><u>1,452,640</u></u>	<u><u>94,799</u></u>

The amount shown above for “Contributions subsequent to the measurement date of June 30, 2024,” will be recognized as a reduction (increase) to net pension liability (asset) in the subsequent fiscal period.

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30:	
2026	76,341
2027	131,789
2028	75,618
2029	75,421
2030	105,157
Thereafter	334,195

In the table shown above, positive amounts will increase pension expense while negative amounts will decrease pension expense.

Payable to the Pension Plan

At June 30, 2025, the City of Gallatin reported a payable of \$0 for the outstanding amount of contributions to the pension plan required at the year ended June 30, 2025.

Pension Liabilities (Assets), Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Defined Contribution Plans

Several employees chose to stay on the former plan. The City has determined that none of its defined contribution pension plans are fiduciary component units or fiduciary activities of the government.

State of Tennessee 401(k) Plan

Plan Description

The City (exclusive of the electric utility) participates in the State of Tennessee 401(k) plan (the Plan) with a Roth option. Employees of the City’s Municipal Service departments, Water and Sewer

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Utility Fund, and Natural Gas Utility Fund are eligible to participate in the Plan. The Plan assets are not held by the City and the City does not exercise a trustee responsibility over such assets nor does the City actively participate in the Plan's management or administration, which is delegated to the City of Gallatin Pension Committee. The Pension Committee has designated Retire Ready TN as a third-party administrator. Accordingly, the City does not meet the criteria necessary for presentation of the Plan as a fiduciary fund of the City.

Funding Policy

The City's Plan allows employees to make tax deferred contributions into self-directed investments of as much as allowable under the Internal Revenue Code. During the fiscal year, the City contributed 5% of the employees' annual compensation and matched up to an additional 4% of the employees' contributions. The plan is closed to new entrants. The vesting of employer contributions increases from 20% in year one, with 20% annual increases until contributions are 100% vested after 5 years in the plan. If an employee leaves employment before the vesting period is complete, the forfeiture is put into a forfeiture account that can be used to pay expenses related to the plan. The City had no forfeitures in 2024. At calendar year-end, any unused forfeitures are held and can be used to offset future employer match requirements.

Annual Contributions

The City's maximum contribution to the Plan is defined as up to 9% of an eligible employee's annual compensation. The City contributed \$788,357 on behalf of the employees for the fiscal year ended June 30, 2025.

State of Tennessee Deferred Compensation Plan II – 401(k)

Plan Description

The Hybrid Plan is a combination of the defined benefit plan (Public Employment Retirement Plan described in General Information about the Pension Plan above) and a defined contribution plan (a 401(k) plan). Employees of the City hired after October 1, 2018 working more than 30 hours per week, and any existing City employee working more than 30 hours per week who chooses to join the TCRS Hybrid Plan are eligible for the plan. The Chair of the TCRS may amend the Hybrid Plan on behalf of all employers. The Chair also has the sole and exclusive authority to interpret the Hybrid Plan and decide all claims and appeals for the Hybrid Plan benefits.

Pension Plans – City Funds

State of Tennessee Deferred Compensation Plan II – 401(k)

Funding Policy

Employers contribute 4% of payroll to the defined benefit component (as noted in General Information about the Pension Plan above), and 5% of payroll to the defined contribution component, for an aggregate employer contribution of 9%. Employees may elect to defer a percentage of their salary into the plan. Defined contribution plan amounts are deposited into the State's 401(k) plan with Great West Financial, where the employee manages the investments. Employees immediately vest in both the employee and employer contributions to the defined contribution plan.

Annual Contributions

The City contributed \$1,130,037 on behalf of the employees for the fiscal year ended June 30, 2025.

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Gallatin Department of Electricity

Plan description

The Gallatin Department of Electricity Employee's Pension Plan is a single-employer defined benefit pension plan administered by the Gallatin Electric Power Board. The Electric Plan provides retirement, disability, and death benefits to the Electric Plan members and their beneficiaries. While the Electric Plan covers substantially all Department employees, it was closed to new entrants effective 3/1/2016. The authority to establish and amend benefit provisions of the Electric Plan is assigned to the Gallatin Electric Power Board. The Electric Plan issues a separate financial report that includes financial statements and required supplementary information. That report may be obtained by writing to Gallatin Department of Electricity, P.O. Box 1555, Gallatin, TN 37066 or by calling 615-452-5152.

Plan membership

At June 30, 2024 the plan membership consisted of:

Inactive employees or beneficiaries currently receiving benefits	21
Inactive employees entitled to but not yet receiving benefits	3
Active employees	<u>19</u>
	43

Funding policy

The contribution requirements of the Electric Plan members and the department are established and may be amended by the Gallatin Electric Power Board. Electric Plan members are required to contribute 3% of their annual covered salary. The Department is required to contribute at an actuarially determined rate. The current rate is 10.87% of annual covered payroll. The Department contributed \$310,000 applicable to FY 2024 of which \$310,000 was contributed by fiscal year-end.

Net Pension Liability

The Electric Department's net pension liability was measured as of June 30, 2024, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2023.

Actuarial assumptions

The actuarial assumptions used to determine the net pension liability as of June 30, 2024 were as follows:

Salary Increases	4.00 percent per year
Investment rate of return	6.00 percent, compounded annually
Cost of Living	1.50 percent per year of orig. benefit amount

Mortality rates were based on the SOA RP-2014 Total Data Set with projection MP-2021.

The long-term expected rate of return on pension plan investment was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

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Asset Class	Target Allocation	Long-Term Expected Real Rate of Return
Domestic Equity	57%	6.60%
International Equity	3%	7.60%
Barclay's Intermediate Govt/Credit Index	40%	4.90%

Discount Rate

The discount rate used to measure the total pension liability was 6.0 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that GDE contributions will be made at rates equal to the difference between actuarially determined contribution rates and the employee rate. Based on these assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

	Total OPEB Liability	Plan Fiduciary Net Position	Non-Trust Contribution	Net OPEB Liability
Balances of 6/30/23	\$ 407,712	\$ 518,205	\$ -	\$ (110,493)
Changes for the year:				
Service Cost	5,157	-	-	5,157
Interest	24,059	-	-	24,059
Difference in expected & actual experience	(5,668)	47,904		(53,572)
Contributions - Employer	-	5,000	24,123	(29,123)
Expected Investment Income	-	31,092	-	(31,092)
Changes in Benefit Terms	-	-	-	-
Changes in Assumptions	-	-	-	-
Benefit payments	(24,123)	-	(24,123)	-
Administrative expense	-	(3,043)	-	3,043
Net Changes	(575)	80,953	-	(81,528)
Balances as of 6/30/24	<u>\$ 407,137</u>	<u>\$ 80,953</u>	<u>\$ -</u>	<u>\$ (192,021)</u>

Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the net pension liability of GDE, calculated using the discount rate of 6.0 percent, as well as what GDE's net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (5.0 percent) of 1-percentage-point higher (7.0 percent) than the current rate:

	1% Decrease 5.00%	Current Rate 6.00%	1% Increase 7.00%
Interest Rate			
Net Pension Liability	(850,792)	(2,536,055)	(4,071,675)

CITY OF GALLATIN, TENNESSEE
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Pension Expense	
Components of Pension Expense	2023/24
Service Cost	217,864
Interest on TPL	823,134
Difference between Expected & Actual	15,134
Change of Assumptions	319,115
Employee Contributions	(64,740)
Projected Earnings on Assets	(854,386)
Difference between Expected & Actual	(282,898)
Pension Plan administrative expense	<u>83,463</u>
Total Expense	256,686

The total expense represents the amount of pension expense recognized in the FY 2025 financial statements.

Deferred Outflow of Resources and Deferred Inflow of Resources

For the year ended June 30, 2025, the Department reported balances in deferred outflow of resources and deferred inflow of resources related to pension from the following sources:

	Deferred Outflow of Resources	Deferred Inflow of Resources
Differences between expected and actual experience	\$ 46,506	\$ 135,885
Net difference between projected and actuarial earnings on pension plan investments- net on financial stmts	-	930,736
Changes in Assumptions	402,800	274,274
Totals to be Amortized		
Contributions subsequent to the measurement date of June 30,2024	<u>145,269</u>	<u>-</u>
Total	<u>\$ 594,575</u>	<u>\$ 1,340,895</u>

Amount reported as deferred outflow of resources and deferred inflow of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30:

2025	\$ (94,051)
2026	(73,345)
2027	(431,303)
2028	(292,890)
Thereafter	-

CITY OF GALLATIN, TENNESSEE
NOTES TO FINANCIAL STATEMENTS
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Aggregate of Both Pension Plans

	Governmental Activities	Business-type Activities	Total
Net pension liability (Asset)			
TCRS Plan	\$ 299,351	\$ 56,723	\$ 356,074
Electric Dept. Plan	-	(2,536,055)	(2,536,055)
	<u>299,351</u>	<u>(2,479,332)</u>	<u>(2,179,981)</u>
Deferred outflows related to pensions			
TCRS Plan	1,221,234	231,406	1,452,640
Electric Dept. Plan	-	594,575	594,575
	<u>1,221,234</u>	<u>825,981</u>	<u>2,047,215</u>
Deferred inflows related to pensions			
TCRS Plan	79,698	15,101	94,799
Electric Dept. Plan	-	1,340,895	1,340,895
	<u>79,698</u>	<u>1,355,996</u>	<u>1,435,694</u>
Pension expense			
TCRS Plan	238,977	45,282	284,259
Electric Dept. Plan	-	256,686	256,686
	<u>\$ 238,977</u>	<u>\$ 301,968</u>	<u>\$ 540,945</u>

F. Other Post Employment Benefits

Gallatin Department of Electricity

Plan Description

The Electric Fund Post Retirement Medical Plan ("PRMP is a single employer defined benefit plan administered by the department). The Plan provides supplemental health insurance premium reimbursements to eligible retirees. The criteria to determine eligibility includes years of services and employee age at date of retirement. Eligible retirees may receive up to \$150 per month for reimbursement of their supplemental health insurance premiums. The plan was closed to new entrants effective March 1, 2016. Authority to establish and amend this benefit provision is assigned to the Gallatin Electric Power Board. The PRMP issues a separate financial report that includes financial statements and required supplementary information. That report may be obtained by writing to Gallatin Department of Electricity, P.O. Box 1555, Gallatin, TN 37066 or by calling 1-615-452-5152.

Plan membership

At June 30, 2024 the plan membership consisted of:

Inactive employees receiving benefits	16
Active employees	<u>48</u>
	64

Total OPEB Liability

The Electric Department's total OPEB asset of \$192,021 was measured as of June 30, 2024 by the actuarial valuation dated June 30, 2023.

CITY OF GALLATIN, TENNESSEE

NOTES TO FINANCIAL STATEMENTS

June 30, 2025

Actuarial assumptions and other inputs

The total OPEB liability in the July 1, 2024 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.0 percent per year
Salary increases	2.5 percent per year
Discount rate	6.00 percent, as of June 30, 2024
Healthcare cost trend rates	None assumed
Participation rate	100 percent assumed

The discount rate was based on the Bond Buyer's 20-year Bond Index.

Mortality rates were based on the RP-2014 fully generational mortality table for males and females, with improvement scale MP-2021.

	Total OPEB Liability	Plan Fiduciary Net Position	Non-Trust Contribution	Net OPEB Liability
Balances of 6/30/23	\$ 407,712	\$ 518,205	\$ -	\$ (110,493)
Changes for the year:				
Service Cost	5,157	-	-	5,157
Interest	24,059	-	-	24,059
Difference in expected & actual experience	(5,668)	47,904		(53,572)
Contributions - Employer	-	5,000	24,123	(29,123)
Expected Investment Income	-	31,092	-	(31,092)
Changes in Benefit Terms	-	-	-	-
Changes in Assumptions	-	-	-	-
Benefit payments	(24,123)	-	(24,123)	-
Administrative expense	-	(3,043)	-	3,043
Net Changes	(575)	80,953	-	(81,528)
Balances as of 6/30/24	<u>\$ 407,137</u>	<u>\$ 599,158</u>	<u>\$ -</u>	<u>\$ (192,021)</u>

Sensitivity of the Total OPEB Liability to changes in the Discount Rate

The following presents the total OPEB liability of the Department, as well as what the Department's total OPEB liability would be if it were calculated using a discount rate that is one percentage point lower (5.00 percent) or one percentage point higher (6.00 percent) than the current discount rate:

	1% Decrease	Current Rate	1% Increase
Interest Rate	5.00%	6.00%	7.00%
Net OPEB Liability (Asset)	\$ (142,179)	\$ (192,021)	\$ (227,078)

OPEB Expense and Deferred Outflows and Deferred Inflows of Resources

For the year ended June 30, 2024, the Department had OPEB expense of (\$31,348). At June 30, 2024, the Department had deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

CITY OF GALLATIN, TENNESSEE
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June 30, 2025

	<u>Deferred Outflow</u> <u>of Resources</u>	<u>Deferred Inflow</u> <u>of Resources</u>
Differences between expected and actual experience	10,477	16,278
Change of assumptions	30,480	156,706
Difference between expected and actual earnings on pension plan investments	-	59,607
Totals to be amortized	40,957	232,591
Contributions made subsequent to the measurement	-	-
Total	<u>40,957</u>	<u>232,591</u>

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:	
2025	(27,900)
2026	(29,172)
2027	(46,853)
2028	(26,608)
2029	(13,957)
Thereafter	(47,144)

G. Defined Contribution Plan

Gallatin Department of Electricity

Plan Description

The Electric Department entered into an agreement with the State of Tennessee to participate in the State of Tennessee Deferred Compensation Plan II – 401(k) Defined Contribution Plan with a ROTH option effective March 1, 2016. The Plan will be administered by the Treasurer for the State of Tennessee which has an agreement with Empower Retirement for the enrollment, deferrals, advisory services and many other administrative aspects. The Plan assets are not held by the Department and the Department does not exercise a trustee responsibility over such assets. This will be the only plan offered to employees hired after March 1, 2016 and will also be available to those employees hired before March 1, 2016 on a voluntary basis.

Funding Policy

The Plan allows employees to make tax deferred contributions into self-directed investments as much as allowable under the Internal Revenue Code. For employees hired after March 1, 2016, the Department will match 200% of Participant elective deferrals of up to 5% of Compensation. The vested interest of each participant, with respect to matching contributions, will be as follows:

- 20% after one year of service
- 40% after two years of service
- 60% after three years of service
- 80% after four years of service
- 100% after five years of service

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June 30, 2025

Any forfeitures will be used first to reduce the employer's matching contributions and then to offset plan expenses. As of June 30, 2025, there have been four forfeitures amounting to \$9,340. For employees hired before March 1, 2016, they can make elective deferrals into the plan with no matching contribution from the Department.

Annual Cost

The Department's maximum contribution to the Plan is defined as up to 10% of an eligible employee's annual compensation. The Department contributed \$213,184 on behalf of the eligible employees during the fiscal year ended June 30, 2025. There were no outstanding contributions at June 30, 2025.

NOTE 6 – RECLASSIFICATION OF PRIOR YEAR BALANCES

As of fiscal year, ended June 30, 2025, the following reclassifications were made to the June 30, 2024 presented balances for consistency in reporting and compliance with reporting requirements (implementation for GASB statement No. 101, compensated absences).

	Reporting Units Affected by Adjustments to and Restatements of Beginning Balances	
	<u>Fund-level</u>	
	<u>Electric Fund</u>	Business- type <u>Activities</u>
June 30, 2024, as previously reported	\$ 57,690,282	\$ 244,507,798
Reclassification of prior year balances	(303,914)	(303,914)
June 30, 2024, as restated	<u>\$ 57,386,368</u>	<u>\$ 244,203,884</u>

NOTE 7 – SUBSEQUENT EVENTS

The Water & Sewer fund issued a bond in the amount of \$28,990,000 for ongoing infrastructure improvements after year end. Management has evaluated subsequent events through December 22, 2025, the date through which the financial statements were available to be issued.

REQUIRED SUPPLEMENTARY INFORMATION

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF CHANGES IN THE PLAN'S NET PENSION LIABILITY
AND RELATED RATIOS - Public Employee Hybrid Pension Plan of the TCRS
June 30, 2025

Total Pension Liability	2024	2023	2022	2021	2020	2019
Service Cost	\$ 1,061,883	\$ 915,613	\$ 778,219	\$ 666,354	\$ 575,836	\$ -
Interest	380,931	276,804	195,733	137,048	72,620	-
Changes of benefit terms	-	-	-	-	-	426,349
Differences between expected & actual experience	429,864	260,898	136,142	(52,390)	153,571	-
Changes of assumptions	-	-	-	169,586	-	-
Benefit payments / refunds	(59,372)	(54,569)	(38,297)	(7,761)	-	(536)
Net change in Total Pension Liability	1,813,306	1,398,746	1,071,797	912,837	802,027	425,813
Total Pension Liability - beginning	4,611,220	3,212,474	2,140,677	1,227,840	425,813	-
Total Pension Liability - ending (a)	\$ 6,424,526	\$ 4,611,220	\$ 3,212,474	\$ 2,140,677	\$ 1,227,840	\$ 425,813
Plan Fiduciary Net Position						
Contributions - employer	\$ 456,098	\$ 374,974	\$ 247,676	\$ 190,332	\$ 170,527	\$ 107,409
Contributions - employee	927,031	774,741	648,370	556,528	513,637	323,520
Net investment income	481,834	235,905	(101,596)	385,616	37,963	15,540
Benefit payments / refunds	(59,372)	(54,569)	(38,297)	(7,761)	-	(536)
Administrative expense	(21,784)	(16,668)	(25,361)	(21,022)	(19,265)	(13,018)
Other	-	-	-	-	-	-
Net change in fiduciary net position	1,783,807	1,314,383	730,792	1,103,693	702,862	432,915
Plan fiduciary net position - beginning	4,284,645	2,970,262	2,239,470	1,135,777	432,915	-
Plan fiduciary net position - ending (b)	\$ 6,068,452	\$ 4,284,645	\$ 2,970,262	\$ 2,239,470	\$ 1,135,777	\$ 432,915
Plan's net pension liability - ending (a) - (b)	\$ 356,074	\$ 326,575	\$ 242,212	\$ (98,793)	\$ 92,063	\$ (7,102)
Plan's fiduciary net position as a percentage of the total pension liability	94.46%	92.92%	92.46%	104.62%	92.50%	101.67%
Covered-employee payroll	\$ 18,540,581	\$ 15,494,771	\$ 12,967,349	\$ 11,130,541	\$ 10,274,439	\$ 6,470,377
Plan's net pension liability as a percentage of covered-employee payroll	1.92%	2.11%	1.87%	-0.89%	0.90%	-0.11%

GASB requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be represented retroactively prior to the implementation data. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

CITY OF GALLATIN, TENNESSEE

SCHEDULE OF CONTRIBUTIONS BASED ON PARTICIPATION IN THE PUBLIC EMPLOYEE HYBRID PENSION PLAN OF THE TCRS

Last Ten Fiscal Years

	2025	2024	2023	2022	2021	2020	2019
Actuarially determined contributions	\$ 559,320	\$ 456,098	\$ 374,974	\$ 247,676	\$ 190,332	\$ 170,527	\$ 107,409
Contributions in relation to actuarially determined contribution	559,320	456,098	374,974	247,676	190,332	170,527	107,409
Contribution deficiency (excess)	-	-	-	-	-	-	-
Covered-employee payroll	22,553,216	18,540,581	15,494,771	12,962,273	1,991,942	10,274,439	6,470,377
Contributions as a percentage of covered payroll	2.48%	2.46%	2.42%	1.91%	9.56%	1.66%	1.66%

GASB requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be represented retroactively prior to the implementation data. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

Notes to Schedule

Valuation date : Actuarially determined contribution rates for fiscal year 2025 were calculated based on the June 30, 2023 actuarial valuation.

A statute governing this plan requires the City contribute a minimum of 4 percent to the plan with the excess contribution being made to a Pension Stabilization Reserve Trust. In the current year 1.52% (\$212,541) of covered employer payroll was contributed to the plan.

Actuarial Methods & Assumptions

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Entry Age Normal
Amortization method	Level dollar, closed (not to exceed 20 years)
Remaining amortization period	Varies by Year
Asset valuation method	10-year smoothed within a 20 percent corridor to market value
Inflation	2.25%
Salary increases	Graded salary ranges from 8.72 to 3.44 percent based on age, including inflation, averaging 4.00 percent
Investment rate of return	6.75%, net of investment expense, including inflation
Retirement age	Pattern of retirement determined by experience study
Mortality	Customized table based on actual experience including an adjustment for some anticipated improvement
Cost of Living Adjustments	2.125 percent

Change of Assumptions:

In 2021, the following assumptions were changed: decreased inflation rate from 2.50 percent to 2.25 percent; decreased the investment rate of return from 7.25 percent to 6.75 percent; decreased the cost-of-living adjustment from 2.25 percent to 2.125 percent; and modified mortality assumptions. In 2017, the following assumptions were changed: decreased inflation rate from 3.00 percent to 2.50 percent; decreased the investment rate of return from 7.50 percent to 7.25 percent; decreased the cost-of-living adjustment from 2.50 percent to 2.25 percent; and decreased salary growth graded ranges from an average of 4.25 percent to an average of 4.00 percent.

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF CHANGES IN THE PLAN'S NET PENSION LIABILITY
AND RELATED RATIOS - ELECTRIC DEPARTMENT
June 30, 2025

Total Pension Liability	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Service Cost	\$ 278,762	\$ 217,864	\$ 278,762	\$ 217,805	\$ 254,942	\$ 255,677	\$ 183,037	\$ 185,023	\$ 177,907	\$ 165,004
Interest	824,733	823,134	815,830	817,982	794,550	771,299	723,598	691,268	685,170	659,028
Changes of benefit terms	-	-	-	-	-	-	-	-	-	-
Differences between expected & actual experience	1,599,331	-	(226,475)	-	26,471	(1)	324,343	115,214	(295,965)	-
Changes of assumptions	-	(371,717)	-	1,467,410	(45,689)	(38,813)	(28,647)	-	-	(468,590)
Benefit payments / refunds	(712,522)	(694,782)	(676,444)	(627,700)	(688,070)	(623,543)	(564,525)	(492,024)	(482,369)	(445,233)
Net change in Total Pension Liability	1,990,304	(25,501)	191,673	1,875,497	342,204	364,619	637,806	499,481	84,743	(89,791)
Total Pension Liability - beginning	13,817,867	13,843,368	13,651,695	11,776,198	11,433,994	11,069,375	10,431,569	9,932,088	9,847,345	9,937,136
Total Pension Liability - ending (a)	\$ 15,808,171	\$ 13,817,867	\$ 13,843,368	\$ 13,651,695	\$ 11,776,198	\$ 11,433,994	\$ 11,069,375	\$ 10,431,569	\$ 9,932,088	\$ 9,847,345
Plan Fiduciary Net Position										
Contributions - Employer	\$ 145,270	\$ 310,000	\$ 600,000	\$ 600,000	\$ 750,000	\$ 1,050,000	\$ 1,200,000	\$ 800,000	\$ 1,040,000	\$ 666,994
Contributions - Member	67,395	64,740	59,389	59,943	59,095	59,546	61,115	62,396	62,487	65,855
Net investment income	1,639,928	2,318,844	1,382,708	(1,415,589)	3,077,505	408,674	685,759	610,970	663,332	185,887
Benefit payments / refunds	(712,522)	(694,782)	(676,444)	(627,700)	(688,070)	(623,543)	(564,525)	(492,024)	(482,369)	(445,233)
Administrative expense	(90,178)	(83,463)	(73,087)	(77,846)	(72,959)	(57,274)	(49,663)	(45,318)	(39,030)	(34,134)
Net change in fiduciary net position	1,049,893	1,915,339	1,292,566	(1,461,192)	3,125,571	837,403	1,332,686	936,024	1,244,420	439,369
Plan fiduciary net position - beginning	16,353,922	14,438,583	13,146,017	14,607,209	11,481,638	10,644,235	9,311,549	8,375,525	7,131,105	6,691,736
Plan fiduciary net position - ending (b)	\$ 17,403,815	\$ 16,353,922	\$ 14,438,583	\$ 13,146,017	\$ 14,607,209	\$ 11,481,638	\$ 10,644,235	\$ 9,311,549	\$ 8,375,525	\$ 7,131,105
Plan's net pension liability - ending (a) - (b)	\$ (1,595,644)	\$ (2,536,055)	\$ (595,215)	\$ 505,678	\$ (2,831,011)	\$ (47,644)	\$ 425,140	\$ 1,120,020	\$ 1,556,563	\$ 2,716,240
Plan's fiduciary net position as a percentage of the total pension liability	110.09%	118.35%	104.30%	96.30%	124.04%	100.42%	96.16%	89.26%	84.33%	72.42%
Covered-employee payroll	\$ 1,940,464	\$ 1,945,783	\$ 1,945,783	\$ 1,991,942	\$ 1,991,942	\$ 2,085,475	\$ 2,085,475	\$ 1,958,148	\$ 2,043,550	\$ 2,030,845
Plan's net pension liability as a percentage of covered-employee payroll	-82.23%	-130.34%	-30.59%	25.39%	-142.12%	-2.28%	20.39%	57.20%	76.17%	133.75%

GASB requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68.

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF CONTRIBUTIONS
LAST TEN FISCAL YEARS
ELECTRIC DEPARTMENT
June 30, 2025

	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Actuarially determined contributions	\$ 145,270	\$ 211,462	\$ 211,462	\$ 200,921	\$ 332,078	\$ 342,422	\$ 342,422	\$ 417,159	\$ 417,159	\$ 385,256
Contributions in relation to actuarially determined contribution	145,270	310,000	600,000	600,000	750,000	1,500,000	1,200,000	800,000	1,040,000	666,994
Contribution deficiency (excess)	-	(98,538)	(388,538)	(399,079)	(417,922)	(1,157,578)	(857,578)	(382,841)	(622,841)	(281,738)
Covered-employee payroll	1,940,464	1,945,783	1,945,783	1,991,942	1,991,942	2,085,475	2,085,475	1,958,148	2,043,550	2,030,845
Contributions as a percentage of covered payroll	7.49%	15.93%	30.84%	30.12%	37.65%	71.93%	57.54%	40.85%	50.89%	32.84%

GASB requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule3 is not required to be represented retroactively prior to the implementation data. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

Notes to Schedule

Actuarially determined contribution rates are calculated as of June 30, two years prior to the end of the fiscal year in which contributions are reported.

Actuarial Methods & Assumptions

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Entry Age Normal Level Dollar % of Salary
Amortization method	The amortization policy shall be that the UAAL, as of July 1, 2014 and any changes thereafter as a result of change in assumptions or methods or benefit or plan changes, shall be amortized over a fixed period of 30 years beginning July 1, 2014. The amortization period for experience gains and losses shall be 10 years from the date of the actuarial valuation.
Remaining amortization period	Initial Amortization Period: 30 years as of 2014
Asset valuation method	Market Value of Plan Assets
Cost of living increases	1.50%
Salary increases	4.00%
Investment rate of return	6.00%
Retirement age	65
Mortality	SOA RP-2014 Total Dataset Mortality with Scale MP-2021
Disabled Mortality	1965 Railroad Board Disability Annuity Mortality

Schedule of Investment Returns

	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Annual money-weighted rate of return, net of investment expense	9.93%	15.58%	9.97%	-10.54%	26.42%	3.84%	7.09%	7.11%	9.04%	1.75%

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF CHANGES IN THE TOTAL OPEB LIABILITY AND RELATED RATIOS - ELECTRIC
June 30, 2025

	2025	2024	2023	2022	2021	2020	2019	2018	2017
Total OPEB liability									
Service cost	\$ 5,505	\$ 5,157	\$ 10,377	\$ 6,359	\$ 9,116	\$ 6,250	\$ 6,485	\$ 7,587	\$ 9,220
Interest	24,155	24,059	18,974	13,500	13,904	18,985	18,085	16,911	14,641
Changes of benefit terms	-	-	11,914	-	-	-	-	-	-
Differences between expected and actual experience	(2,984)	(5,668)	(10,450)	(1,985)	(4,878)	34,352	-	7,940	3,563
Changes of assumptions or other inputs	-	-	(128,160)	(98,281)	4,124	89,394	22,113	(16,731)	(46,674)
Benefit payments	<u>(24,659)</u>	<u>(24,123)</u>	<u>(21,933)</u>	<u>(22,848)</u>	<u>(23,975)</u>	<u>(20,354)</u>	<u>(15,783)</u>	<u>(15,914)</u>	<u>(25,113)</u>
Net change in total OPEB liability	2,017	(575)	(119,278)	(103,255)	(1,709)	128,627	30,900	(207)	(44,363)
Total OPEB liability - beginning	<u>407,137</u>	<u>407,712</u>	<u>526,990</u>	<u>630,245</u>	<u>631,954</u>	<u>503,327</u>	<u>472,427</u>	<u>472,634</u>	<u>516,997</u>
Total OPEB liability - ending	<u>\$ 409,154</u>	<u>\$ 407,137</u>	<u>\$ 407,712</u>	<u>\$ 526,990</u>	<u>\$ 630,245</u>	<u>\$ 631,954</u>	<u>\$ 503,327</u>	<u>\$ 472,427</u>	<u>\$ 472,634</u>
Plan Fiduciary Net Position									
Employer Contributions	\$ -	\$ 5,000	\$ 485,000						
Expected Investment Income	35,949	31,092	-						
Differences between expected and actual experience	26,953	47,903	35,474						
Benefit payments	(24,659)	-	-						
Administration expenses	<u>(3,349)</u>	<u>(3,042)</u>	<u>(2,269)</u>						
Net Changes in Plan Fiduciary Net Position	34,894	80,953	518,205						
Total OPEB liability - beginning	<u>599,158</u>	<u>518,205</u>	<u>-</u>						
Total OPEB liability - ending	<u>\$ 634,052</u>	<u>\$ 599,158</u>	<u>\$ 518,205</u>						
Net OPEB Liability - Ending	<u>\$ (224,898)</u>	<u>\$ (192,021)</u>	<u>\$ (110,493)</u>						
Plan Fiduciary Net Position as a percentage of the Total OPEB Liability	154.97%	147.16%	127.10%						
Covered Employee Payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Net OPEB Liability as a percentage of Covered Employee Payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF CHANGES IN THE TOTAL OPEB LIABILITY AND RELATED RATIOS - ELECTRIC
June 30, 2025

	2025	2024	2023	2022	2021	2020	2019	2018	2017
Notes:									
<u>Plan changes:</u>									
Eligibility	None	None	Employees hired after March 1, 2016 are eligible	None	None	None	None	None	None
 Age & Service									
	Age 55 and 20 years of service	Age 55 and 20 years of service	Age 55 and 20 years of service						
<u>Assumption Changes:</u>									
Discount Rate	6.00%	6.00%	6.00%	3.54%	2.16%	2.21%	3.50%	3.87%	3.58%
 Mortality Table									
	RPH-2014 Headcount-weighted Total Dataset Table with Projection Scale MP-2021	RPH-2014 Headcount-weighted Total Dataset Table with Projection Scale MP-2021	RPH-2014 Headcount-weighted Total Dataset Table with Projection Scale MP-2021	RPH-2014 Headcount-weighted Total Dataset Table with Projection Scale MP-2020	RPH-2014 Headcount-weighted Total Dataset Table with Projection Scale MP-2020	RPH-2014 Headcount-weighted Total Dataset Table with Projection Scale MP-2020	RPH-2014 Dataset Table with Projection Scale MP-2016	RPH-2014 Dataset Table with Projection Scale MP-2016	RPH-2014 Dataset Table with Projection Scale MP-2016

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF CONTRIBUTIONS - OPEB PLAN
LAST TEN FISCAL YEARS
ELECTRIC DEPARTMENT
June 30, 2025

	<u>2025</u>	<u>2024</u>	<u>2023</u>
Actuarially determined contributions	\$ -	\$ 27,850	\$ 27,266
Contributions in relation to actuarially determined contribution	-	(29,123)	(509,933)
Contribution deficiency (excess)	-	(1,273)	(482,667)
Covered-employee payroll	N/A	N/A	N/A
Contributions as a percentage of covered payroll	N/A	N/A	N/A

Actuarial Methods & Assumptions

Methods and assumptions used to determine contribution rates:

Remaining amortization period	28 years	29 years	30 years
Investment rate of return	6.00%	6.00%	
Mortality	RPH-2014 Headcount-weighted Total Dataset Table with Projection Scale MP- 2021	RPH-2014 Headcount-weighted Total Dataset Table with Projection Scale MP- 2021	RPH-2014 Headcount-weighted Total Dataset Table with Projection Scale MP- 2021

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF INVESTMENT RETURNS
LAST TEN FISCAL YEARS
OPEB PLAN - ELECTRIC DEPARTMENT
June 30, 2025

	<u>2025</u>	<u>2024</u>	<u>2023</u>
Annual money-weighted rate of return, net of investment expense	10.53%	9.94%	6.56%

See independent auditor's report.

SUPPLEMENTARY INFORMATION SECTION

NONMAJOR GOVERNMENTAL FUNDS

SPECIAL REVENUE FUNDS:

Special Revenue Funds account for specific revenues that are legally restricted to expenditure purposes. The Special Revenue Funds are:

Special Services Fund - To account for sex offender registry payments that are used for specific purposes and private donations to be used for the "Shop with a Cop" Christmas program.

Drug Fund - To account for the resources used for the operation of drug enforcement activities by the City.

Environmental Services Fund - To account for the resources used for the garbage collection activities by the City.

Stormwater Fund – To account for the stormwater fee that is to be used for stormwater maintenance and repairs throughout the City

PERMANENT FUNDS:

Permanent Funds account for specific revenues for which the corpus of the donation are restricted by external donors. The Permanent Funds are:

Thomas Witherspoon Fund - To account for a donation that was received to make loans to graduating seniors to be used for college.

Cemetery Trust Fund - To account for donations that were received to maintain the cemetery in perpetuity.

CITY OF GALLATIN, TENNESSEE
COMBINING BALANCE SHEET
OTHER GOVERNMENTAL FUNDS
June 30, 2025

	Special Revenue Funds				Permanent Funds		Totals
	Special Services	Drug	Environmental Services	Stormwater	Thomas Witherspoon	Cemetery Trust	
Assets							
Cash and cash equivalents	\$ 2,635,099	\$ 174,361	\$ 3,506,263	\$ 4,372,626	\$ 354,417	\$ 19,330	\$ 11,062,096
Investments	-	-	-	-	-	21,025	21,025
TCRS Stabilization	-	-	52,987	43,277	-	-	96,264
Receivables:							
Accounts	-	-	282,459	133,425	-	-	415,884
Interest	-	-	-	-	4,782	1	4,783
Other	-	-	-	-	107,031	-	107,031
Inventory	-	-	34,095	-	-	-	34,095
Total assets	\$ 2,635,099	\$ 174,361	\$ 3,875,804	\$ 4,549,328	\$ 466,230	\$ 40,356	\$ 11,741,178
Liabilities, deferred inflows of resources, and fund balances							
Liabilities							
Accounts payable	\$ -	\$ -	\$ 864,322	\$ 26,858	\$ -	\$ -	\$ 891,180
Unearned evidence funds	179,338	-	-	-	-	-	179,338
Performance deposits	2,407,730	-	-	-	-	-	2,407,730
Total liabilities	2,587,068	-	864,322	26,858	-	-	3,478,248
Fund balances							
Nonspendable:							
Funds held in trust	-	-	-	-	15,000	21,025	36,025
Inventory	-	-	34,095	-	-	-	34,095
Restricted:							
Funds held in trust	-	-	-	-	451,230	-	451,230
TCRS Stabilization	-	-	52,987	43,277	-	-	96,264
Environmental services	-	-	2,924,400	-	-	-	2,924,400
Drug enforcement	-	174,361	-	-	-	-	174,361
Stormwater	-	-	-	4,479,193	-	-	4,479,193
Assigned for:							
Police special projects	48,031	-	-	-	-	-	48,031
Cemetery use	-	-	-	-	-	19,331	19,331
Total fund balances	48,031	174,361	3,011,482	4,522,470	466,230	40,356	8,262,930
Total liabilities, deferred inflows of resources, and fund balances	\$ 2,635,099	\$ 174,361	\$ 3,875,804	\$ 4,549,328	\$ 466,230	\$ 40,356	\$ 11,741,178

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
OTHER GOVERNMENTAL FUNDS
For the Fiscal Year Ended June 30, 2025

	Special Revenue Funds				Permanent Funds		
	Special Services	Drug	Environmental Services	Stormwater	Thomas Witherspoon	Cemetery Trust	Totals
Revenues							
Charges for services	\$ -	\$ -	\$ 3,549,611	\$ 2,085,770	\$ -	\$ -	\$ 5,635,381
Fines and forfeitures	4,500	87,168	-	-	-	-	91,668
Donations	69,926	-	-	-	-	-	69,926
Other	36	55,546	101,472	382,645	-	551	540,250
Total revenues	<u>74,462</u>	<u>142,714</u>	<u>3,651,083</u>	<u>2,468,415</u>	<u>-</u>	<u>551</u>	<u>6,337,225</u>
Expenditures							
Current							
Public safety	65,208	84,195	-	-	-	-	149,403
Environmental services	-	-	2,734,042	1,221,462	-	-	3,955,504
Repair and maintenance	-	-	-	-	-	250	250
Capital outlay	-	15,000	735,293	1,088,025	617	-	1,838,935
Total expenditures	<u>65,208</u>	<u>99,195</u>	<u>3,469,335</u>	<u>2,309,487</u>	<u>617</u>	<u>250</u>	<u>5,944,092</u>
Excess (deficiency) of revenues over (under) expenditures	<u>9,254</u>	<u>43,519</u>	<u>181,748</u>	<u>158,928</u>	<u>(617)</u>	<u>301</u>	<u>393,133</u>
Other financing sources (uses)							
Transfers to/from other funds	-	-	-	150,000	-	-	150,000
Total other financing sources (uses)	<u>-</u>	<u>-</u>	<u>-</u>	<u>150,000</u>	<u>-</u>	<u>-</u>	<u>150,000</u>
Net changes in fund balances	<u>9,254</u>	<u>43,519</u>	<u>181,748</u>	<u>308,928</u>	<u>(617)</u>	<u>301</u>	<u>543,133</u>
Fund balance - beginning	<u>38,777</u>	<u>130,842</u>	<u>2,829,734</u>	<u>4,213,542</u>	<u>466,847</u>	<u>40,055</u>	<u>7,719,797</u>
Fund balance - ending	<u>\$ 48,031</u>	<u>\$ 174,361</u>	<u>\$ 3,011,482</u>	<u>\$ 4,522,470</u>	<u>\$ 466,230</u>	<u>\$ 40,356</u>	<u>\$ 8,262,930</u>

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SPECIAL SERVICES FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
	Original	Final	Actual	
Revenues				
Fines and forfeitures:				
Sex offender registry	\$ 5,000	\$ 5,000	\$ 4,500	\$ (500)
Other:				
Donations	65,000	65,000	69,926	4,926
Interest	-	-	36	36
Total revenues	<u>70,000</u>	<u>70,000</u>	<u>74,462</u>	<u>4,462</u>
Expenditures				
Public safety:				
Police:				
Current:				
Office supplies	5,000	5,000	784	(4,216)
Grants and donations	<u>65,000</u>	<u>65,000</u>	<u>64,424</u>	<u>(576)</u>
Total expenditures	<u>70,000</u>	<u>70,000</u>	<u>65,208</u>	<u>(4,792)</u>
Net changes in fund balance	\$ -	\$ -	9,254	\$ 9,254
Fund balance - beginning			<u>38,777</u>	
Fund balance - ending			<u>\$ 48,031</u>	

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
DRUG FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
	Original	Final	Actual	
Revenues				
Fines and forfeitures	\$ 50,000	\$ 50,000	\$ 87,168	\$ 37,168
Contributions	-	7,500	7,500	-
Sale of equipment	-	25,000	48,046	23,046
Total revenues	<u>50,000</u>	<u>82,500</u>	<u>142,714</u>	<u>60,214</u>
Expenditures				
Public safety:				
Police:				
Current:				
Supplies	40,000	71,170	58,914	(12,256)
Transportation equipment	35,000	35,000	25,281	(9,719)
Capital Outlay	-	7,500	15,000	7,500
Total expenditures	<u>75,000</u>	<u>113,670</u>	<u>99,195</u>	<u>(14,475)</u>
Net changes in fund balance	<u>\$ (25,000)</u>	<u>\$ (31,170)</u>	<u>43,519</u>	<u>\$ 74,689</u>
Fund balance - beginning			<u>130,842</u>	
Fund balance - ending			<u>\$ 174,361</u>	

See independent auditor's report.

**CITY OF GALLATIN, TENNESSEE
ENVIRONMENTAL SERVICES FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL**
For the Fiscal Year Ended June 30, 2025

	Budgeted Amounts			Variance with Final Budget Over (Under)
	Original	Final	Actual	
Revenues				
Charges for services	\$ 3,325,000	\$ 3,325,000	\$ 3,549,611	\$ 224,611
Other:				
Sale of supplies	60,000	60,000	84,388	24,388
Miscellaneous	-	9,832	17,084	7,252
Total revenues	<u>3,385,000</u>	<u>3,394,832</u>	<u>3,651,083</u>	<u>256,251</u>
Expenditures				
Environmental services:				
Current:				
Salaries	965,242	965,242	934,886	(30,356)
Employee benefits and taxes	401,009	401,009	345,848	(55,161)
Insurance	42,560	42,560	39,193	(3,367)
Utilities	20,731	20,731	19,518	(1,213)
Repairs and maintenance	104,500	114,332	134,941	20,609
Other contractual services	1,007,365	1,007,365	926,894	(80,471)
Supplies	16,500	16,500	11,627	(4,873)
Gas, oil, diesel, etc.	165,000	165,000	104,524	(60,476)
Supplies for resale	100,000	100,000	74,608	(25,392)
Natural materials	100,000	100,000	45,688	(54,312)
Professional services	94,112	94,112	94,113	1
Miscellaneous	3,700	3,700	2,202	(1,498)
Capital outlay	<u>710,000</u>	<u>1,031,906</u>	<u>735,293</u>	<u>(296,613)</u>
Total expenditures	<u>3,730,719</u>	<u>4,062,457</u>	<u>3,469,335</u>	<u>(593,122)</u>
Excess (deficiency) of revenue over (under) expenditures	<u>(345,719)</u>	<u>(667,625)</u>	<u>181,748</u>	<u>849,373</u>
Other financing sources (uses)				
Transfers out	<u>(50,000)</u>	<u>(50,000)</u>	<u>-</u>	<u>50,000</u>
Total other financing sources (uses)	<u>(50,000)</u>	<u>(50,000)</u>	<u>-</u>	<u>50,000</u>
Net changes in fund balance	<u>\$ (395,719)</u>	<u>\$ (717,625)</u>	<u>181,748</u>	<u>\$ 899,373</u>
Fund balance - beginning			<u>2,829,734</u>	
Fund balance - ending			<u>\$ 3,011,482</u>	

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
STORMWATER FUND
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
For the Fiscal Year Ended June 30, 2025

	<u>Budgeted Amounts</u>		<u>Actual</u>	<u>Variance with Final Budget Over (Under)</u>
	<u>Original</u>	<u>Final</u>		
Revenues				
Charges for services	\$ 2,000,000	\$ 2,000,000	\$ 2,085,770	\$ 85,770
Other:				
Miscellaneous	-	-	382,645	382,645
Total revenues	<u>2,000,000</u>	<u>2,000,000</u>	<u>2,468,415</u>	<u>468,415</u>
Expenditures				
Environmental services:				
Current:				
Salaries	860,419	860,419	695,949	(164,470)
Employee benefits and taxes	333,549	333,549	222,708	(110,841)
Insurance	43,750	43,750	27,317	(16,433)
Printing and publications	12,850	12,850	6,943	(5,907)
Utilities	7,700	7,700	7,495	(205)
Repairs and maintenance	19,000	19,000	24,716	5,716
Other contractual services	203,401	286,695	126,720	(159,975)
Supplies	15,700	22,230	22,215	(15)
Gas, oil, diesel, etc.	27,250	27,250	19,315	(7,935)
Professional services	253,101	253,101	22,426	(230,675)
Miscellaneous	49,213	49,213	45,658	(3,555)
Capital outlay	<u>755,500</u>	<u>3,036,110</u>	<u>1,088,025</u>	<u>(1,948,085)</u>
Total expenditures	<u>2,581,433</u>	<u>4,951,867</u>	<u>2,309,487</u>	<u>(2,642,380)</u>
Excess (deficiency) of revenue over (under) expenditures	<u>(581,433)</u>	<u>(2,951,867)</u>	<u>158,928</u>	<u>3,110,795</u>
Other financing sources (uses)				
Transfers in	-	150,000	150,000	-
Total other financing sources (uses)	<u>-</u>	<u>150,000</u>	<u>150,000</u>	<u>-</u>
Net changes in fund balance	<u>\$ (581,433)</u>	<u>\$ (2,801,867)</u>	<u>308,928</u>	<u>\$ 3,110,795</u>
Fund balance - beginning			<u>4,213,542</u>	
Fund balance - ending			<u>\$ 4,522,470</u>	

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF CHANGES IN PROPERTY TAXES RECEIVABLE
For the Fiscal Year Ended June 30, 2025

Tax Levy for Year	Tax Rate	Tax Levy	Beginning Outstanding Taxes	Additions and Adjustments	Collections	Ending Outstanding Taxes	Outstanding Taxes Being Collected by Chancery Court
2024	0.53	\$ 15,545,873	\$ -	\$ 15,523,511	\$ 15,205,497	\$ 318,014	\$ -
2023	0.80	14,640,029	335,341	25,413	174,154	186,600	186,600
2022	0.80	14,038,125	88,789	50,691	30,721	108,759	108,759
2021	0.80	12,917,234	35,579	1,729	14,474	22,834	22,834
2020	0.80	12,158,928	50,849	245	8,101	42,993	42,993
2019	0.80	11,039,008	26,985	-	5,425	21,560	21,560
2018	0.99	10,746,934	31,220	-	6,678	24,542	24,542
2017	0.99	10,527,443	24,600	-	4,944	19,656	19,656
2016	0.99	10,203,336	17,052	-	720	16,332	16,332
2015	0.99	9,610,477	21,568	-	1,545	20,023	20,023
			<u>\$ 631,983</u>	<u>\$ 15,601,589</u>	<u>\$ 15,452,259</u>	<u>\$ 781,313</u>	<u>\$ 463,299</u>
Above balances represented as follows:							
Considered current revenue						-	
Allowance for uncollectible accounts						117,925	
Unavailable revenue						663,388	
						<u>781,313</u>	
2025 property tax assessment						<u>17,569,317</u>	
Total taxes receivable						<u>\$ 18,350,630</u>	

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF ELECTRIC RATES IN FORCE
June 30, 2025

Residential Rate Schedule:

Customer charge - per delivery point per month	\$ 22.61
Energy charge - cents per kWh	0.10986

General Power Schedule:

GSA (Demand 0-5,000 kW demand)

Customer charge - per delivery point per month	\$ 25.60
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1. Less than 50kW demand and not more than 15,000 kWh

Energy charge - cents per kWh	0.12252
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2. Between 51 and 1,000 kW demand with energy usage over 15,000 kWh

Customer charge - per delivery point per month	\$ 75.00
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Demand charges - per kW per month

0-50 kW	-
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More than 50 to 1,000 kW, per kW	11.65
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Energy charge - cents per kWh

First 15,000 kWh per month	0.11699
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Additional kWh per month	0.08335
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3. Between 1,001 and 5,000 kW demand

Customer charge - per delivery point per month	\$ 215.00
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Demand charges - per kW per month

0-1,000 kW, per kW	11.74
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More than 1,000 to 5,000 kW, per kW	16.32
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Energy charge - cents per kWh	0.08332
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GSB (5,001 - 15,000 kW demand)

Customer charge - per delivery point per month	\$ 1,500.00
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Demand charges - per kW per month

Onpeak demand - per kW per month	11.95
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Max Demand - per kW per month	5.58
-------------------------------	------

Offpeak Excess of Contract Demand - per kW per month	11.95
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Energy charge:

Onpeak kWh	0.09758
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Offpeak kWh First 200 HUD	0.07017
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Offpeak kWh Next 200 HUD	0.03215
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Additional HUD	0.02839
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MSB

Customer charge - per delivery point per month	\$ 1,500.00
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Demand charges - per kW per month

Onpeak demand - per kW per month	11.27
----------------------------------	-------

Max Demand - per kW per month	2.33
-------------------------------	------

Offpeak Excess of Contract Demand - per kW per month	11.27
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Energy charge - cents per kWh

Onpeak kWh	0.08975
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Offpeak kWh First 200 HUD	0.06225
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Offpeak kWh Next 200 HUD	0.02961
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Additional HUD	0.02680
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See independent auditor's report.

CITY OF GALLATIN, TENNESEE
SCHEDULE OF ELECTRIC RATES IN FORCE
June 30, 2025

General Power Schedule (Continued):

MSD (Demand over 25,000 kW)		
Customer charge - per delivery point per month	\$	1,500.00
Demand charges - per kW per month		
Onpeak demand - per kW per month		11.27
Max Demand - per kW per month		1.71
Offpeak Excess of Contract Demand - per kW per month		11.27
Energy charge - cents per kWh		
Onprsk kWh		0.08602
Offpeak kWh first 200 HUD		0.05852
Offpeak kWh next 200 HUD		0.02929
Additional HUD		0.02864
OUTDOOR LIGHTING		
73 LED	\$	11.22
113 LED		16.36
100 Watt H.P.S.		9.74
150 Watt H.P.S.		13.02
175 Watt M.V.		10.58
250 Watt H.P.S.		16.67
400 Watt H.P.S.		21.68
Outdoor lighting kWh		0.08328

Number of customers:

	<u>2025</u>
Residential	23,811
Commercial and industrial	3,766
Street and athletic fields	59
Individually billed outdoor lighting	<u>26</u>
	<u><u>27,662</u></u>

See independent auditor's report.

Water Division

\$ 11.92 for first 250 cubic feet
\$ 3.25 per 100 cubic feet in excess of 250 cubic feet

\$ 17.88 for first 250 cubic feet
\$ 4.88 per 100 cubic feet in excess of 250 cubic feet

\$ 11.92 for first 250 cubic feet
\$ 3.25 per 100 cubic feet in excess of 250 cubic feet

\$ 17.88 for first 250 cubic feet
\$ 4.88 per 100 cubic feet in excess of 250 cubic feet

18,911

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF GAS RATES IN FORCE
June 30, 2025

Residential and commercial - inside city

First 200 cubic feet	\$	3.50
All usage over 200 cubic feet, per ccf		0.92

Residential and commercial - outside city

First 200 cubic feet	\$	3.85
All usage over 200 cubic feet, per ccf		1.01

Industrial

All usage, per ccf	\$	0.92
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Preferred interruptible

All usage, per ccf	\$	0.62
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Interruptible

First 100,000 cubic feet	\$	0.54
All usage over 100,000 cubic feet, per ccf	\$	0.46

Number of customers:

	2025
Residential	13,400
Commercial	737
Industrial	29
Interruptible	5
	<u>14,171</u>

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF PRINCIPAL AND INTEREST REQUIREMENTS
GENERAL OBLIGATION DEBT - CITY
June 30, 2025

Year	G.O. Refunding		G.O. Bonds		G.O. Bonds		Total Requirements		
Ended	Bonds Series 2014		Series 2016		Series 2021				
June 30,	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Total
2026	\$ 1,050,000	\$ 180,850	\$ 530,000	\$ 233,500	\$ 385,000	\$ 255,850	\$ 1,965,000	\$ 670,200	\$ 2,635,200
2027	1,090,000	138,850	540,000	207,000	405,000	236,600	2,035,000	582,450	2,617,450
2028	450,000	106,150	555,000	185,400	425,000	216,350	1,430,000	507,900	1,937,900
2029	460,000	92,650	570,000	163,200	445,000	195,100	1,475,000	450,950	1,925,950
2030	475,000	78,850	585,000	140,400	465,000	172,850	1,525,000	392,100	1,917,100
2031	490,000	64,600	600,000	117,000	490,000	149,600	1,580,000	331,200	1,911,200
2032	505,000	49,900	620,000	99,000	515,000	125,100	1,640,000	274,000	1,914,000
2033	525,000	34,119	640,000	80,400	535,000	104,500	1,700,000	219,019	1,919,019
2034	545,000	17,713	660,000	61,200	545,000	93,800	1,750,000	172,713	1,922,713
2035	-	-	680,000	41,400	555,000	82,900	1,235,000	124,300	1,359,300
2036	-	-	700,000	21,000	570,000	71,800	1,270,000	92,800	1,362,800
2037	-	-	-	-	580,000	60,400	580,000	60,400	640,400
2038	-	-	-	-	590,000	48,800	590,000	48,800	638,800
2039	-	-	-	-	605,000	37,000	605,000	37,000	642,000
2040	-	-	-	-	615,000	24,900	615,000	24,900	639,900
2041	-	-	-	-	630,000	12,600	630,000	12,600	642,600
	<u>\$ 5,590,000</u>	<u>\$ 763,682</u>	<u>\$ 6,680,000</u>	<u>\$ 1,349,500</u>	<u>\$ 8,355,000</u>	<u>\$ 1,888,150</u>	<u>\$ 20,625,000</u>	<u>\$ 4,001,332</u>	<u>\$ 24,626,332</u>

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
PROPRIETARY FUNDS
SCHEDULE OF LONG-TERM DEBT
June 30, 2025

Water & Sewer Department										Gas Department									
Year Ended	Water & Sewer Rev & Tax Bond - 2011		Water & Sewer Refunding - 2014		Water & Sewer Refunding - 2015		2021 Refunding and Improvement bond Refunding Portion (B)		2021 Refunding and Improvement bond New Money (A)		Gas Revenue Bond - 2019		Gas Revenue Bond - 2024		Electric Revenue Bond - 2024		Total Requirements		
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Total
June 30,																			
2026	505,000	141,304	330,000	49,650	1,350,000	68,638	225,000	255,900	370,000	419,700	230,000	161,338	270,000	195,225	-	256,800	\$ 3,280,000	\$ 1,548,555	\$ 4,828,555
2027	520,000	126,560	340,000	37,950	-	21,388	1,640,000	242,082	385,000	404,600	240,000	149,838	285,000	376,950	360,000	504,600	3,770,000	1,863,968	5,633,968
2028	535,000	110,401	355,000	27,525	-	21,388	1,670,000	215,587	400,000	388,900	255,000	137,838	300,000	362,700	375,000	486,225	3,890,000	1,750,564	5,640,564
2029	555,000	93,023	365,000	16,725	-	21,388	1,700,000	186,092	415,000	372,600	265,000	125,088	315,000	347,700	395,000	466,975	4,010,000	1,629,591	5,639,591
2030	570,000	74,599	375,000	5,625	-	21,388	1,730,000	154,357	430,000	355,700	280,000	111,838	330,000	331,950	415,000	446,725	4,130,000	1,502,182	5,632,182
2031	590,000	54,869	-	-	-	21,388	1,765,000	120,272	450,000	338,100	290,000	100,638	350,000	315,450	435,000	425,475	3,880,000	1,376,192	5,256,192
2032	615,000	33,781	-	-	-	21,388	1,800,000	83,902	470,000	319,700	305,000	89,038	365,000	297,950	460,000	403,100	4,015,000	1,248,859	5,263,859
2033	635,000	11,509	-	-	-	21,388	1,840,000	45,310	490,000	300,500	315,000	76,838	385,000	279,700	480,000	379,600	4,145,000	1,114,845	5,259,845
2034	-	-	-	-	-	21,388	175,000	23,031	510,000	280,500	325,000	64,238	405,000	260,450	505,000	354,975	1,920,000	1,004,582	2,924,582
2035	-	-	-	-	-	21,388	180,000	18,150	530,000	259,700	335,000	54,488	425,000	240,200	530,000	329,100	2,000,000	923,026	2,923,026
2036	-	-	-	-	-	21,388	185,000	13,131	550,000	238,100	345,000	44,438	445,000	218,950	555,000	301,975	2,080,000	837,982	2,917,982
2037	-	-	-	-	-	21,388	190,000	7,975	570,000	215,700	355,000	34,088	465,000	196,700	585,000	273,475	2,165,000	749,326	2,914,326
2038	-	-	-	-	-	21,388	195,000	2,681	590,000	195,450	370,000	23,438	490,000	173,450	615,000	243,475	2,260,000	659,882	2,919,882
2039	-	-	-	-	290,000	21,387	-	-	610,000	177,450	380,000	11,875	515,000	148,950	645,000	211,975	2,440,000	571,637	3,011,637
2040	-	-	-	-	300,000	10,875	-	-	630,000	158,850	-	-	540,000	123,200	675,000	178,975	2,145,000	471,900	2,616,900
2041	-	-	-	-	-	-	-	-	650,000	139,650	-	-	565,000	96,200	710,000	144,350	1,925,000	380,200	2,305,200
2042	-	-	-	-	-	-	-	-	670,000	119,850	-	-	590,000	73,600	745,000	111,700	2,005,000	305,150	2,310,150
2043	-	-	-	-	-	-	-	-	690,000	99,450	-	-	615,000	50,000	775,000	81,300	2,080,000	230,750	2,310,750
2043	-	-	-	-	-	-	-	-	710,000	78,450	-	-	635,000	25,400	805,000	49,700	2,150,000	153,550	2,303,550
2044	-	-	-	-	-	-	-	-	730,000	56,850	-	-	-	-	840,000	16,800	1,570,000	73,650	1,643,650
2045	-	-	-	-	-	-	-	-	755,000	34,575	-	-	-	-	-	-	755,000	34,575	789,575
2046	-	-	-	-	-	-	-	-	775,000	11,625	-	-	-	-	-	-	775,000	11,625	786,625
	\$ 4,525,000	\$ 646,046	\$ 1,765,000	\$ 137,475	\$ 1,940,000	\$ 357,556	\$ 13,295,000	\$ 1,368,470	\$ 12,380,000	\$ 4,966,000	\$ 4,290,000	\$ 1,185,019	\$ 8,290,000	\$ 4,114,725	\$ 10,905,000	\$ 5,667,300	\$ 57,390,000	\$ 18,442,591	\$ 75,832,591

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF CHANGES IN LONG-TERM DEBT BY INDIVIDUAL ISSUE
June 30, 2025

Description of Indebtedness	Original amount of issue	Interest rate	Date of issue	Last maturity date	Outstanding 7/1/2024	Issued during period	Paid and/or matured during period	Refunded during period	Outstanding 6/30/2025
Governmental Activities									
Bonds Payable									
Payable through General Fund:									
General Obligation Improvement Bonds, Series 2014	\$ 14,185,000	2.00-5.00%	August 18, 2014	January 1, 2034	\$ 6,600,000	\$ -	\$ 1,010,000	\$ -	\$ 5,590,000
General Obligation Bonds, Series 2016	11,040,000	2.00-5.00%	January 20, 2016	January 1, 2036	7,200,000	-	520,000	-	6,680,000
General Obligation Bonds, Series 2021	9,725,000	2.00-5.00%	September 28, 2021	January 1, 2041	8,720,000	-	365,000	-	8,355,000
Total Bonds Payable					<u>\$ 22,520,000</u>	<u>\$ -</u>	<u>\$ 1,895,000</u>	<u>\$ -</u>	<u>\$ 20,625,000</u>
Business-Type Activities									
Bonds Payable									
Payable through Water and Sewer Fund:									
Water and Sewer Revenue Bonds, Series 2015	\$ 25,000,000	3.00-5.00%	May 19, 2015	June 30, 2040	\$ 3,245,000	\$ -	\$ 1,305,000	\$ -	\$ 1,940,000
Water and Sewer Revenue Bonds, Series 2014	14,185,000	2.00-5.00%	August 20, 2014	June 30, 2034	2,090,000	-	325,000	-	1,765,000
Water and Sewer Revenue Bonds, Series 2011	8,955,000	3.00-3.625%	December 28, 2011	July 1, 2032	5,015,000	-	490,000	-	4,525,000
Water and Sewer Revenue Improvement Bond Series 2021A	13,400,000	3.00%-4.00%	November 17, 2021	July 1, 2046	12,735,000	-	355,000	-	12,380,000
Water and Sewer Revenue Refunding Bond Series 2021B	13,965,000	0.510%- 2.75%	November 17, 2021	July 1, 2037	13,520,000	-	225,000	-	13,295,000
					<u>36,605,000</u>	<u>-</u>	<u>2,700,000</u>	<u>-</u>	<u>33,905,000</u>
Payable through Gas Fund:									
Gas Revenue Bonds, Series 2019	5,570,000	3.00-5.00%	April 9, 2019	January 1, 2039	4,515,000	-	225,000	-	4,290,000
Gas Revenue Bonds, Series 2024	8,375,000	4.00-5.00%	August 27, 2024	January 1, 2044	-	8,375,000	85,000	-	8,290,000
					<u>4,515,000</u>	<u>8,375,000</u>	<u>310,000</u>	<u>-</u>	<u>12,580,000</u>
Payable through Electric Fund:									
Electric Revenue Bonds, Series 2024	11,100,000	4.00-5.00%	December 3, 2024	January 1, 2044	-	11,100,000	195,000	-	10,905,000
Total Bonds Payable					<u>41,120,000</u>	<u>19,475,000</u>	<u>3,205,000</u>	<u>-</u>	<u>57,390,000</u>
Total Long-Term Debt					<u>\$ 63,640,000</u>	<u>\$ 19,475,000</u>	<u>\$ 5,100,000</u>	<u>\$ -</u>	<u>\$ 78,015,000</u>

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF TRANSFERS
June 30, 2025

From Fund	To Fund	Purpose	Amount
Electric Fund	General Fund	In-lieu of tax payments	1,086,425
Water and Sewer Fund	General Fund	In-lieu of tax payments	415,801
Gas Fund	General Fund	In-lieu of tax payments	377,776
General Fund/ARPA	Water and Sewer Fund	Transfers	5,834,304
General Fund	Stormwater	Transfers	150,000

See independent auditor's report.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
For the Fiscal Year Ended June 30, 2025

	ALN	Pass Through Agency Grant Number	Expenditures
U.S. Department of Transportation			
Passed Through the Tennessee Department of Transportation			
Highway Planning and Construction - Nashville Pike Sidewalk Grant	20.205	STP-M8300(70)	\$ 253,513
Highway Planning and Construction - Nashville Pike Sidewalk Grant	20.205	83PLM-F3-110/CMAQ-9306(21)	76,053
Highway Planning and Construction - Nashville Pike Sidewalk Grant	20.205	83PLM-F3-149/CMAQ-9306(23)	35,623
Highway Planning and Construction - Nashville Pike Sidewalk Grant	20.205	83PLM-F3-150/CMAQ-9306(24)	57,881
Highway Planning and Construction - Nashville Pike Sidewalk Grant	20.205	TAP-M-9306(25)/83LPM-F3-167	140,022
Total Highway Planning and Construction			<u>563,092</u>
Passed Through the Tennessee Governor's Highway Safety Office :			
Highway Safety Cluster:			
State and Community Highway Safety - Community Based Traffic Safety Enforcement and Education	20.600	Z25THS113	37,921
Highway Safety Cluster Subtotal			<u>37,921</u>
Total U.S. Department of Transportation			<u>601,013</u>
U.S. Department of Treasury			
Pass-through program Tennessee Dept of Finance & Administration			
Coronavirus State and Local Fiscal Recovery Funds	21.027*		253,517
Coronavirus State and Local Fiscal Recovery Funds	21.027*	SLFRP3743	125,321
Coronavirus State and Local Fiscal Recovery Funds	21.027*	21-1892-0-1-806	3,896,289
Total U.S. Department of Treasury			<u>4,275,127</u>
U.S. Department of Justice			
Bulletproof Vest Partnership Program	16.607	2020-BUBX-2002-3062	15,131
FBI Violent Crimes Task Force Reimbursement	16.U01	MOU	1,683
Bulletproof Vest Partnership Program - Public Safety Partnership and Community Policing Grants	16.710	15JCOPS-23--GG-04984-UHPX	416,500
BJA FY24 Invited to Apply- Byrne Discretionary Community Project Grants/Byrne Discretionary Grants Program	16.753	15BJA-24-GG-00177-BRND	179,951
Comprehensive Opioid, Stimulant, and Other Substances Use Program	16.838	2020-AR-BX-0053	102,069
Total U.S. Department of Justice			<u>715,334</u>
Department of Energy			
Pass-through program Tennessee Department of Economic and Development			
Community Development Block Grant Program - Child Care Creation Program	14.228	PO 14944	482,314
Total US Department of Energy			<u>482,314</u>
Department of Housing and Urban Development			
DOE EECBG HVAC REPLACEMENT	81.128	EECEQ-00594	35,253
Total US Department of Energy			<u>35,253</u>
Department of Homeland Security			
Assistance to Firefighters Grant	97.044	EMW-2021-FG-07960	17,869
Total US Department of Homeland Security			<u>17,869</u>
Total Federal Awards			<u>\$ 6,126,910</u>

*Denotes Major Federal Program

Note 1 - Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "Schedule") includes the federal award activity of the City under programs of the federal government for the year ended June 30, 2025. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the City, it is no intended to and does not present the financial position, changes in net position, or cash flows of the City.

Note 2 - Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years. The City has elected not to use the 10-percent de minimis indirect cost rate as allowed under the Uniform Guidance.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF STATE FINANCIAL ASSISTANCE
For the Fiscal Year Ended June 30, 2025

	<u>State Grant Number</u>	<u>Disbursements</u>
Tennessee Department of Commerce and Insurance		
Tennessee Law Enforcement Hiring, Training and Recruitment Program	33501-2548187	\$ 77,000
Tennessee Law Enforcement Training Cost Share Grant	33501-2448519	<u>75,000</u>
Total Tennessee Department of Commerce and Insurance		<u>152,000</u>
 Tennessee Department of Finance and Administration		
Governor's Local Support Direct Allocation/Appropriation	77241-VCIF	<u>13,697</u>
		<u>13,697</u>
 Tennessee Department of Environment and Conservation		
TDEC Brownfield Redevelopment	32701-25-266	<u>11,323</u>
 Total State Financial Assistance		<u>\$ 177,020</u>

Note 1 - Basis of Presentation

The accompanying schedule of expenditures of state financial assistance (the "Schedule") includes the state financial assistance activity of the City under programs of the State of Tennessee for the year ended June 30, 2025. Because the Schedule presents only a selected portion of the operations of the City, it is not intended to and does not present the financial position, changes in net position, or cash flows of the City.

Note 2 - Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years.

See independent auditor's report.

STATISTICAL SECTION

CITY OF GALLATIN, TENNESSEE STATISTICAL SECTION DIVIDER PAGE

This part of the City of Gallatin, Tennessee's comprehensive annual financial report presents detailed information as a context for understanding what the information in the financial statements and note disclosures says about the City's overall financial health.

Contents:

Financial Trends

These Schedules contain trend information to help readers understand how the City's financial performance and well-being have changed over time..... 99

Revenue Capacity

These Schedules contain information to help readers assess the City's most significant local revenue source - its property taxes..... 104

Debt Capacity

These Schedules present information to help readers assess the affordability of the City's current levels of outstanding debt and the City's ability to issue additional debt in the future..... 107

Demographic and Economic Information

These Schedules offer demographic and economic indicators to help readers understand the environment within which the City's financial activities take place. 110

Operating Information

These Schedules contain service and infrastructure data to help readers understand how the information in the City's financial report relates to the services the City provides and the activities it performs..... 112

Except where noted, the information in these Schedules is derived from the City of Gallatin, Tennessee's, comprehensive annual financial reports (or financial statements where applicable) for the relevant years. The City implemented GASB 34 in 2003: Schedules presenting government-wide information include information beginning that year.

CITY OF GALLATIN, TENNESSEE
FINANCIAL TRENDS INFORMATION -
NET POSITION BY COMPONENT - LAST TEN FISCAL YEARS*

(Prepared using the accrual basis of accounting)

	<u>2025</u>	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>
Governmental activities:										
Net investment in capital assets	\$ 154,417,135	\$ 150,136,959	\$ 148,606,993	\$ 133,281,647	\$ 106,414,737	\$ 108,846,455	\$ 89,932,089	\$ 75,402,931	\$ 67,569,997	\$ 58,836,309
Restricted	9,976,094	9,009,962	13,571,100	13,222,353	12,609,720	1,512,468	1,325,054	1,298,730	1,205,180	593,324
Unrestricted	<u>65,335,243</u>	<u>64,259,123</u>	<u>53,979,304</u>	<u>49,343,959</u>	<u>39,901,584</u>	<u>24,032,975</u>	<u>17,563,265</u>	<u>17,336,772</u>	<u>17,025,218</u>	<u>15,409,177</u>
Total net position	<u>\$ 229,728,472</u>	<u>\$ 223,406,044</u>	<u>\$ 216,157,397</u>	<u>\$ 195,847,959</u>	<u>\$ 158,926,041</u>	<u>\$ 134,391,898</u>	<u>\$ 108,820,408</u>	<u>\$ 94,038,433</u>	<u>\$ 85,800,395</u>	<u>\$ 74,838,810</u>
Business-type activities:										
Net investment in capital assets	\$ 206,283,889	\$ 195,625,066	\$ 175,181,523	\$ 161,498,167	\$ 157,292,864	\$ 142,206,982	\$ 136,551,453	\$ 127,605,680	\$ 120,808,485	\$ 119,097,460
Restricted	5,391,834	1,038,746	214,846	3,055,394	195,257	7,729	7,702	7,675	7,648	7,621
Unrestricted	<u>59,027,984</u>	<u>47,843,986</u>	<u>51,089,336</u>	<u>54,246,029</u>	<u>45,895,729</u>	<u>47,714,045</u>	<u>37,092,490</u>	<u>35,652,720</u>	<u>37,926,071</u>	<u>31,826,566</u>
Total net position	<u>\$ 270,703,707</u>	<u>\$ 244,507,798</u>	<u>\$ 226,485,705</u>	<u>\$ 218,799,590</u>	<u>\$ 203,383,850</u>	<u>\$ 189,928,756</u>	<u>\$ 173,651,645</u>	<u>\$ 163,266,075</u>	<u>\$ 158,742,204</u>	<u>\$ 150,931,647</u>
Primary government:										
Net investment in capital assets	\$ 360,701,024	\$ 345,762,025	\$ 323,788,516	\$ 294,779,814	\$ 263,707,601	\$ 251,053,437	\$ 226,483,542	\$ 203,008,611	\$ 188,378,482	\$ 177,933,769
Restricted	15,367,928	10,048,708	13,785,946	16,277,747	12,804,977	1,520,197	1,332,756	1,306,405	1,212,828	600,945
Unrestricted	<u>124,363,227</u>	<u>112,103,109</u>	<u>105,068,640</u>	<u>103,589,988</u>	<u>85,797,313</u>	<u>71,747,020</u>	<u>54,655,755</u>	<u>52,989,492</u>	<u>54,951,289</u>	<u>47,235,743</u>
Total net position	<u>\$ 500,432,179</u>	<u>\$ 467,913,842</u>	<u>\$ 442,643,102</u>	<u>\$ 414,647,549</u>	<u>\$ 362,309,891</u>	<u>\$ 324,320,654</u>	<u>\$ 282,472,053</u>	<u>\$ 257,304,508</u>	<u>\$ 244,542,599</u>	<u>\$ 225,770,457</u>

CITY OF GALLATIN, TENNESSEE
FINANCIAL TRENDS INFORMATION -
CHANGE IN NET POSITION - LAST TEN FISCAL YEARS*

(Prepared using the accrual basis of accounting)

	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Governmental activities:										
Revenues:										
Program revenues:										
Charges for services	\$ 15,549,388	\$ 14,619,477	\$ 12,938,439	\$ 12,275,819	\$ 10,289,687	\$ 8,977,852	\$ 8,356,873	\$ 7,863,631	\$ 7,418,973	\$ 6,069,552
Operating grants & contributions	8,310,962	6,796,238	3,895,662	4,389,561	2,421,030	2,923,203	2,616,883	1,865,673	1,275,976	1,064,123
Capital grants & contributions	4,443,946	2,383,778	8,345,507	15,384,481	12,482,796	20,335,480	12,308,868	6,010,371	8,921,557	4,790,834
General revenues:										
Property taxes	17,282,015	15,505,229	14,214,670	13,503,462	12,917,220	12,215,190	11,906,890	11,235,726	11,367,951	10,878,306
Sales taxes	25,652,379	21,870,937	20,594,060	19,014,773	15,317,664	12,826,752	12,145,080	11,516,561	11,064,266	10,074,289
Franchise taxes	316,757	381,826	397,976	451,706	507,514	465,305	487,103	468,690	466,766	448,730
Alcoholic beverage taxes	2,081,240	2,137,758	2,137,608	2,099,402	1,965,642	1,766,980	1,563,354	1,522,812	1,509,842	1,260,296
Business taxes	1,971,152	1,863,303	2,315,524	2,008,558	1,404,790	1,127,484	1,014,325	949,546	936,708	818,811
Income taxes	179,114	157,361	755	355,086	414,371	778,118	565,252	439,386	662,104	946,308
Other taxes	522,463	517,410	-	-	-	-	-	-	-	-
Other sources	1,090,877	807,727	1,356,449	10,807,740	3,512,304	375,946	1,354,312	540,551	480,686	226,818
Unrestricted interest income	3,162,031	2,109,695	847,158	81,819	240,425	313,968	298,873	303,527	246,354	115,184
In lieu of taxes and transfers	<u>(3,954,302)</u>	<u>1,658,228</u>	<u>2,341,210</u>	<u>2,416,007</u>	<u>2,505,134</u>	<u>1,971,409</u>	<u>1,610,234</u>	<u>1,635,255</u>	<u>1,699,195</u>	<u>1,640,386</u>
Total revenues	<u>76,608,022</u>	<u>70,808,967</u>	<u>69,385,018</u>	<u>82,788,414</u>	<u>63,978,577</u>	<u>64,077,687</u>	<u>54,228,047</u>	<u>44,351,729</u>	<u>46,050,378</u>	<u>38,333,637</u>
Expenses:										
General government	22,092,019	24,881,000	11,491,711	10,679,488	9,568,230	12,362,858	10,194,485	8,545,515	7,930,678	7,186,551
Public safety	27,250,573	23,988,663	21,445,885	19,887,020	17,489,772	15,280,509	15,685,627	14,939,109	14,842,150	12,701,861
Engineering	4,522,449	2,340,891	3,045,455	2,112,141	638,392	622,525	2,300,750	1,907,119	2,224,831	1,643,277
Environmental services	3,064,099	2,608,693	3,499,967	3,264,572	3,125,244	2,796,681	2,194,040	2,109,615	1,788,412	1,701,497
Animal control	-	-	-	-	-	-	-	-	-	-
Public works	1,718,157	2,375,724	815,980	826,884	774,681	674,693	585,600	705,505	568,139	552,190
Highways, streets and roadways	2,232,680	1,894,857	1,700,671	1,500,643	1,405,170	1,136,264	1,252,628	1,556,403	1,174,314	1,359,004
Vehicle maintenance	498,030	489,852	415,838	638,291	589,459	617,315	612,519	562,563	549,748	459,858
Parks and recreation	6,272,568	5,034,661	5,579,699	5,760,606	4,950,915	3,787,643	4,286,418	4,302,313	4,639,151	4,361,499
Economic development	1,858,090	504,934	477,555	556,451	528,172	572,306	816,593	615,343	448,174	1,622,199
Tourism	105,547	56,838	-	-	-	57,039	123,052	-	-	-
Interest on debt	<u>671,382</u>	<u>847,860</u>	<u>602,819</u>	<u>640,400</u>	<u>374,399</u>	<u>598,364</u>	<u>702,384</u>	<u>765,919</u>	<u>923,196</u>	<u>808,538</u>
Total expenses	<u>70,285,594</u>	<u>65,023,973</u>	<u>49,075,580</u>	<u>45,866,496</u>	<u>39,444,434</u>	<u>38,506,197</u>	<u>38,754,096</u>	<u>36,009,404</u>	<u>35,088,793</u>	<u>32,396,474</u>
Change in net position	\$ 6,322,428	\$ 5,784,994	\$ 20,309,438	\$ 36,921,918	\$ 24,534,143	\$ 25,571,490	\$ 15,473,951	\$ 8,342,325	\$ 10,961,585	\$ 5,937,163

CITY OF GALLATIN, TENNESSEE
FINANCIAL TRENDS INFORMATION -
CHANGE IN NET POSITION - LAST TEN FISCAL YEARS*

(Prepared using the accrual basis of accounting)

Business-Type activities:	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Program revenues:										
Charges for services	\$ 127,064,711	\$ 110,966,782	\$ 115,696,153	\$ 108,490,786	\$ 95,741,011	\$ 96,304,597	\$ 104,274,429	\$ 102,309,298	\$ 99,131,412	\$ 94,763,804
Capital grants & contributions	11,172,100	10,102,547	6,412,212	8,438,231	6,341,397	10,898,190	4,907,752	5,623,904	3,508,042	2,490,314
General revenues:										
Other sources	1,022,678	-	384	171,323	105,925	-	-	-	147	10,000
Unrestricted interest income	2,775,437	1,968,676	886,820	180,733	316,711	328,769	229,021	197,243	134,055	142,192
Total revenues	<u>142,034,926</u>	<u>123,038,005</u>	<u>122,995,569</u>	<u>117,281,073</u>	<u>102,505,044</u>	<u>107,531,556</u>	<u>109,411,202</u>	<u>108,130,445</u>	<u>102,773,656</u>	<u>97,406,310</u>
Expenses:										
Electric	85,153,885	75,028,487	77,786,114	67,411,765	61,466,937	64,715,592	70,565,030	68,464,520	68,658,346	66,077,111
Gas	15,799,789	13,766,852	19,001,406	17,460,412	12,390,484	14,208,176	13,612,534	13,482,880	12,817,606	12,360,729
Water & Sewer	18,535,731	16,387,451	16,897,130	15,120,466	13,300,552	10,525,253	13,321,850	13,115,652	11,787,952	12,582,400
In lieu of taxes - transfer	(3,954,302)	(166,878)	1,624,804	1,872,093	1,891,977	1,805,424	1,610,234	1,635,255	1,699,195	1,640,386
Total expenses	<u>115,535,103</u>	<u>105,015,912</u>	<u>115,309,454</u>	<u>101,864,736</u>	<u>89,049,950</u>	<u>91,254,445</u>	<u>99,109,648</u>	<u>96,698,307</u>	<u>94,963,099</u>	<u>92,660,626</u>
Change in net position	<u>26,499,823</u>	<u>18,022,093</u>	<u>7,686,115</u>	<u>15,416,337</u>	<u>13,455,094</u>	<u>16,277,111</u>	<u>10,301,554</u>	<u>11,432,138</u>	<u>7,810,557</u>	<u>4,745,684</u>
Total change in net position	\$ <u>32,822,251</u>	\$ <u>23,807,087</u>	\$ <u>27,995,553</u>	\$ <u>52,338,255</u>	\$ <u>37,989,237</u>	\$ <u>41,848,601</u>	\$ <u>25,775,505</u>	\$ <u>19,774,463</u>	\$ <u>18,772,142</u>	\$ <u>10,682,847</u>

CITY OF GALLATIN, TENNESSEE
FINANCIAL TRENDS INFORMATION -
FUND BALANCES, GOVERNMENTAL FUNDS - LAST TEN FISCAL YEARS

(Prepared using the accrual basis of accounting)

	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Governmental Funds:										
(Post-GASB 54)										
Nonspendable	\$ 620,893	\$ 602,720	\$ 100,170	\$ 99,135	\$ 85,469	\$ 82,177	\$ 674,250	\$ 1,169,853	\$ 1,612,302	\$ 1,065,869
Restricted	12,514,039	12,149,896	13,663,068	13,103,487	12,647,277	6,877,193	1,289,029	1,366,992	1,176,985	583,621
Committed	156,408	156,408	1,314,976	98,506	89,508	103,873	156,408	156,408	284,987	209,987
Assigned	67,362	57,807	59,986	400,089	2,810,969	58,712	7,400,387	11,899,028	12,626,737	16,335,657
Unassigned	65,897,243	64,938,346	53,749,515	43,461,521	29,343,786	18,722,398	16,287,472	17,248,650	17,730,397	16,180,042
	<u>\$ 79,255,945</u>	<u>\$ 77,905,177</u>	<u>\$ 68,887,715</u>	<u>\$ 57,162,738</u>	<u>\$ 44,977,009</u>	<u>\$ 25,844,353</u>	<u>\$ 25,807,546</u>	<u>\$ 31,840,931</u>	<u>\$ 33,431,408</u>	<u>\$ 34,375,176</u>

CITY OF GALLATIN, TENNESSEE
FINANCIAL TREND INFORMATION -
CHANGES IN FUND BALANCES FOR TOTAL GOVERNMENTAL FUNDS - LAST TEN FISCAL YEARS

(Prepared using the accrual basis of accounting)

	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Revenues										
Taxes	\$ 40,003,594	\$ 35,459,767	\$ 34,020,171	\$ 31,828,287	\$ 28,148,675	\$ 24,907,697	\$ 23,082,274	\$ 22,304,176	\$ 21,677,227	\$ 20,117,243
Licenses	4,734,324	4,935,808	3,694,996	3,633,533	3,247,237	2,279,208	2,146,030	2,542,185	2,187,478	1,093,853
Fines and penalties	1,491,102	642,664	823,041	658,741	673,966	691,541	737,197	785,160	922,423	983,427
Charges for services	9,325,202	9,043,615	8,420,402	7,978,910	6,285,822	6,005,756	5,476,634	4,534,678	4,302,069	3,984,098
Intergovernmental	15,570,732	12,391,419	17,046,912	19,963,272	16,201,370	14,437,262	10,628,819	6,717,563	6,616,702	10,457,840
Other	6,401,282	3,570,141	2,831,318	3,288,678	4,479,403	2,683,304	2,371,227	1,315,537	884,022	414,025
Total revenues	<u>77,526,236</u>	<u>66,043,414</u>	<u>66,836,840</u>	<u>67,351,421</u>	<u>59,036,473</u>	<u>51,004,768</u>	<u>44,442,181</u>	<u>38,199,299</u>	<u>36,589,921</u>	<u>37,050,486</u>
Expenditures										
General government	15,337,630	11,250,755	9,634,216	8,648,829	7,717,866	7,687,329	8,486,465	7,609,102	6,723,566	5,932,888
Public safety	26,908,812	23,549,813	23,531,336	18,697,042	15,764,227	15,439,576	15,118,065	14,447,340	14,122,444	12,181,199
Engineering	3,372,709	2,574,732	2,857,815	2,114,553	638,392	621,511	2,140,367	1,902,729	2,219,984	1,643,528
Environmental services	3,955,504	3,549,105	3,295,676	3,087,746	2,819,961	2,783,382	1,993,528	1,921,514	1,788,412	1,707,426
Animal control	-	-	-	-	-	-	-	-	-	-
Public works	1,204,229	1,447,491	3,056,827	827,963	765,125	670,407	358,438	429,269	330,388	294,737
Highways and streets	2,572,993	1,923,214	1,437,998	1,127,266	1,045,433	1,137,622	1,248,681	1,559,615	1,168,778	1,227,048
Vehicle maintenance	583,972	489,852	429,544	639,633	585,193	614,540	558,341	558,653	551,334	496,426
Parks and recreation	6,805,630	5,034,661	5,527,163	4,982,212	4,188,436	3,786,654	4,258,583	4,292,539	4,309,104	4,014,097
Economic Development Agency	1,845,826	497,608	506,618	557,630	521,733	557,726	813,666	743,864	445,448	1,622,169
Tourism	105,547	56,313	-	-	-	57,039	123,052	-	-	-
ARPA	3,680,032	2,323,018	-	-	-	-	-	-	-	-
Debt service:										
Principal	1,895,000	1,835,000	1,780,000	1,745,000	1,395,000	1,355,000	1,795,000	1,839,745	1,754,475	1,205,000
Interest	756,110	847,860	911,850	970,589	796,360	738,850	808,775	862,768	892,232	572,156
Other	-	-	1,253	1,400	-	-	-	-	-	-
Capital outlay - capital	3,197,172	4,768,411	3,620,706	13,637,922	16,670,921	17,324,244	13,586,576	5,257,893	4,926,719	7,385,042
Total expenditures	<u>72,221,166</u>	<u>60,147,833</u>	<u>56,591,002</u>	<u>57,037,785</u>	<u>52,908,647</u>	<u>52,773,880</u>	<u>51,289,537</u>	<u>41,425,031</u>	<u>39,232,884</u>	<u>38,281,716</u>
Excess (deficiency) of revenues over (under) expenditures	<u>5,305,070</u>	<u>5,895,581</u>	<u>10,245,838</u>	<u>10,313,636</u>	<u>6,127,826</u>	<u>(1,769,112)</u>	<u>(6,847,356)</u>	<u>(3,225,732)</u>	<u>(2,642,963)</u>	<u>(1,231,230)</u>
Other financing sources (uses):										
Premiums on bonds issued	-	-	-	-	1,387,853	-	-	-	-	1,163,285
Proceeds of long-term debt	-	-	-	-	9,725,000	-	-	-	-	11,040,000
Bond issuance costs	-	-	-	-	-	-	-	-	-	(121,358)
In lieu of tax payments from utility*	1,880,002	1,658,228	1,824,463	1,872,093	1,891,977	1,805,919	1,610,234	1,635,255	1,699,195	1,640,386
Operating transfers out	(5,834,304)	-	(345,324)	-	-	-	-	-	-	-
Total other financing sources (uses)	<u>(3,954,302)</u>	<u>1,658,228</u>	<u>1,479,139</u>	<u>1,872,093</u>	<u>13,004,830</u>	<u>1,805,919</u>	<u>1,610,234</u>	<u>1,635,255</u>	<u>1,699,195</u>	<u>13,722,313</u>
Net changes in fund balances	<u>\$ 1,350,768</u>	<u>\$ 7,553,809</u>	<u>\$ 11,724,977</u>	<u>\$ 12,185,729</u>	<u>\$ 19,132,656</u>	<u>\$ 36,807</u>	<u>\$ (5,237,122)</u>	<u>\$ (1,590,477)</u>	<u>\$ (943,768)</u>	<u>\$ 12,491,083</u>
Debt services as a percentage of non-capital expenditures	3.99%	5.09%	5.35%	6.67%	6.44%	6.28%	7.42%	8.08%	8.36%	6.10%

**CITY OF GALLATIN, TENNESSEE
REVENUE CAPACITY INFORMATION
ASSESSED VALUE AND ESTIMATED ACTUAL VALUE OF TAXABLE PROPERTY -
LAST TEN TAX YEARS**

TAX YEAR	APPRAISED VALUE			ASSESSED VALUE AS A PERCENTAGE OF ACTUAL	TOTAL DIRECT TAX RATE*
	TOTAL TAXABLE ASSESSED VALUE	TAX EXEMPT PROPERTY	ESTIMATED ACTUAL TAXABLE VALUE		
2025	\$ 3,152,284,456	\$ -	\$ 10,899,437,791	28.92%	\$ 0.53
2024	2,935,179,054	-	10,209,401,280	28.75%	0.53
2023	1,835,956,847	157,722,100	6,536,211,546	30.50%	0.80
2022	1,762,132,137	-	6,184,000,396	28.50%	0.80
2021	1,749,990,933	-	5,804,981,995	30.15%	0.80
2020	1,639,821,560	31,477,512	5,505,851,345	30.35%	0.80
2019	1,568,403,152	35,134,216	5,345,047,430	30.00%	0.80
2018	1,379,876,000	21,926,143	3,758,217,774	37.30%	0.99
2017	1,085,548,889	23,016,954	3,688,978,706	30.05%	0.99
2016	1,063,378,081	23,958,652	3,498,839,903	31.08%	0.99

* Per \$100 of assessed valuation

Note - Property of the City is reappraised periodically. For this reason appraised value is considered equal to actual value. All information was pulled from the tax levies by the year noted.

**CITY OF GALLATIN, TENNESSEE
REVENUE CAPACITY INFORMATION
PRINCIPAL PROPERTY TAX PAYERS - CURRENT YEAR AND NINE YEARS AGO**

	2025		2016	
	ASSESSED VALUATION	PERCENT OF TOTAL VALUATION	ASSESSED VALUATION	PERCENT OF TOTAL VALUATION
Sumner Regional Med Ctr	\$ 112,581,500	3.57%	\$ 83,926,200	8.81%
Gap Inc	78,628,700	2.49%	65,000,000	6.83%
Revere at Hidden Creek LLC	60,229,600	1.91%	-	0.00%
Gallatin BNA LLC	56,757,300	1.80%	-	0.00%
Banner at Westfield LP	52,222,000	1.66%	-	0.00%
Stoneridge Borrower LLC	46,581,300	1.48%	-	0.00%
Wellington Farms Holdings De LLC	46,250,400	1.47%	-	0.00%
G25 Properties LLC	43,526,000	1.38%	-	0.00%
KJPL Gallatin LLC	37,940,900	1.20%	-	0.00%
Hoeganaes Corp	16,926,448	0.54%	20,273,041	2.13%
Wellington Farms Apts.	-	0.00%	31,800,000	3.34%
Stoneridge Farms	-	0.00%	30,679,200	3.22%
MAA Brik LLC	-	0.00%	23,513,500	2.47%
Foxland Crossing LLC	-	0.00%	22,631,700	2.38%
Sumner Regional Medical Center	-	0.00%	20,422,634	2.14%
Y F S Automotive Systems	-	0.00%	9,592,103	1.01%
Gap Inc & Subs Ent	-	0.00%	5,231,510	0.55%
Totals	\$ 551,644,148	17.50%	\$ 313,069,888	32.88%

Information was obtained from the property tax rolls for the years noted.

**CITY OF GALLATIN, TENNESSEE
REVENUE CAPACITY INFORMATION
PROPERTY TAX LEVIES AND COLLECTIONS - LAST TEN FISCAL YEARS**

FISCAL YEAR	ASSESSED VALUATION	TOTAL TAX LEVY	COLLECTED WITHIN TAX YEAR OF LEVY	PERCENT COLLECTED	COLLECTIONS IN SUBSEQUENT YEARS	TOTAL COLLECTIONS	TOTAL COLLECTIONS AS PERCENT OF TOTAL LEVY
2025	\$ 3,152,284,456	16,691,346	15,537,927	93.09%	-	\$ 15,537,927	93.09%
2024	2,935,179,054	15,517,384	14,380,699	92.67%	818,671	15,199,370	97.95%
2023	1,835,956,847	14,679,193	13,940,753	94.97%	551,840	14,492,593	98.73%
2022	1,762,132,137	14,038,125	13,127,681	93.51%	801,685	13,929,366	99.23%
2021	1,749,990,933	12,917,234	12,578,223	97.38%	316,177	12,894,400	99.82%
2020	1,639,821,560	12,158,928	12,061,074	99.20%	54,861	12,115,935	99.65%
2019	1,568,403,152	11,039,008	10,962,352	99.31%	55,096	11,017,448	99.80%
2018	1,379,876,000	10,746,934	10,482,842	97.54%	239,550	10,722,392	99.77%
2017	1,085,548,889	10,527,443	10,151,671	96.43%	356,116	10,507,787	99.81%
2016	1,063,378,081	10,203,336	9,756,265	95.62%	430,739	10,187,004	99.84%

Assessed valuation amount was taken from the property tax levy for the year noted.

**CITY OF GALLATIN, TENNESSEE
DEBT CAPACITY INFORMATION
RATIOS OF OUTSTANDING DEBT BY TYPE - LAST TEN FISCAL YEARS**

FISCAL YEAR	POPULATION*	PER CAPITA PERSONAL INCOME**	GOVERNMENTAL ACTIVITIES			BUSINESS-TYPE ACTIVITIES			TOTAL PRIMARY GOVERNMENT	DEBT PER CAPITA	PERCENT OF PERSONAL INCOME
			GENERAL OBLIGATION BONDS	NOTES	TOTAL GOVERNMENTAL	REVENUE & TAX BONDS	NOTES	TOTAL BUSINESS- TYPE ACTIVITIES			
2025	55,089	\$ 38,560	\$ 20,625,000	\$ -	\$ 20,625,000	\$ 57,390,000	\$ -	\$ 57,390,000	\$ 78,015,000	\$ 1,416.16	3.67%
2024	52,489	36,996	22,520,000	-	22,520,000	41,120,000	-	41,120,000	63,640,000	1,212.44	3.28%
2023	50,413	34,822	24,355,000	-	24,355,000	43,930,000	-	43,930,000	68,285,000	1,354.51	3.89%
2022	48,220	32,912	26,135,000	-	26,135,000	46,620,000	-	46,620,000	72,755,000	1,508.81	4.58%
2021	46,902	32,996	27,880,000	-	27,880,000	33,765,000	-	33,765,000	61,645,000	1,314.34	3.98%
2020	44,335	30,203	19,550,000	-	19,550,000	35,780,000	-	35,780,000	55,330,000	1,248.00	4.13%
2019	42,985	28,945	20,905,000	-	20,905,000	37,795,000	-	37,795,000	58,700,000	1,365.59	4.72%
2018	40,693	26,544	22,240,000	549,745	22,789,745	33,955,000	-	33,955,000	56,744,745	1,394.46	5.25%
2017	37,504	26,450	24,805,000	1,310,000	26,115,000	37,560,000	57,667	37,617,667	63,732,667	1,699.36	6.42%
2016	35,690	26,708	14,570,000	1,710,000	16,280,000	38,890,000	219,944	39,109,944	55,389,944	1,551.97	5.81%

* SOURCE FOR POPULATION: US Census Bureau

** PERSONAL INCOME amounts were obtained from State estimates.

**CITY OF GALLATIN, TENNESSEE
DEBT CAPACITY INFORMATION
RATIOS OF GENERAL BONDED DEBT OUTSTANDING - LAST TEN FISCAL YEARS**

GOVERNMENTAL ACTIVITIES									
FISCAL YEAR	POPULATION	GENERAL OBLIGATION BONDS	NOTES	TOTAL GOVERNMENTAL	BUSINESS - TYPE ACIVITIES - NOTES	TOTAL PRIMARY GOVERNMENT	APPRAISED VALUE	RATIO OF GENERAL OBLIGATION DEBT TO APPRAISED VALUE	NET GENERAL OBLIGATION DEBT PER CAPITA
2025	55,089	\$ 20,625,000	\$ -	\$ 20,625,000	\$ -	\$ 20,625,000	\$ 3,152,284,456	0.65%	\$ 374.39
2024	52,489	22,520,000	-	22,520,000	-	22,520,000	2,935,179,054	0.77%	429.04
2023	50,413	24,355,000	-	24,355,000	-	24,355,000	1,835,956,847	1.33%	483.11
2022	48,220	26,135,000	-	26,135,000	-	26,135,000	1,749,990,993	1.49%	542.00
2021	46,902	27,880,000	-	27,880,000	-	27,880,000	1,639,821,560	1.70%	594.43
2020	44,335	19,550,000	-	19,550,000	-	19,550,000	1,568,403,152	1.25%	440.96
2019	42,985	20,905,000	-	20,905,000	-	20,905,000	1,379,876,000	1.51%	486.33
2018	40,693	22,240,000	549,745	22,789,745	-	22,789,745	1,085,548,889	2.10%	560.04
2017	37,504	24,805,000	1,310,000	26,115,000	57,667	26,172,667	1,063,378,081	2.46%	697.86
2016	35,690	14,570,000	1,710,000	16,280,000	219,944	16,499,944	1,030,640,007	1.60%	462.31

* SOURCE FOR POPULATION: US Census Bureau

**CITY OF GALLATIN, TENNESSEE
DEBT CAPACITY INFORMATION
PLEDGED REVENUE COVERAGE - LAST TEN FISCAL YEARS**

FISCAL YEAR	UTILITY SERVICE CHARGES	LESS: OPERATING EXPENSES	NET REVENUE AVAILABLE FOR DEBT SERVICE	PRINCIPAL	INTEREST	TOTAL	PERCENT OF COVERAGE
2025	\$ 42,462,080	\$ 32,574,439	\$ 9,887,641	\$ 3,280,000	\$ 1,548,555	\$ 4,828,555	204.77%
2024	34,997,340	28,746,753	6,250,587	2,925,000	1,201,666	4,126,666	151.47%
2023	38,290,134	34,709,510	3,580,624	2,690,000	1,494,168	4,184,168	85.58%
2022	38,560,935	31,115,155	7,445,780	2,075,000	1,340,498	3,415,498	218.00%
2021	31,047,874	19,860,727	11,187,147	2,015,000	1,410,424	3,425,424	326.59%
2020	28,473,862	17,853,481	10,620,381	1,775,000	1,268,910	3,043,910	348.91%
2019	30,554,008	20,257,578	10,296,430	2,015,000	1,418,722	3,433,722	299.86%
2018	14,593,834	8,546,734	6,047,100	1,730,000	1,326,336	3,056,336	197.85%
2017	14,190,626	7,221,685	6,968,941	1,830,000	1,403,935	3,233,935	215.49%
2016	13,525,181	7,389,032	6,136,149	1,775,000	1,460,061	3,235,061	189.68%

Notes: Details regarding the City's outstanding debt can be found in the notes to the financial statements. Operating expenses do not include interest, depreciation, or amortization expenses. Sales tax increment bonds are backed by the sales tax revenue produced by the sales tax rate in effect when the bonds were issued (2.5 percent) applied to the increase in retail sales in the Commons shopping area since that time.

**CITY OF GALLATIN, TENNESSEE
DEMOGRAPHIC AND ECONOMIC INFORMATION
DEMOGRAPHIC AND ECONOMIC STATISTICS - LAST TEN FISCAL YEARS**

CALENDAR YEAR	CITY POPULATION*	COUNTY POPULATION*	PERSONAL INCOME**	PER CAPITA PERSONAL INCOME**	MEDIAN AGE*	COUNTY SCHOOL ENROLLMENT ***	COUNTY UNEMPLOYMENT RATE****
2025	55,089	216,141	\$ 73,589	\$ 38,560	37.3	30,661	2.60%
2024	52,489	211,721	68,548	36,996	37.8	30,224	2.80%
2023	50,413	208,423	62,881	34,822	38.4	30,685	2.90%
2022	48,220	204,018	60,930	32,912	38.4	30,512	3.00%
2021	46,902	200,557	59,745	32,996	39.1	30,425	4.50%
2020	44,335	195,561	55,825	30,203	37.9	29,540	7.50%
2019	42,985	191,497	53,794	28,945	37.6	29,400	3.20%
2018	40,693	187,854	49,041	26,544	37.2	29,196	2.80%
2017	37,504	184,016	47,957	26,450	36.0	29,059	2.30%
2016	35,690	179,474	46,441	26,708	37.0	29,060	4.10%

* US Census Bureau

** State Estimate

*** Sumner County School Board

**** Tennessee State Department of Labor, Statistical Services

Note: Population, median age, and education level information are based on surveys conducted during the last quarter of the calendar year. Personal income information is a total for the year. Unemployment rate information is an adjusted yearly average. School enrollment is based on the census at the start of the school year.

**CITY OF GALLATIN, TENNESSEE
DEMOGRAPHIC AND ECONOMIC INFORMATION
PRINCIPAL EMPLOYERS - CURRENT YEAR AND NINE YEARS AGO**

	2025			2016		
	EMPLOYEES	RANK	PERCENTAGE OF TOTAL CITY EMPLOYMENT	EMPLOYEES	RANK	PERCENTAGE OF TOTAL CITY EMPLOYMENT
Sumner County Schools	4,771	1	20.74%	4,307	1	38.08%
Gap Inc.	1,300	2	5.65%	1,275	2	11.27%
Sumner County Government (non-schools)	1,193	3	5.19%	N/A	N/A	N/A
Highpoint Health-Sumner w/ Ascension St. Thc	1,132	4	4.92%	N/A	N/A	N/A
ABC Technologies	750	5	3.26%	286	7	2.53%
Volunteer State Community College	718	6	3.12%	712	4	6.30%
City of Gallatin	646	7	2.81%	N/A	N/A	N/A
ServPro Industries	505	8	2.20%	475	5	4
Simpson Strong-Tie	236	9	1.03%	N/A	N/A	N/A
Yapp USA	223	10	0.97%	375	6	3.32%
Sumner Regional Medical Center	N/A	N/A	N/A	1,070	3	9.46%
Hoeganaes Corporation	N/A	N/A	N/A	235	8	2.08%
NIC Global Manufacturing Solutions	N/A	N/A	N/A	185	9	1.64%
Charles C Parks Company	N/A	N/A	N/A	175	10	1.55%

Sources: Tennessee Department of Labor Workforce & Development and City of Gallatin's Economic Development

CITY OF GALLATIN, TENNESSEE
OPERATING INFORMATION
FULL-TIME EQUIVALENT CITY GOVERNMENT EMPLOYEES BY FUNCTION/PROGRAM, LAST TEN FISCAL YEARS

Function/Program	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
General Government:										
Mayor's Office	4	4	3	3	3	3	3	3	3	3
Planning (Combined in 2010)	11	9	9	8	8	8	9	9	7	7
Finance	7	7	6	6	7	7	6	6	6	5
City Attorney	4	4	4	4	4	4	4	4	4	3
Recorder	6	6	6	7	6	6	6	7	6	6
Personnel	6	6	5	5	5	4	4	3	3	3
Codes	19	14	17	17	18	15	15	15	12	9
Economic Development Agency	2	2	3	3	3	3	3	3	3	3
Information Technology	7	8	8	8	8	8	7	7	7	6
Public Safety:										
Police	114	109	91	97	97	97	99	99	99	98
Fire	101	99	95	98	97	97	96	98	85	68
Public Works	58	51	50	52	49	52	48	50	47	48
Leisure Services	29	29	29	30	30	29	26	29	29	31
Engineering	16	14	15	10	10	9	9	8	7	6
Public Utilities	94	82	86	84	88	92	93	95	86	88
Golf Course	0	0	0	0	0	0	0	0	0	0
Total	478	444	427	432	433	434	428	436	404	384

Sources: PERSONNEL OFFICIAL

*AUDITS PRIOR YEARS

2016 numbers include 4 PPT employees. It does not include 12 unfilled positions (total authorized manning 396 as 6/30/16)

2017 numbers include 4 PPT employees. It does not include 15 unfilled position (total authorized manning as 6/30/17)

CITY OF GALLATIN, TENNESSEE
OPERATING INFORMATION
OPERATING INDICATORS BY FUNCTION / PROGRAM, LAST TEN FISCAL YEARS

FUNCTION / PROGRAM	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Police										
Physical arrests	4,090	3,747	3,915	3,419	2,985	3,571	3,802	3,718	3,805	3,803
Parking violations	176	98	276	188	169	219	407	308	279	458
Traffic violations	24,624	14,631	13,826	14,847	11,720	17,065	15,334	13,436	13,824	17,393
* Red Light Camera Citations	0	456	5,519	5,598	5,109	3,828	6,345	6,211	7,386	9,054
Fire										
Emergency responses	8364	8,307	8,114	7,729	6,854	6,228	6,048	5,636	4,192	3,917
Fires extinguished	120	152	157	148	132	115	122	113	133	144
Inspections	10,408	9,704	8,132	4,552	3,296	2,530	2,526	2,423	1,658	1,664
Animal Control										
Animals Restrained	223	318	296	317	288	346	519	487	576	622
Highways and Streets										
Street resurfacing (miles)	8.98	6.20	6.42	8.11	5.16	6.64	5.20	6.00	3.31	4.60
Potholes repaired	3,024	3,396	1,529	2,465	259	363	315	356	314	403
Other Public Works										
Utility cuts repaired	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Parks and Recreation										
Athletic field permits issued	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Community center admissions	175,000	150,000	150,000	150,000	150,000	150,000	270,000	270,000	270,000	240,000
Community Service										
Number of organization benefited	19	18	17	17	17	21	18	14	10	12
Number of services benefited	3	3	3	3	3	3	3	3	5	6
Environmental Services										
Tons hauled	16,863	16,404	18,629	20,506	18,599	17,625	16,432	16,171	16,142	12,224
Water										
New connections		949	530	754	715	441	406	425	380	316
Water main breaks	716	39	53	58	31	45	46	37	37	37
Utility cuts repaired	64	58	78	79	54	123	83	145	100	139
Average daily consumption (thousands of gallons)	70	8,232	8,625	7,805	7,293	7,774	7,110	7,316	6,052	6,171
Peak daily consumption (thousands of gallons)	8,434	11,605	12,047	12,562	8,797	9,347	10,523	8,451	7,072	8,287
Sewer										
Average daily treatment (thousands of gallons)	14,545	7,342	7,556	8,077	7,785	8,911	7,010	6,282	5,902	5,808
Electric										
Average daily consumption (thousands of kilowatt hours)	8,845	2,165	2,145	2,147	2,163	2,020	2,237	2,254	2,244	2,194
Natural Gas										
Average Daily Consumption:										
Summer -April/October (thousands of cubic feet)	2,171	3,534	3,666	4,064	4,059	3,587	3,623	4,920	4,810	4,937
Winter-November/March (thousands of cubic feet)		9,206	8,724	9,029	8,335	9,124	8,211	8,507	10,445	7,644
Golf										
Rounds Played	41,400	32,500	45,000	44,145	44,145	44,145	45,000	45,000	45,000	45,000

Sources: Various city departments

Notes: Indicators are not available for the general government function

CITY OF GALLATIN, TENNESSEE
OPERATING INFORMATION
CAPITAL ASSET STATISTICS BY FUNCTION / PROGRAM, LAST TEN FISCAL YEARS

FUNCTION / PROGRAM	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Police										
Stations	1	1	1	1	1	1	1	1	1	1
Zone offices	4	4	4	4	4	4	4	1	1	1
Patrol units	129	104	97	80	80	96	96	91	79	78
Fire										
Stations	5	5	5	5	5	5	5	4	4	4
Fire trucks	12	12	12	11	11	11	11	9	9	9
Animal Control										
Trucks	2	2	2	2	2	2	2	2	2	2
Highways and Streets										
Streets (miles)	229.08	226.8	224.6	221.0	217.5	215.8	210.0	204.4	200.1	195.6
Streetlights	4,495	4,412	4,337	4,278	4,254	3,931	3,874	3,892	3,811	3,720
Traffic signals	458	456	417	438	411	411	388	380	370	362
Sidewalks (miles)	116.38	111.9	107.2	99.7	93.0	89.7	78.0	66.8	57.5	46.5
Parks and Recreation										
Acreage	610	610	610	610	598	598	598	532	532	532
Playgrounds	5	5	5	5	5	5	5	5	5	4
Baseball/softball diamonds	23	23	23	23	23	23	23	23	23	23
Soccer/football fields	8	8	8	8	8	8	8	8	8	8
Community centers	2	2	2	2	2	2	2	2	2	2
Volleyball Courts	4	4	4	4	4	4	4	4	4	4
Basketball Courts	6	6	6	6	6	6	6	6	6	6
Picnic Shelters	13	13	13	13	13	13	13	13	13	13
Tennis Courts	6	6	6	6	6	6	6	6	6	6
Horseshoe Pits	5	5	5	5	5	5	5	5	5	9
Fishing Piers	2	2	2	2	2	2	2	2	2	2
Swimming Pools	2	2	2	2	2	2	1	1	1	1
Walking Trail (miles)	8	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0
Disc Golf (holes)	18	18	18	18	18	18	18	18	18	18
Model Airplane Strip	1	1	1	1	1	1	1	1	1	1
Skate Park	1	1	1	1	1	1	1	1	1	1
Environmental Services										
Refuse Trucks	29	28	28	25	24	24	24	23	22	22
Water										
Water mains (miles)	358	350.0	345.0	342.0	337.0	335.0	331.0	320.0	316.0	313.0
Fire hydrants	2,493	2,385	2,317	2,273	2,212	2,173	2,113	2,075	2,025	1,986
Storage capacity (thousands of gallons)	15,300	15,300	15,300	15,000	15,000	13,000	13,000	13,000	13,000	13,000
Percent of Water Loss in System	31	31	31	35	32	25	16	16	12	13
Sewer										
Sewer mains (miles)	290	284.0	273.0	270.0	264.0	257.0	254.0	244.0	240.0	236.0
Pump Stations	45	46	43	44	43	41	41	41	41	41
Natural Gas										
Gas lines (miles)	436.0	427.0	416.0	405.0	398.0	394.0	389.0	385.0	382.0	380.0
Golf										
Acres	136	136	136	136	136	136	136	136	136	136
Holes	18	18	18	18	18	18	18	18	18	18
Driving Range	1	1	1	1	1	1	1	1	1	1

Sources: Various city departments

Notes: No capital asset indicators are available for the general government.

INTERNAL CONTROL AND COMPLIANCE SECTION



**Independent Auditor's Report on Internal Control Over Financial
Reporting and on Compliance and Other Matters Based on an
Audit of Financial Statements Performed in Accordance
With Government Auditing Standards**

Honorable Paige Brown, Mayor
Members of the City Council
City of Gallatin, Tennessee

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee (the City), as of and for the year ended June 30, 2025, and the related notes to financial statements which collectively comprise the City's basic financial statements and have issued our report thereon dated December 22, 2025.

Our report includes a reference to other auditors who audited the financial statements of the Electric Department as described in our report on the City's financial statements. This report includes our consideration of the results of the other auditors testing of internal control over financial reporting and compliance and other matters that are reported on separately by those other auditors. However, this report, insofar as it relates to the results of the other auditors, is based solely on the reports of the other auditors.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that have not been identified.

Honorable Paige Brown, Mayor
Members of the City Council
City of Gallatin, Tennessee

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

ATA, PC

Jackson, Tennessee
December 22, 2025



**Independent Auditor's Report on Compliance for Each Major Federal Program
and Report on Internal Control Over Compliance
Required by the *Uniform Guidance***

Honorable Paige Brown, Mayor
Members of the City Council
City of Gallatin, Tennessee

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited the City of Gallatin, Tennessee's (the City) compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of the City's major federal programs for the year ended June 30, 2025. The City's major federal programs are identified in the summary of auditor's results section of the accompanying *Schedule of Findings and Questioned Costs*.

In our opinion, the City complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2025.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of *Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the City's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the City's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the City's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about City's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- exercise professional judgement and maintain professional skepticism throughout the audit.
- identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the City's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- obtain an understanding of the City's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly., this report is not suitable for any other purpose.

ATA, PC

Jackson, Tennessee
December 22, 2025

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
June 30, 2025

SECTION I – Summary of Auditor’s Results

Financial Statements

Type of auditor's report issued:		Unmodified
Internal control over financial reporting:		
Material weakness(es) identified?	_____ yes	_____ X _____ no
Significant deficiency(ies) identified?	_____ yes	_____ X _____ none reported
Noncompliance material to financial statements noted?	_____ yes	_____ X _____ no

Federal Awards

Internal Control over major programs:		
Material weakness(es) identified?	_____ yes	_____ X _____ no
Significant deficiency(ies) identified?	_____ yes	_____ X _____ none reported
Type of auditor's report issued on compliance for major programs:		Unmodified
Any audit findings disclosed that are required to be reported in accordance with Circular 2 CFR 200.516(a)?	_____ yes	_____ X _____ no

Identification of major programs:

<u>ALN</u>	<u>Name of Federal Program or Cluster</u>
21.027	Coronavirus State and Local Fiscal Recovery Funds

Dollar threshold used to distinguish between type A and type B programs:	\$ <u>750,000</u>
Auditee qualified as low-risk auditee?	_____ X _____ yes _____ no

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
June 30, 2025

SECTION II – Financial Statement Findings

There were no current year findings reported.

SECTION III – Federal Award Findings and Questioned Costs

There were no current year findings or questioned costs reported.

CITY OF GALLATIN, TENNESSEE
SCHEDULE OF PRIOR YEAR FINDINGS AND QUESTIONED COSTS
For the Fiscal Year Ended June 30, 2025

Financial Statement Findings

There were no prior year findings reported.

Federal Award Findings and Questioned Costs

There were no prior year findings reported.